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The European Bathroom & Kitchen Product Markets

- 2020 Edition -



Hungary

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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HUNGARY

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Hungary is located in the Carpathian Basin, in the centre of Europe, and shares borders with seven countries: Austria to the west, Slovakia to the north, Ukraine and Romania to the east, Serbia and Croatia to the south, and Slovenia to the south-west. With a land area of 93,030 square metres and borders stretching for 2,246km, Hungary occupies 1% of Europe's total land area. Hungary's topography is relatively flat, with 84% of its territory situated below 200 metres above sea level, 14% between 200 and 400 metres, while only 2% of its land area exceeds 400 metres above sea level.

Hungary is divided into 20 administrative regions, comprising 19 counties and the capital city Budapest, which, although not a county, has the same rank as a county. With the exception of the county of Pest, each county has a county capital. Hungary has one capital city, 328 towns and 2,826 villages. It has a continental climate, characterised by hot summers with low overall humidity levels but regular rain showers, and snowy winters. The average annual temperature is 9.7°C.

According to the 2011 census, Hungary's population was 9.937 million, which makes the country the fifth most populous in the Central and Eastern European region and a medium-sized member state of the European Union. On 1 January 2019, Hungary's population was around 9.9 million according to the country's statistical office. This denotes a declining population trend, as it is a 0.35% population decrease in 2019.

Amounting to less than 1% of the total land area of the country, Budapest accounted for 17.9% of the population as of 1 January 2018. The rest of the population is fairly evenly spread throughout the country, although there is a higher concentration in the Pest, Komárom-Esztergom and Győr counties. The ageing of Hungary's population is striking. The population aged less than 15 years has been on a declining curve since 1980, while, during the same period of time, the population aged above 65 years has been increasing. The rest of the population (aged between 15 and 65 years) has risen gradually.

Macroeconomic Overview

Hungary has been one of the best economic performers of all the major countries in Central and Eastern Europe since the transition from a planned economy. Nevertheless, its position has declined over the past 10 years. Throughout the economic crisis of 2008/2009, however, Hungary has been among the best performers of Eastern Europe's major countries, and its economic reforms during the communist era gave it a head start in the essential privatisation process – particularly in terms of attracting foreign investors. The country, therefore, has led the way in foreign direct investment in the Eastern European region since 1989.

On 1 May 2004, Hungary joined the European Union, and now enjoys the benefits of free trade within the EU area – with no custom tariffs on trade with EU countries. A basic prerequisite for introducing the euro is to keep the budget deficit below 3%. In 2013, the country managed to quit the EU's excessive deficit procedure, which began in 2004.

According to the European Commission, the overall performance of the Hungarian economy picked up in 2017 due to a supportive external environment and a dynamic domestic demand. According to the INTERNATIONAL MONETARY FUND (IMF), real GDP rose by 4% compared to 2016. GDP is estimated to have grown beyond expectations on the back of the renewal of EU-funded investment, fiscal incentives, negative real interest rates, and the strong recovery of the global economy. Consequently, GDP is estimated to have increased by 3.3% in 2019. As previously mentioned, economic growth continued to be primarily driven by domestic demand, while household consumption was increasing. In 2019, gross fixed capital formation is predicted to have also grown – almost by 16%. Trade flows continued to increase at a fast pace in 2019, even though import growth still outpaced export growth. Consequently, net exports contributed negatively to real GDP growth in 2019. Hungary's export market share continued to improve in 2019, after suffering during the financial crisis. New export capacities and improved cost competitiveness have supported the recovery.

According to the Monetary Council, inflation continued to grow by 3.3% in 2019. According to the OECD this is due to high household demand, declining unemployment and real wages, combined with high consumer confidence, housing investment support schemes and an advantageous monetary policy.

It is worth mentioning that there are growing indications that the labour market is tightening in Hungary. Hungary has made some improvement in recent years, despite still facing challenges, and the unemployment rate fell to 3.5%. These developments were due to structural factors, such as the increasing education level combined with the improving cyclical position of the economy. However, labour shortages generate strong wage growth and limit the prospects for further employment growth.

The current COVID-19 pandemic makes it especially challenging to forecast the economic impact in Hungary. The COVID-19 situation has created a major economic crisis, with a collapse in consumption confidence and stock exchanges, due to the rising uncertainty for the future. The Hungarian government declared a 'state of emergency', with curfew measures introduced on the 11th of March 2020 and a lockdown for two weeks from the 11th of April. To restart the economy, an Economic Revival Fund with a budget of HUF 1,345 billion has been put in place. Additionally, the government announced a HUF 663 billion Epidemic Prevention Fund to cover additional health spending. Furthermore, job creation through a HUF 450 billion programme to support investment projects was launched in early April 2020. Hungary received by the European Commission's Coronavirus Response Investment Initiative (CRII) around EUR 861 million (around HUF 304 bn) to help spending related to the COVID-19 crisis, that concern the health system, business

support, wage subsidies, social security contribution and tax cuts.

Residential Construction

New Housing

The Hungarian new housing market has become a positive segment of the construction market thanks to rising living standards and social subsidies for families. According to the last figures, published in June 2020 by EUROCONSTRUCT, increasing building permits have started to be translated into many more new housing starts in the last three years, given the lead time generally between permits and new housing. However, after three years of consecutive growth, the number of building permits has declined in 2019 and recorded -17%. Hungary's new construction market has been boosted by legislative developments. Poor residential construction output in 2015 is believed to have been caused by weakened demand, which led to the cancellation of some building plans. This was driven by the lack of financing for buyers, and high property and sales tax, which causes consumers to struggle to complete the financing of their new dwelling. The government, therefore, was obliged to modify its tax policy and implement a tax relief, and to broaden grants for young families building a home. These measures, coupled with a positive economy, resulted in a rise in the number of new houses. Overall housing completions increased by 21.4% in 2019. The number of new one- and two-family houses completed, and apartment flats delivered, increased sharply in 2019. Start figures started to decrease before the COVID-19 outbreak as the market slowed down from early 2019. The impact of the COVID-19 should be even more significant.

In the medium to long term, Hungarian construction should benefit from several government measures that are intended to boost the market. The Home Purchase Allowance for Families scheme (CSOK - *Családok Otthonteremtési Kedvezménye*) is an updated version of an already-existing policy to stimulate the population growth in Hungary and should help to revitalise the construction market. Through this scheme, potential homeowners can receive an allowance (although this can vary greatly) of up to HUF 10 million (approximately EUR 31,000), with a further HUF 10 million in subsidised state credit. This scheme is significantly more worthwhile than the old scheme, in which homeowners could only receive up to HUF 2 million (EUR 6,350). From 2019 the allowance, however, is dependent on the household having two children, before and after the purchase of the house. HUF 15 million (approximately EUR 45,000) were available for families with three or more children. A significant amount of money, though, is still available for households that plan to have fewer children.

The Hungarian government's decision to reduce the VAT rate on the purchase of a new one or two-family house or apartment, by 22% (from 27% to 5%) came into force in January 2016. According to some industry experts, this could potentially create a substantial increase in new build sales, and consequently housing starts, over the next few years. In 2017, a new programme was launched, the National Home Creation Communities ('NOK' – *Nemzeti Otthonteremtési Közösség*),

organised by the Central NOK Zrt. The NOK is a form of savings for a newly built home purchase, whereby the applicants can have their home earlier than the end term without credit and interest. It is a community form of savings. The reduced value-added tax rate on new housing ended on 31 December 2019, as planned. The government doesn't want to encourage a potential bubble of the real estate market. However, properties that have a final building permit issued on 1 November 2018, should benefit from the reduced VAT rate until 31 December 2023.

Another scheme was introduced in 2017 by the National Bank of Hungary (MNB): the certified consumer-friendly housing loans (CCHL). The objective is to offer transparent mortgage loans with fixed interest rates and equal monthly repayment instalments. In October 2018, this loan started to have a marginal effect due to the change of structure.

Housing RMI

Dwellings are increasingly regarded as assets for investment for Hungarian households and, for this reason, renovation and modernisation, including energy-efficient modernisations that follow transactions, remained a constant market driver in the 2017-2019 period.

Much of Hungary's housing stock is in need of repair, and the consumer and housing boom led to a significant increase in the purchase of home improvement products. It is estimated that replacement activity increased continuously from 2003 until the start of the economic crisis. This trend was further driven by European legislation and government incentives. As previously mentioned the CSOK (*Családi Otthonteremtési Kedvezmény*) incentive scheme awards families for having children and funds the purchase of a new dwelling or invests in dwelling renovation. In addition to this, families with two or more children could apply for a low-interest government loan and a decreased VAT rate of 5% on the building activity costs, but this scheme came to an end at the end of 2019. The reduced VAT rate should be applicable until the end of 2023 for sales of new residential properties having a final building permit issued before November 2018.

The government also launched, in April 2017, a zero-interest loan scheme to homeowners for energy-efficient modernisations such as solar thermal and PV installations, biomass boilers, heat pumps, improved insulation, and lighting retrofits. The budget of the scheme by the Hungarian Development Bank (MFB) is HUF 115 billion (EUR 370 million) until 2020.

Non-Residential Construction

According to the latest data published by EUROCONSTRUCT, new non-residential construction activity increased in 2019 (+12.4%), after a strong growth in 2018 (+14.2%). Investment in new private non-residential building construction increased in 2019, due to the intensification of the absorption of EU funds and the expansion in developments executed by entrepreneurs. Growth was seen in all subsectors in

2019, except agricultural buildings. Strong performances were recorded in office building (+19%), educational buildings (+18%) and industrial buildings (+16%). According to EUROCONSTRUCT, maintenance and improvement works on non-residential buildings have also increased (+11%) in 2019.

II.2 Key Figures

HU - DEMOGRAPHICS AND HOUSEHOLDS

Value		Year
Segmentation	Category	2019
Demographics	Population (% Rural)	28.65
	Population (% Urban)	71.35
	Population ('000)	9 938.00
Households	Average Size (Persons h/h)	2.42
	Total ('000)	4 106.00

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

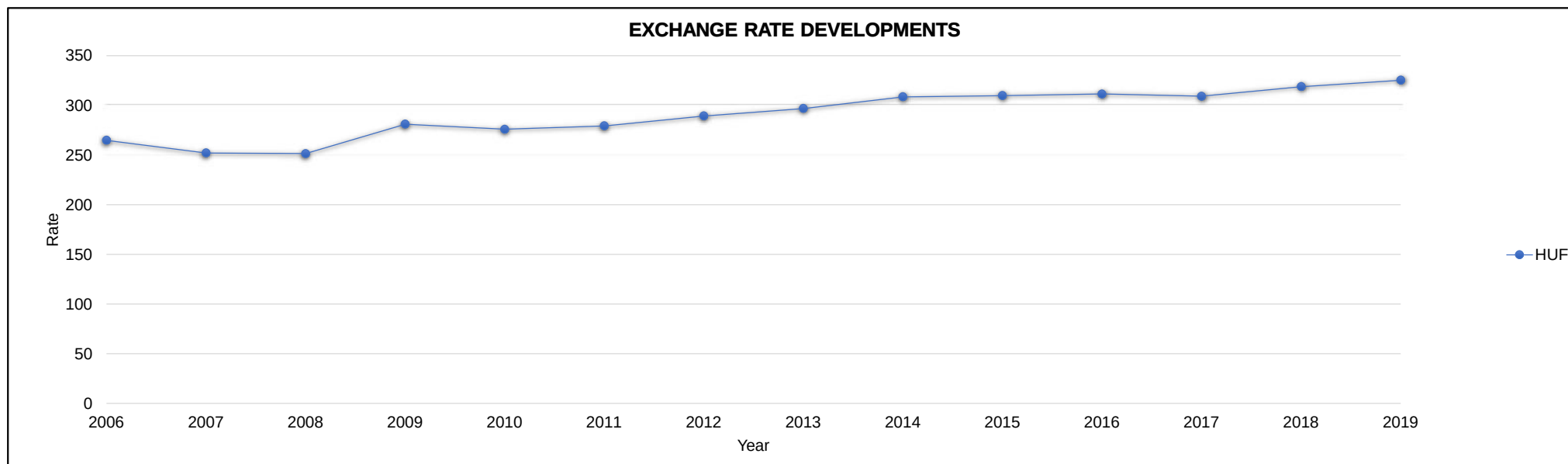
HU - KEY MACROECONOMIC INDICATORS

Value	Year																
Category	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	3.56	3.92	7.97	6.05	4.20	4.87	3.92	5.67	1.72	- 0.22	- 0.07	0.42	2.41	2.85	3.37	3.34	3.17
GDP (% change)	4.24	4.03	0.24	1.06	- 6.70	0.66	1.82	- 1.47	1.96	4.20	3.85	2.20	4.32	5.09	4.93	- 3.10	4.20
Government Balance (% of GDP)	- 7.79	- 9.26	- 5.03	- 3.62	- 4.55	- 4.46	- 5.24	- 2.34	- 2.60	- 2.78	- 2.01	- 1.81	- 2.46	- 2.15	- 2.05	- 2.99	- 1.62
Household Saving Rate (% of Disposable Income)	7.46	8.02	3.74	3.29	5.57	5.95	6.62	4.97	6.85	7.46	7.29	7.02	6.64	6.89	6.59	6.20	5.99
Private Consumption (% change)	2.86	1.55	1.04	- 1.27	- 6.72	- 2.79	0.61	- 2.43	0.04	2.35	3.80	2.15	4.49	5.13	4.93	- 7.99	4.58
Unemployment Rate (%)	7.20	7.48	7.40	7.82	10.03	11.17	11.03	11.00	10.18	7.73	6.81	5.12	4.16	3.71	3.42	5.40	3.98

Source : IMF and OECD.

N.B. No data available beyond 2021 at the time of publication.

II.4 Historical and Current Exchange Rates
 HU - EXCHANGE RATES : HISTORICAL AND CURRENT

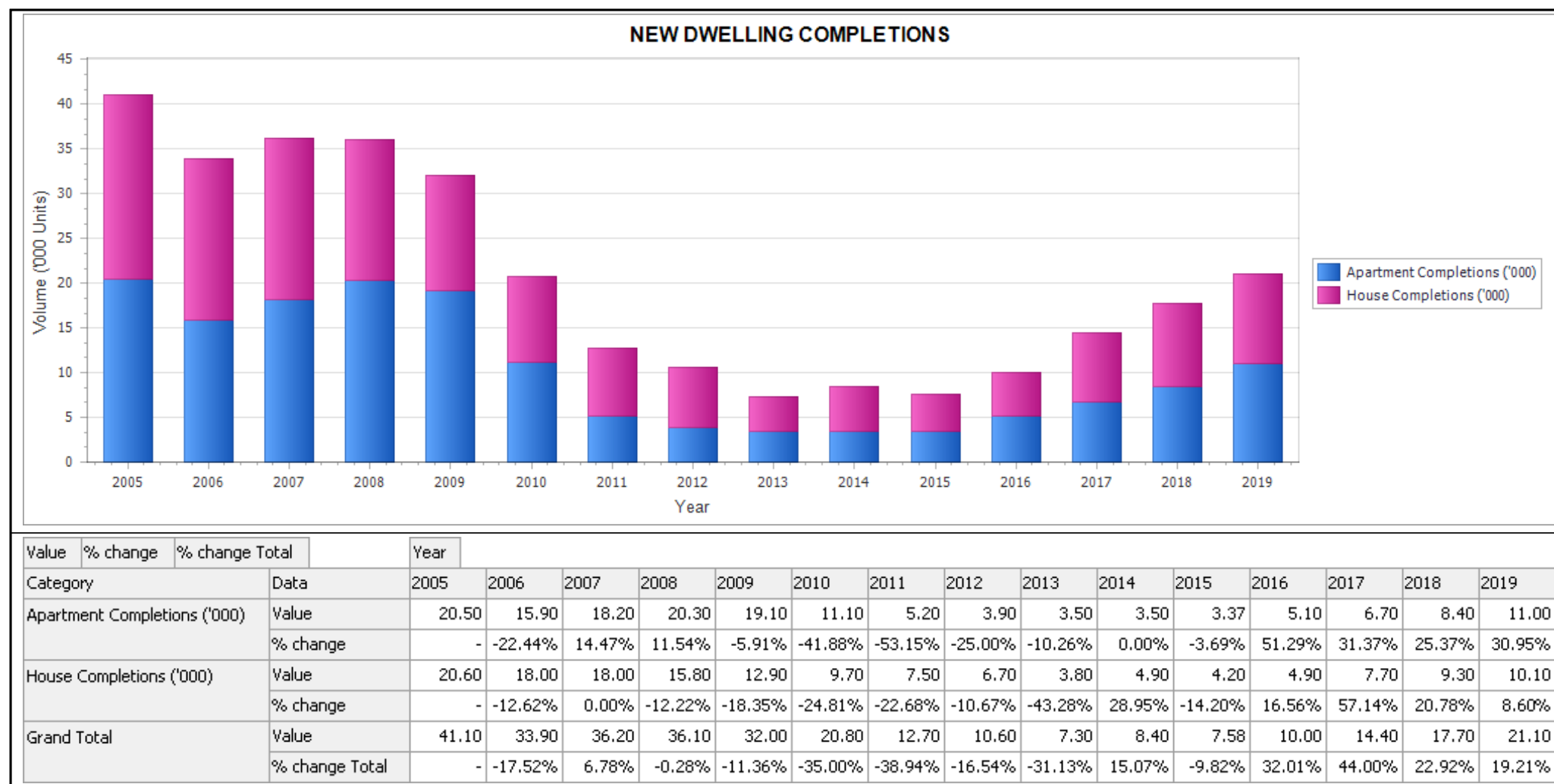


Local Currency	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
EUR / HUF	264.91	252.05	251.34	281.15	275.94	279.22	289.24	296.86	308.58	309.92	311.44	309.19	318.79	325.28
% change	-	-4.85%	-0.28%	11.86%	-1.85%	1.19%	3.59%	2.64%	3.95%	0.43%	0.49%	-0.72%	3.10%	2.04%

Source: OANDA
 The Hungarian Forint (HUF) is the Currency of Hungary. The Exchange Rates Shown are the HUF to the EUR.

II.5 New Dwelling Construction

HU - NEW DWELLING COMPLETIONS : HISTORICAL AND FORECASTS ('000 UNITS)



Source: BRG based on Country Statistics.

N.B. Due to the current uncertainties regarding the economy and construction, BRG is unable to provide an outlook for residential completions.

II.6 Dwelling Stock by Type and Tenure
 HU - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2019
Dwelling Stock by Type	Apartments (%)	41.75
	Apartments ('000)	1 860.21
	Houses : Rural (%)	38.26
	Houses : Rural ('000)	1 704.45
	Houses : Urban (%)	19.99
	Houses : Urban ('000)	890.84
Dwelling Stock by Tenure	Primary Owned (%)	81.32
	Primary Owned ('000)	3 623.02
	Primary Rented : Private (%)	1.93
	Primary Rented : Private ('000)	85.97
	Primary Rented : Public (%)	2.66
	Primary Rented : Public ('000)	118.58
	Secondary (%)	2.50
	Secondary ('000)	111.22
	Vacant (%)	11.60
	Vacant ('000)	516.70

Source: BRG based on Country Statistics.

II.7 Overview of Impact of COVID-19 on Forecasts

HU – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Start of the lockdown [expected start of easing]	From 11 March 2020, Hungary declared a state of emergency, with some curfew measures. On 17 March, Hungary closed its borders. A 14-day quarantine was put in place on 11 April 2020. Some areas experienced an ease of the measures from 4 May. In early June, borders started to re-open gradually to various countries. On 18 June, the government revoked the state of emergency. As of 22 July, Non-EU and non-EEA nationals or residents cannot enter in Hungary.
Number of officially confirmed cases	4,344 cases [596 confirmed deaths] as of 21 July 2020 / Population 9,9 million (end 2019).
General measures in place to support the economy	HUF 140 bn preferential loan program for Hungarian small businesses launched. Economic Revival Fund of HUF 1,345 bn to restart the economy was granted in early May, on top of the 663 bln from the Epidemic Prevention Fund to cover additional health spending.
Statistics on affected employees	As of early April, the number of unemployment increased by about 30,000 persons since the start of the COVID-19 pandemic. Unemployment rate reached 3.7% in Q1 2020. The number of jobseekers increased by 26.5% in April, in comparison to the same month in 2019.
Measures in place to mitigate economic impact on INDIVIDUALS	A temporary job retention programme has been announced by the government in early April, covering 70% of wage cost for up to three months of companies that lost 15-75% of their activity due to lockdown. Moreover, families and pensioners should benefit from a protection programme with the reinstatement of the 13 th month of pension, adding a week of pension over four years starting in February 2021. Furthermore, employees on unpaid leave are entitled to social benefits and employers are obliged to pay their minimum health security contribution.
Statistics on affected companies (% of total forced to suspend activities)	According to a government announcement on the 8 th June 2020, 9,772 companies had applied for job protection wage subsidies with the great majority being small businesses. The regional breakdown shows that most applications came from Budapest, Pest and Fejér counties. The program helped protect 153,643 jobs.
Specific measures affecting BUILDING CONSTRUCTION and RMI	In May, the construction output dropped by 20%, with a decrease of construction buildings by 24%, when compared to May 2019. The construction output dropped by 5.6% in the first five months of 2020.
Measures in place to mitigate economic impact on COMPANIES	In early April, a HUF 450 bn programme was launched to support investment project for job creation.
Support measures from international organisations (EU, IMF, World Bank, other)	Suspension of the EU's deficit limits , so member states can boost spending. Up to EUR 800 mln available for European countries in 2020 to cover public health emergencies (from the extension of the EU Solidarity Fund). EUR 750 bln EU Recovery Fund approved in July 2020. The European Commission's Coronavirus Response Investment Initiative (CRII) financed crisis-related spending in Hungary for health system, business support, wage subsidies, social security contribution and tax cuts with EUR 861 million (around HUF 304 billions)..

Sources:

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HUNGARY

DISTRIBUTION

THE EUROPEAN HEATING PRODUCT MARKETS



Overview

In the Hungarian distribution market, it is currently difficult to distinguish between wholesalers and retailers. Most wholesalers also sell to end consumers, sometimes without offering much price difference between private consumers and trade professionals/installers. Many wholesalers also run retail stores, generally under the same brand name. Most wholesalers still offer both bathroom and heating products, but a degree of specialisation has started to take place, with some wholesalers emerging as bathroom wholesalers and others as heating wholesalers. The distribution of sanitary and heating products is essentially separate from the distribution of building materials, although some of the building merchants offer these products as well. It is worth pointing out that some wholesalers, although specialising in heating or plumbing products, also offer bathroom accessories. In Hungary, it is difficult to identify the main wholesalers, because their turnover figures are not always available, and it is not always possible to know which share of their turnover is from heating products and which is from sanitary products.

There are several distribution channels for bathroom products in Hungary. The first is the traditional three-step channel – from manufacturer/importer, to specialised sanitary and heating wholesaler, to installers (i.e. the distribution channel used by ALFÖLDI, RAVAK and ROLTECHNIK). Next, bathroom products in Hungary are also often directly distributed from the manufacturer/importer to installers, for instance in the case of large non-residential projects. On the other hand, the DIY channel also holds a key position on the Hungarian market, since Hungarian consumers are believed to be price-sensitive and, therefore, are looking for low-priced products. The distribution channel from the manufacturer to the wholesaler and then to DIY is commonly used by the main bathroom manufacturers. SANIMIX and SANOTECHNIK are typical wholesalers that channel all kinds of sanitary products to DIY stores. The subsidiary of the German hypermarket, METRO, also sells some sanitary and heating products, bathroom accessories and furniture, although that is not its main focus. Most bathroom product manufacturers are believed to distribute their stocks through the wholesaler and DIY channels, rather than employ multi-channel strategies. However, some of them, especially in the taps and mixers market, have started to employ a multi-channel strategy by adding online sales to traditional channels. Nevertheless, to implement such a strategy manufacturers need to adopt a coherent price policy to satisfy their different partners.

Since 1991, a number of foreign wholesalers, mainly German and Austrian, have set up their own subsidiaries in Hungary. Together with the numerous small companies that have appeared on the market, they have started a trend for more innovative and flexible trading and introduced the marketing approach used among wholesalers present in Hungary. From January 2016, a change of ownership took place with the acquisition by the IN GROUP, which operates STAVMAT building material stores in Slovakia and the Czech Republic. In Hungary, the IN Group continued to keep the name RAAB KARCHER, so the company became RAAB

KARCHER ÉPÍTANYAG KERESKEDELMI ZRT. Since 2017, the company has operated under the name STAVMAT ÉPÍTANYAG KERESKEDELMI ZRT.

Wholesale Level

It is slightly more difficult to identify the leading wholesalers in Eastern Europe than in Western Europe. Although many of them have high profiles, this is not a reliable indicator of the extent of their influence on the industry. It appears that the wholesale level has become more dynamic, and certainly more Westernised, under the greater influx of Western European products on the Hungarian market over the past few years. The Hungarian wholesaler segment has been seriously affected by the problems of the construction sector, as well as the pessimistic general economic environment.

As previously stated, the wholesale trade is considered to be the key segment for the Hungarian bathroom product distribution sector, and is dominated by several key players. The most important wholesalers on the Hungarian market are detailed below.

ERS, based in Budapest, imports among others, ROCA, GEBERIT (with the former SANITEC brands), VILLEROY & BOCH, LAUFEN, ALFÖLDI DURAVIT, GSI, GALA and ROCA ceramic sanitary ware, DURAVIT acrylic baths, HANSGROHE, HANSA, GROHE, KWC, CRISTINA, KLUDI and RAMON SOLER taps and mixers, HÜPPE products, KALDEWEI products, PRACTIC steel shower trays, GEBERIT plastic cisterns, BLB products, and GALA, GROHE and HANSGROHE shower panels.

GRAVITÁCIÓ has two depots in Szombathely: one with 17,000 m² (with a 5,000 m² wholesaler depot and a 700 m² discount store) and one with 6,000 m² surface area (with a 1,400 m² wholesaler depot and a 400 m² showroom). The company owns a local merchant in Nagykanizsa (VIKY GÉP) and a subsidiary in Romania (GRAVITACIO INST. S.R.L.).

KAPUY FUTÉSTECHNIKAI KERESKELEDMI ÉS SZOLGÁLTATÓ K.F.T. has five outlets in Hungary: four in Budapest and one in Budaörs.

MEGATHERM K.F.T. has its headquarters in Érd, which is one of Hungary's biggest wholesalers to specialise in heating products. MEGATHERM has 22 outlets/stores. The company conducts its wholesale activity from its Budapest distribution centre, which has 1,500 m² of surface area. Nevertheless, the company also has wholesale depots in Debrecen, Gyr and Szeged.

MERKAPT K.F.T. acts not only as a wholesaler, but also as a retailer. The company conducts its wholesale activity from its Budapest distribution centre. MERKAPT is the leading member of the ÉPÜLETGÉPÉSZ ÚNÍÓ buying group. There are currently 11 outlets in Hungary, with a new retail store which opened with a bathroom showroom in Obuda in 2019.

PALATINUS has its headquarters in Eger and acts as a wholesaler (with two depots in Budapest, one wholesaler and one tile discount store). It also engages in retail activity via its showrooms located in Eger, Miskolc, Békéscsaba, Kecskemét, Debrecen and Budapest. The company is one of ROCA's importers (selling taps and mixers, ceramic sanitary ware, baths and shower enclosures). It also distributes RAVAK synthetic baths, synthetic shower trays, shower enclosures and shower panels; GROHE, WEBERT, TRES and KLUDI taps and mixers; RAVAK and WELLIS shower panels; RAVAK and HÜPPE shower enclosures; CERSANIT ceramic sanitary ware; and RAVAK and WELLIS hydromassage products.

SVÁBBAU K.F.T. sells KERAMAG, LAUFEN and DURAVIT ceramic sanitary ware; GROHE, HANSGROHE and DORNBRAUCH taps and mixers; KALDEWEI steel baths and shower trays; BETTE, KERAMAG, KORALLE and HOESCH baths; KALDEWEI, HÜPPE, HOESCH, BETTE, KORALLE and KERAMAG shower enclosures; HANSGROHE and GROHE shower panels; KERAMAG, HOESCH, KORALLE, HANSGROHE, KALDEWEI and BETTE hydrotherapy products; and GEBERIT, GROHE and VIEGA plastic cisterns.

SZATMÁRI K.F.T. has a 28,000 m² surface area depot, and operates via 36 distribution centres.

At present, there are two buying groups identified in the Hungarian supply structure. Made up of independent distributors, these buying groups have demonstrated flexibility and reactivity.

GÉPÉSZ is a buying group that has the following subsidiaries: MIGÉP (Miskolc), DEGÉP (Debrecen), VIKY GÉP (part of GRAVITÁCIÓ in Nagykanizsa), MOHÁCSGÉP (Mohács), and ALISCAGÉP (Szekszárd); except for MIGÉP, all the subsidiaries were integrated under the founding members of the buying group. In 2007, PLAN and SZIDO established ÉPGÉPÉSZ HOLDING K.F.T. to merge marketing and commercial activities.

Finally, the main foreign wholesalers active in Hungary are MART ÉPÍTŐIPARI KERESKEDELMI K.F.T and GIENGER K.F.T. MART ÉPÍTŐIPARI KERESKEDELMI K.F.T. Overall, MART has 3 AQUA MART showrooms and 28 'MESTERCENTRUM' outlets in Hungary, of which one is located at MART's headquarters in Dunakeszi and 5 are in Budapest. GIENGER TECHNIK BUDAPEST mainly specialises in bathroom products, while GIENGER K.F.T. focuses mainly on heating products.

SAINT-GOBAIN's RAAB KARCHER which established its position in the Hungarian market by buying three regional TÜZÉP companies, has continuously expanded its distribution network and now has 26 outlets all over the country (some outlets have been closed in the past three years). RAAB KARCHER TÜZÉP currently has a DECOCERAM store in Budapest, with 1,500 m² of surface area. Another new SAINT-GOBAIN concept is PLATFORM, with two stores in Hungary (in Budapest and Budaörs).

Retail Level

DIY Retailers

Hungarians are ‘DIY-ers’ and, therefore, there is a considerable market for DIY in Hungary, given the size of the country. The cautious rate of growth in the DIY sector can be attributed to the fact that, in the past, DIY stores in Hungary did not really operate in the same manner as those in Western Europe. They tended to sell fairly expensive imports instead of cheaper unbranded products, and this impeded development because of the poor economic situation during the mid-1990s. Most of the DIY retailers opened in the early 1990s thanks to the stabilisation of the political situation in the country. The successful transition to a democratic system triggered foreign capital flow and new investments.

Nowadays, players in the industry seem to regard DIY stores as selling low segment and low-quality products. It seems that DIY stores have now moved towards cheaper products and are attracting domestic manufacturers to their outlets. The sector was seriously affected by the economic crisis; DIY chains have registered losses during the previous four years. There is still no clear distinction between retailers and wholesalers in Hungary, and wholesalers carry out various degrees of retailing activities. SZATMÁRI, MEGATHERM, GIENGER, MART/WOLSELEY, KOMÉTA, SZIDO, GRAVITÁCIÓ and other major wholesalers obtain a substantial income from retailing.

It is estimated that there are around 70 DIY stores in Hungary, with OBI being the market leader in this segment. The other DIY chains include PRAKTIKER, and BAUHAUS.

The German DIY chain PRAKTIKER has 20 outlets in Hungary, located in Budapest (five outlets), Székesfehérvár (two), Szolnok, Győr, Szombathely, Zalaegerszeg, Pécs, Kecskemét, Szeged, Miskolc, Nyíregyháza, Vecsés, Kaposvár, Esztergom, Békéscsaba, and Debrecen. In 2013, Praktiker Group announced its insolvency and some subsidiaries of the group were sold. This did not affect the Hungarian subsidiary. In 2019, they worked with 340 suppliers, of which more than 80% are Hungarian companies. Since the announcement of the sharp increase of their revenue in 2019 (+18%), PRAKTIKER is now the second largest player on the DIY market – with 33% of the market share, representing HUF 190 billion. PRAKTIKER is placing greater emphasis on medium and high-end products, to answer the demand of their clients.

OBI opened its first store in Budapest and now has ten stores in and around the capital, two in Szeged, and one each in Budaörs, Kaposvár, Veszprém, Siófok, Dunaújváros, Tatabánya, Kecskemét, Gyöngyös, Keszthely, Békéscsaba, Szolnok, Eger, Miskolc, Nagykanizsa, Szekszárd, Nyíregyháza, and Sopron. OBI has now five stores around Lake Balaton.

The German DIY chain BAUHAUS has been active in Hungary since 2007, and currently operates three outlets around Budapest.

METRO AG opened its CASH & CARRY METRO general retailer shops, which are designed more for small businesses than for the public. METRO has outlets in Budapest, Budaörs, Debrecen, Szeged, Pécs, Miskolc, Szombathely, Nyíregyháza, Gyr, Kecskemét, Budakalász, and Szekesfehérvár.

IKEA is by far the most popular household store, there are two in Budapest. There is also an IKEA in Vienna South at the Shopping City Süd, very easy to get to from western Hungary.

In 2020, the COVID-19 outbreak and its consequences triggered increased sales in the DIY market as people were restricted to their own homes and worked on home improvements. The industry stated that most sales were generated on sanitary, garden, building materials and tiling products during this period.

Internet Retailers

Although levels of online sales remain behind high street sales, e-commerce has grown strongly in Hungary but it is difficult to estimate the share of HVAC products out of total internet sales. Online sales have benefited from Hungary's growing number of internet users, better internet connections and the sharply-rising number of online web shops. Internet sales are currently growing at a fast rate in Hungary. According to the latest data available, e-commerce grew further in 2019 compared to 2018, to reach HUF 781 billion (around EUR 2.2 billion). With a steady growth of approximately 17% between 2018 and 2019, the e-commerce industry in Hungary recorded a net progression, which suggests that Hungarians are more willing to use the Internet as a purchase channel. The e-commerce in Hungary is expected to reach around EUR 4.9 billion by 2024, with a great opportunity for the market to grow due to the COVID-19 outbreak. Nine out of ten Hungarians have already bought something online. It is worth noticing that, throughout the years, the value of the orders increase at the expense of the frequency of the orders. Nevertheless, BRG believes that internet sales are still only marginal for bathroom products, even though they have large potential.

The levels of internet sales are however much higher within certain bathroom product categories than within others. Products that are difficult and expensive to transport, as well as complex to install (baths, shower trays and ceramic sanitary ware), see a much lower proportion of sales through the internet channel than products that are cheap to transport and can be installed either by the consumers themselves or by a hired installer (bathroom furniture, bathroom accessories, shower accessories and even taps and mixers). According to industry feedback, taps and mixers are increasingly offered online, which enables consumers to obtain high quality products at lower prices. This trend is most likely putting pressure on traditional distribution channels, such as showrooms and DIY as well as small-sized manufacturers. The boom for internet retailers that offer both heating and bathroom products is expected to stop at some point, and only those providing a

reliable service should stay on the market. Many online stores that offer heating products at very low prices are collecting a certain number of orders, and then arranging deals with the traditional installation companies or distributors.

III.2 Summary of Leading Distributors
HU - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation														Buying Group Affiliation
				Year End	Billion (HUF)	No. of Depots	Geographical Coverage	Specialist						Specialist						Other		
								Total	Heat	Bath	Plumbing	Vent/Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify		
GENCSI	GENCSI KERESKEDELMI K.F.T.	Wholesaler/Retailer	Heating and Sanitary/Plumbing	2018	0.02	1	National	XXX	XX	XX												ÉP-GÉPÉSZ HOLDING
FOGARASI	FOGARASI ÉPÜLETGÉPÉSZETI ÉS MŰSZAKI K.F.T.	Wholesaler/Retailer	Heating and Sanitary/Plumbing	2019	13.77	7	National	XXX	XXX	XX												
CSOFÉM	CSOFÉM BT.	Wholesaler/Retailer	Heating and Sanitary/Plumbing	2019	2.16	3	National		XX	XX												
SZATMÁRI	SZATMÁRI KERESKEDELMI ÉS SZOLGÁLTATÓ K.F.T.	Wholesaler/Importer	Mixed Merchant	2018	36.25	32	National	XXX	XXX	XX			X		X							
GÉPÉSZ	GÉPÉSZ KOORDINÁTOR K.F.T.	Wholesaler/Importer	Heating, Sanitary/Plumbing & Tiles	2019	19.46	2	National	XXX	XXX	X												ÉP-GÉPÉSZ HOLDING
MEGATHERM	MEGATHERM K.F.T.	Wholesaler/Importer	Heating and Sanitary/Plumbing	2018	9.67	21	Budapest (6), Érd (2), Budaörs, Mór, Székesfehérvár, Tatabánya, Veszprém, Keszthely, Balatonlelle, Kaposvár, Szolnok, Nyíregyháza.	XXX	XXX	XX												
GRAVITÁCIÓ	GRAVITÁCIÓ KERESKEDELMI K.F.T.	Wholesaler/Importer	Heating and Sanitary/Plumbing	2019	9.25	7	Szombathely / National	XXX	XXX	XX				X	X							ÉP-GÉPÉSZ HOLDING
SVÁBBAU	SVÁBBAU K.F.T.	Wholesaler/Importer	Heating and Sanitary/Plumbing	2018	2.23	2	National	XX	X	XX												
GC GROUP	GIENGER-KOMFORT ÉPÜLETGÉPÉSZETI NAGYKERESKEDELMI K.F. T.	Wholesaler/Importer	Heating and Sanitary/Plumbing	2019	1.05	2	National		XX	X												
KARDOS LABOR	KARDOS LABOR ELEKTRONIK K.F.T.	Wholesaler/Importer	Heating and Sanitary/Plumbing	2018	0.11	1	National	XXX	XXX	XX	X	X										
MERKAPT	MERKAPT Zrt.	Wholesaler/Importer	Heating and Sanitary/Plumbing	2019	0.02	11	National															
TENGELMANN	OBI HUNGARY RETAIL K. F.T.	DIY Retailer	DIY Assortment	2018	87.19	29	National	XX	XX	XX	XX	X	XX	XXX	XX	XX	XX	XX	X	Cladding & Plaster Products		
PRAKTIKER GROUP	PRAKTIKER ÉPÍTÉSI ÉS BARKÁCSPIACOK K.F.T.	DIY Retailer	DIY Assortment	2018	57.10	20	Budapest and near Budapest: (9 outlets) - Other cities: 20 outlets	XX	XX	XX	XX	X	XX	XXX	XX	XX	XX	XX	X	Cladding & Plaster Products		
BAUHAUS	BAUHAUS SZAKÁRUHÁZAK KERESKEDELMI B.T.	DIY Retailer	DIY Assortment	2018	24.59	3	Dunakeszi, Maglód, Szigetszentmiklós	X	XX	XXX	XX	X	X	XXX	XX	XX	XX	XX	XX	Cladding & Plaster Products		

Source: BRG based on financial reports

HUNGARY

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Technological Trends

The Hungarian market is characterised by a high number of baths sold per annum, whereas in most other European countries the numbers of baths sold per year has fallen dramatically. This can be linked to the fact that, due to the high level of social housing (in which baths are typically installed), Hungary has not been as big a contributor in the shower tray market. As they are designed to be rented, apartments in blocks of flats and panel apartment buildings tend to have standard equipment installed.

The overall market for both baths and shower trays grew fairly consistently from the early 1990s until 2003, benefiting from not only the new construction boom but also favourable RMI activity. This contributed to the enlargement of the bath park. From this point, the shower tray market began to see growth, positively impacted by the significant renovation and refurbishment works undertaken by Hungarian hotel chains to bring them up to Western standards of comfort. The economic crisis additionally affected this segment, with the overall market declining due to the contraction of the new construction market and poor renovation activity. Before the start of the economic crisis, the Hungarian housing market, both new build and existing, recorded exceptional growth. However, the economic crisis has severely affected residential construction, with new construction output, new building permits and mortgage lending being at dramatically low levels compared to the height of the boom (1997-2007). This has ultimately impacted sales of baths and shower trays going to this end-use segment and led to the market becoming more reliant on the RMI end-use segment. Furthermore, sales have never returned to the pre-crisis levels.

Hungary has had a long tradition regarding the installation of cast iron baths, which goes back to the beginning of the last century. Until 1990, the domestic market was monopolised by one large producer, KZK, which also happened to be the only bath manufacturer in the country. After the change of regime in 1989, the government decided to liberalise imports of baths, and foreign bath manufacturers (mainly from Italy) started to sell in the Hungarian market. KZK's successor, KORBAD, ceased its production in 2001 as cast iron bath sales continued to decrease, and now this segment accounts for a marginal share of total sales.

Steel baths became the predominant product segment in the first part of the last decade, and was responsible for the initial demise of the cast iron market. However, sales of steel baths have contracted strongly following the increased popularity of synthetic baths and negative economic developments. Nevertheless, following the economic crisis a significant number of steel baths and shower trays continue to be sold per annum; these are the cheapest products available on the market, and are ideal for direct supply and mass distribution, particularly for the contract market. The ceramic shower tray market is only marginal in Hungary.

Similarly to the synthetic bath segment, synthetic shower trays have gained popularity during the last decade to the detriment of steel material models; the expansion of designs and offerings has helped the synthetic shower tray segment to develop further in recent years. Despite there being a trend towards showering, bath sales still exceed sales of shower trays as consumers have increasingly asked for more comfort, space and design. Wet shower rooms gradually attract the interest of a growing number of consumers – and sales have been increasing in recent years.

Recent Market Trends

Overall combined sales of baths and shower trays continued to grow in 2019, driven by the increase in the shower trays market due to the considerable growth in new housing construction. The 2019 increase in new dwellings positively affected sales of synthetic baths and synthetic shower trays, which recorded the strongest growth in the market. Demand for steel models declined due to consumer preferences changing towards synthetic models. Cast iron baths remained a niche market in 2019, with only a handful of sales provided by manufacturers – more as a completion of their offering than as a signature product. In the bath segment, synthetic models still comprised the bulk of sales in 2019. Among non-hydrotherapy products, a slight switch towards shower trays was recorded in 2019 due to the decrease of the steel baths, which could not be offset by the growing curve of synthetic models. However, Hungary remained behind the European trend towards showering, as bath sales remain higher than those of shower trays.

The residential renovation remained the most important end-use in Hungary, benefiting from the economic improvement observed in recent years. As in the previous years, due to increasing confidence and the stable condition of the domestic labour market, families were more eager to secure mortgage deals that they were not able to attain over the crisis years. This, in turn, continued to affect positively RMI demand. In addition, it is worth mentioning that the Hungarian market for bath and shower trays in 2019 also continued to be driven by family incentive schemes such as the CSOK (Családi Otthonteremtési Kedvezmény), low-interest government loans, and a decreased VAT rate of 5% on building activity costs and materials.

Mineral cast baths are continuously taking share over acrylic products, even though they continued to represent a small part of the sales. Mineral casting baths do not contain toxic substances, are more resistant to physical damage, and guarantee a modern aesthetic combined with long-lasting surface smoothness which prevents microbial growth. Several players offer baths and trays made of specially developed material too. For example, VILLEROY & BOCH manufactures bathroom products among others from quarryl, which is a specially prepared mix of acryl and quartz. Also, solid surface baths and shower trays are already available on the Hungarian market; however, primarily due to relatively high prices, they remain a premium niche product. Most sales of synthetic baths and shower trays continued to be acrylic models in 2019.

With regards to the shower trays market, the rectangular shape remained the most popular models, due to their functionality and aesthetics. Square models also held a significant part of the sales, especially for steel/ cast iron shower trays, for the same reasons. The latter remained relatively small on the overall shower trays market but continued to benefit from a long-lasting reputation. Sales of ceramic shower trays remained at the residual level in comparison to the former two products, which denotes a general unpopularity of this product among Hungarian consumers, due to their high cost and fragility.

Overall sales of hydrotherapy products in Hungary kept decreasing in 2019, primarily due to a decline in sales of hydromassage baths with sales of hydrotherapy shower cubicles showing more resilience to tough market conditions.

Prices and Market Values

The overall value (measured both in HUN and EUR) of the domestic market for baths, shower trays and hydrotherapy products increased in 2019, resulting from a combination of volume and MSP increase. Most products recorded an increase in MSPs in 2019. The increase of MSP in HUF was translated in a positive development in EUR even though the exchange rate had a negative impact. Stable increases in the prices of raw materials, growing prices of oil since the beginning of 2016, and growing labour costs resulting primarily from workforce shortages in Hungary continued to push up production and transportation costs in 2019. Also, growing popularity of medium and upper/luxury models to the detriment of economy/lower price-ranged models, boosted by increasing wages in recent years, contributed to a rise in the average MSPs for all products. However, the COVID-19 pandemic is likely to hamper the positive development of the average MSP in the short-term.

With regards to the shower tray market, the overall MSP also increased in 2019, for the same reasons as the bath market. Steel shower trays are largely sold in the economy/lower priced segment, reflecting their historical popularity among Hungarian consumers. The average MSP for synthetic shower trays also increased in 2019, and the products are mainly sold in the middle-priced segment.

New Housing

Sales of baths and shower trays to new apartments and houses continued to grow at a significant pace in 2019, being driven by the increasing number of dwelling completions in 2019. As in the previous years, demand for baths in 2019 accounted for the majority of the new housing segment. However, the shower trays market grew more sharply than the bath market in percentage term. This could be explained by the change of preference by contractors and households from bathing to showering. Most European countries started this switch for space saving reasons but Hungary remained strong on the bath market in new constructions. As the m² become more expensive, the size of dwellings – and bathrooms – began decreasing. Hungary has a long-lasting tradition towards baths, which makes this

market more resistant to the switch.

The penetration of wet rooms is becoming increasingly important and recorded the sharpest growth rate in 2019 in the new housing segment. Wet rooms have developed to some extent in recent years in Hungary, and sales have primarily been driven by demand from new houses. The installation of a wet room in an existing dwelling is rather rare, as it requires the total refurbishment of a bathroom, which suggests that, in most cases, these products are mainly installed in new housing.

Moreover, the positive momentum on the domestic market for residential construction affected positively sales of hydrotherapy products to the new housing segment. As in the previous years, overall sales remained dominated by hydrotherapy shower cubicles, followed by hydromassage baths.

Housing RMI

As with any mature market, the replacement and refurbishment segment is the main destination for both baths and shower trays. Hungary's heightened consumer confidence and job security continued to positively affect sales of baths and shower trays to this segment in 2019, with consumer preference still firmly towards synthetic baths and shower trays. In addition, sales of baths in this end-use sector remained significant, as there is still a large park of dwellings with baths, which continued to generate replacement demand. Moreover, the CSOK incentive scheme favouring a dynamic renovation market is expected to end in 2023, triggering the RMI.

The displacement of baths with shower trays became more significant in dwellings that are occupied by the elderly, as the Hungarian population is ageing. This can explain the sharper increase in shower trays used in renovations, in comparison to the moderate growth of the bath market in 2019. Ceramic shower trays are only represented in the renovation market.

Overall, sales of hydromassage baths to housing RMI decreased in 2019 due to the lack of popularity of such products.

Non-Housing

Most of the non-housing demand for baths and shower trays in Hungary comes from hotels, pensioners' homes and other temporary accommodation facilities. Sales to the non-housing sector grew in 2019 for the bath, shower tray and hydrotherapy markets. Non-housing demand increased, firstly as a result of the improvement of macroeconomic indicators, and secondly due to the marginal increase in non-housing.

Synthetic baths and shower trays remained the strongest-selling products in their respective markets in the non-housing segment.

Supply Structure

The Hungarian bath and shower tray market is heavily reliant on imports, of which the majority come from China, the Czech Republic and Poland. The number of suppliers in the cast iron bath market has significantly decreased over the past few years, following the collapse of the market.

SANIMIX (imported mainly from China) is the market leader in the market for synthetic baths, followed by RAVAK and META. Plus, WELLIS, SAPHO and RIHO have a strong position in this market. The Czech RAVAK is the market leader in the market for synthetic shower trays, followed by ROLTECHNIK, RADAWAY and SANIMIX.

In synthetic baths and shower trays, the largest volume of imports comes from China (from SANIMIX, as well as other brands like FEROMIX, and SZATMÁRI unbranded imports). There is a large quantity of cheap steel baths in the market, imported mainly from China (the most important distributor of these products being FARSZER).

On the hydrotherapy side, the largest market for hydromassage baths is dominated by WELLIS, while the hydrotherapy shower cubicle is in the hands of SANIMIX and AQUALIFE.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The outbreak of the COVID-19 pandemic should severely hinder the development of the Hungarian economy in 2020, directly affecting internal demand and supply, while also drastically worsening the conditions in other countries. Nonetheless, a moderate recession is expected in terms of GDP growth for 2020, with a substantial bounce back in 2021, announcing the rebound of the Hungarian economy.. The consumer confidence should be considerably affected as there is strong uncertainty on the evolution of the events and economic impact of the COVID-19 outbreak. However, the impact of the COVID-19 outbreak on the Hungarian construction completions should be noticed in 2021 and 2022. Both macroeconomic and construction indicators seems to hint a slowdown of the bathroom market up to 2023 in Hungary, compared to the 2019 prevision. In fact, the baths and shower trays market are expected to decrease in 2020, driven by the decrease of the renovations market. In 2021 and 2022, the new housing market is anticipated to drop in both markets but the strong RMI should offset this decline and both markets are likely to rebound being driven by resuming consumer confidence. Practically all new investments had to be postponed or called off. The

situation for consumers should also considerably worsen, with the unemployment rate and inflation expected to rise dramatically and average wages very likely to drastically decline. To what extent the pandemic will affect the market depends much on how long the crisis will last. Still, a great number of companies, particularly SMEs, may be facing bankruptcy.

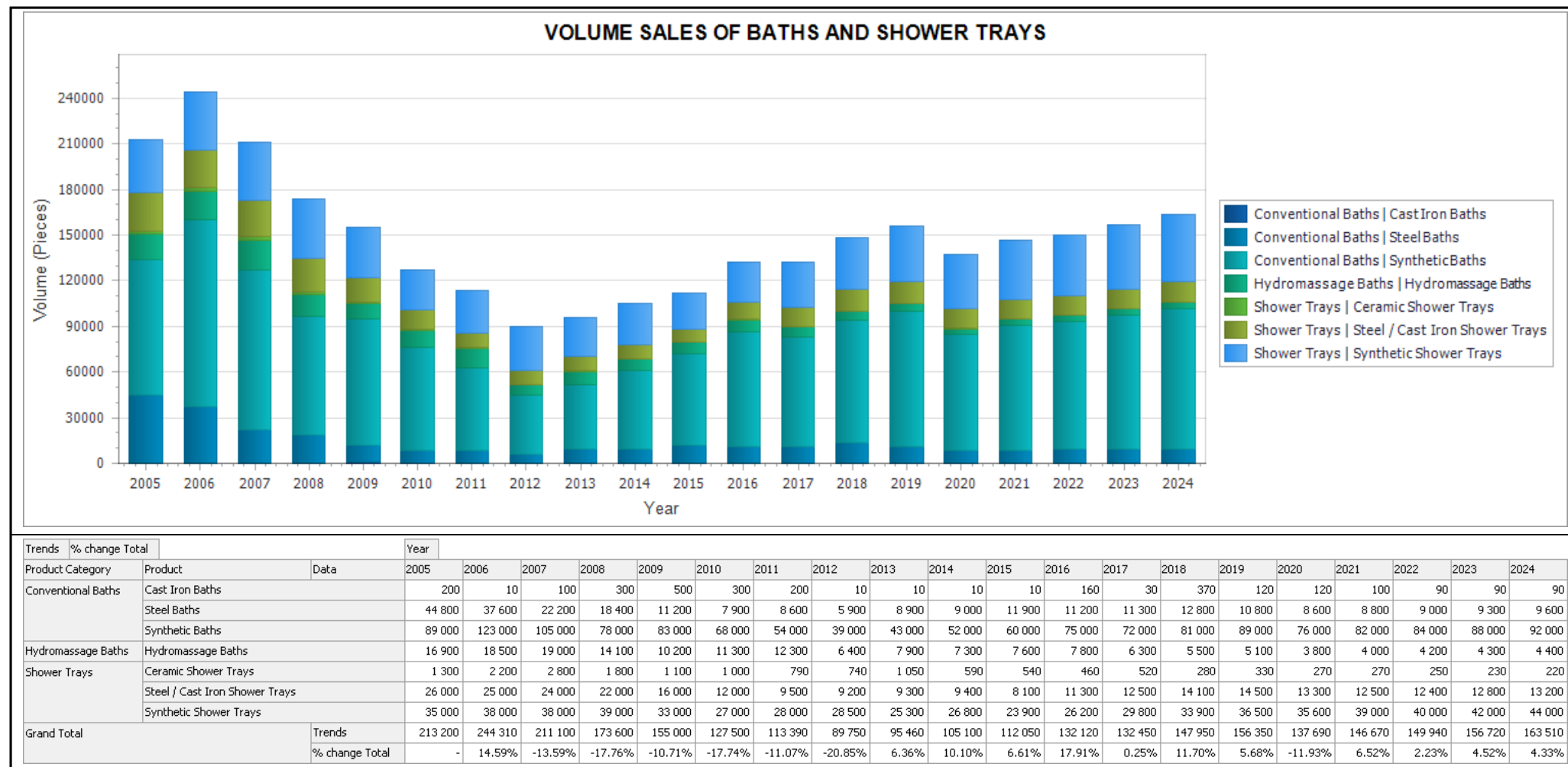
The outbreak of the COVID-19 pandemic, is expected to have a drastically negative impact on the RMI segment. Although some small renovations or replacements are likely to be carried out by customers on their own, this may only partially offset the decline, as the vast majority of installers saw a radical decrease in orders. In the short- to medium-term, the RMI sector should also suffer considerable contraction due to large and medium RMI projects being frozen, and sales dramatically reduced during the pandemic. BRG expects that in the long run, like-for-like replacement of baths will decrease slowly, whilst displacement sales and like-for-like replacements of shower trays, mostly synthetic, are set to continue gaining popularity. Sales of shower trays to RMI in the long-term should grow well, with the growth rate tempered by the competition from walk-in showers, which nowadays are becoming more and more popular.

The ongoing substitution trend from baths to showers should be a pattern of the market during the forecast period, even though the bath market should continue to account for the bulk of sales. Smaller bathrooms and general consumer preference for showering should be the main drivers for this trend, with synthetic shower trays expected to gain share from steel/cast iron shower trays, while the product mix within the bath market is set to remain fairly unchanged in BRG's prognosis with synthetic baths slightly gaining share at the expense of cast-iron/steel models.

In the mid-term, sales of baths are expected to rebound until the end of the forecast period. The shower tray market should grow from 2021. Hydrotherapy market is expected to rebound, driven exclusively by the hydromassage bath market - as it should rebound in 2021 but would be unlikely to come back to a pre-crisis level of sales. Hydrotherapy shower cubicles are not set to rebound in the future, hampered by the development of the shower panel market in Hungary and their high price.

1.2 Historical Trends and Forecasts

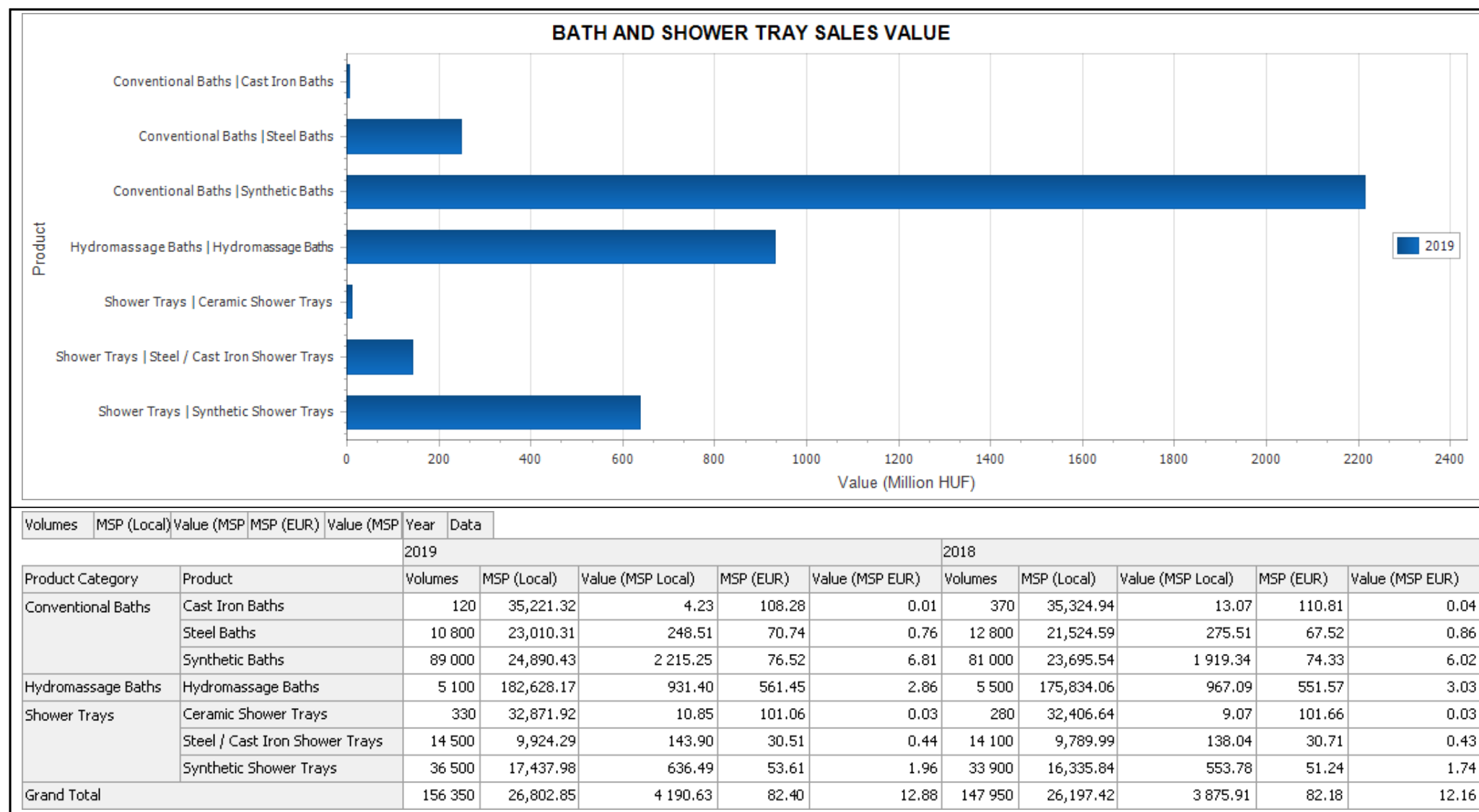
HU - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

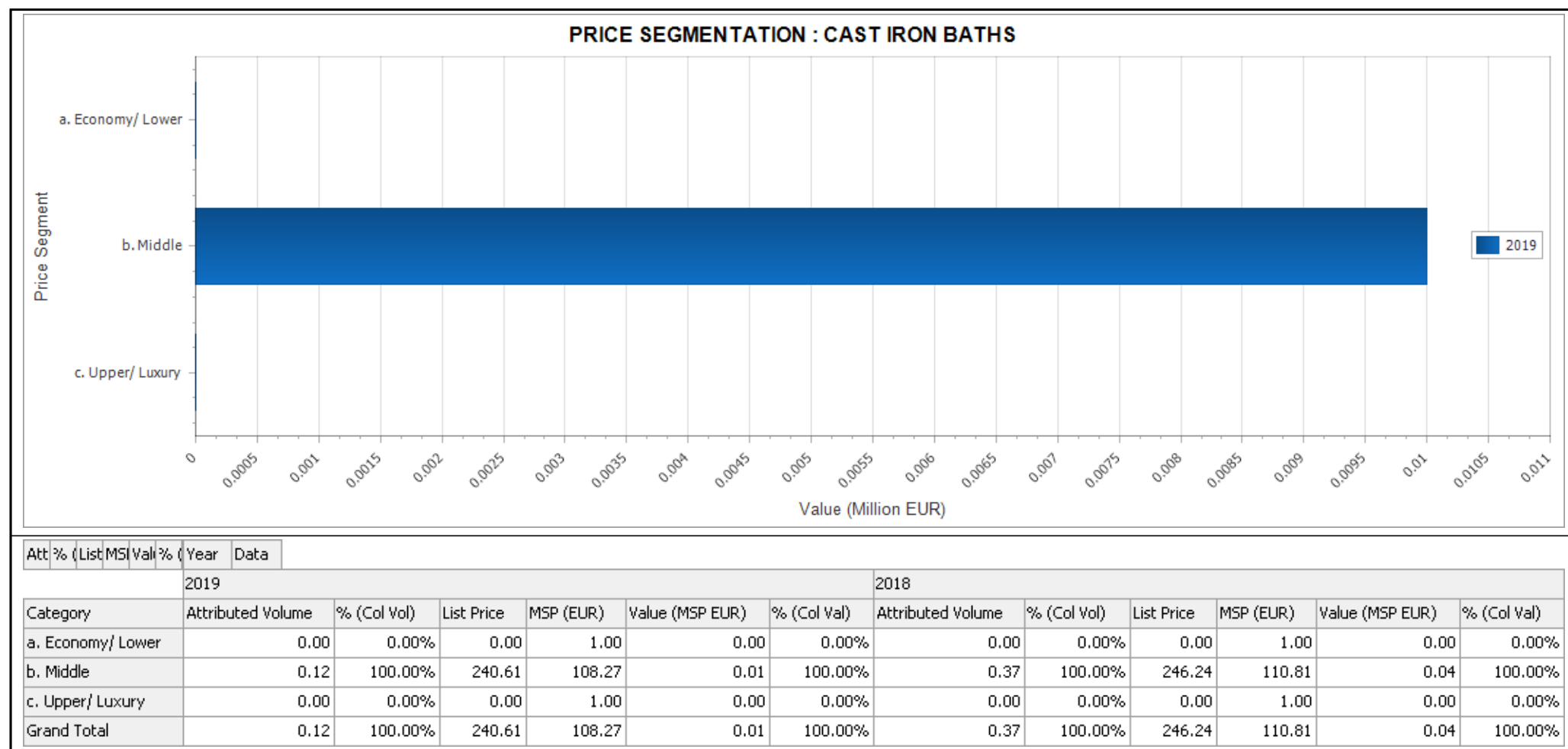
HU - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Local Prices Shown in HUF. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

1.3.2 Price Segmentation : Cast Iron Baths

HU - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

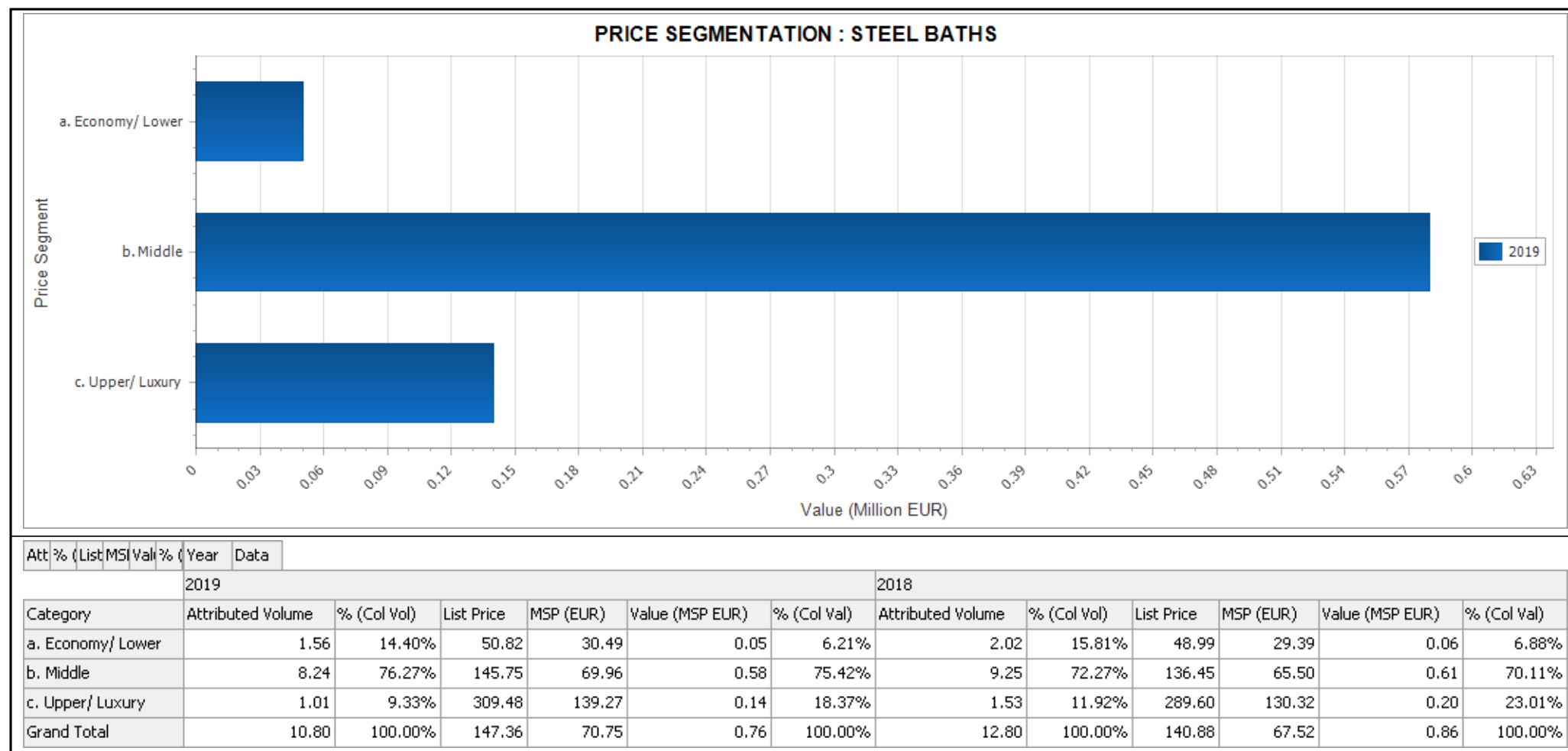


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

1.3.3 Price Segmentation : Steel Baths

HU - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

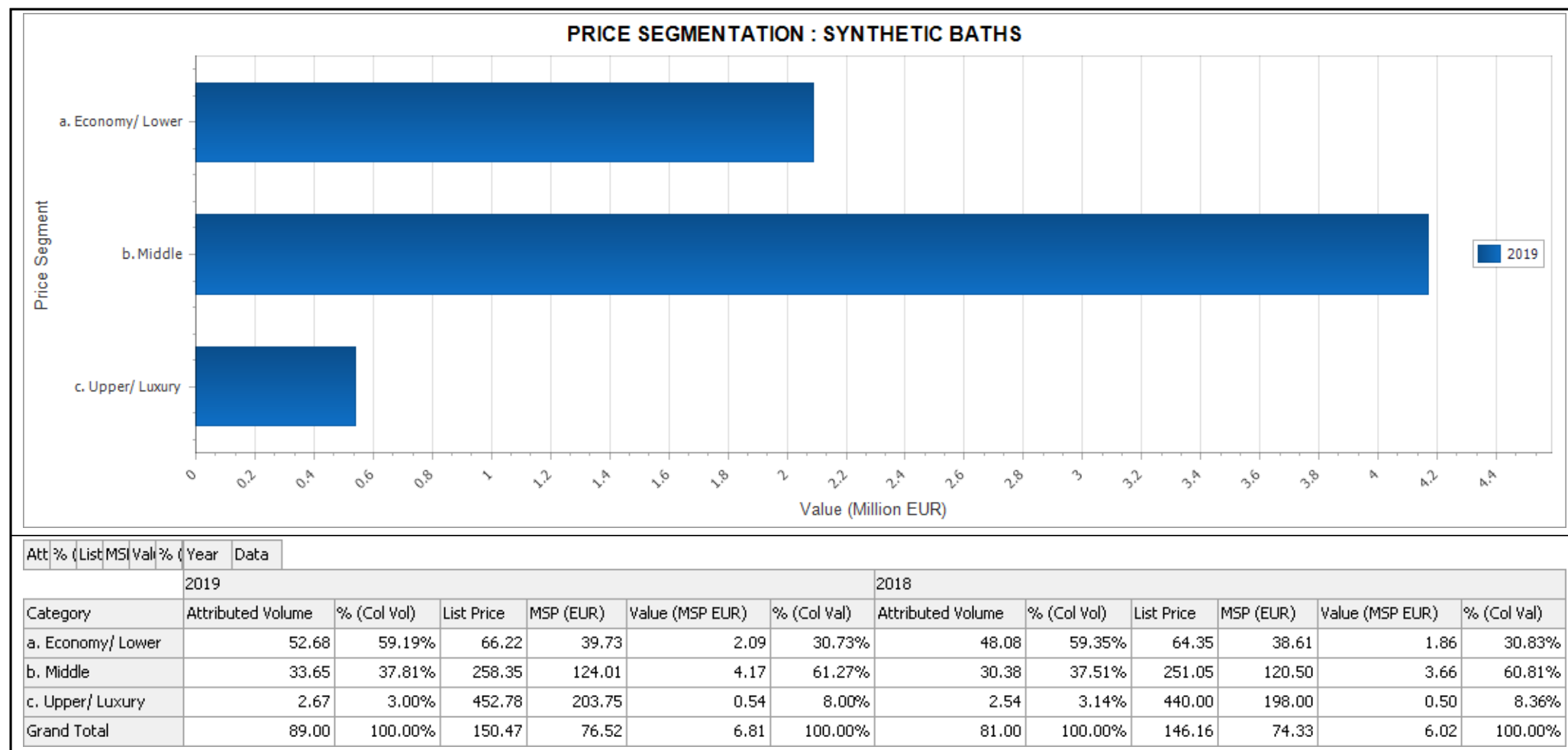


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

1.3.4 Price Segmentation : Synthetic Baths

HU - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

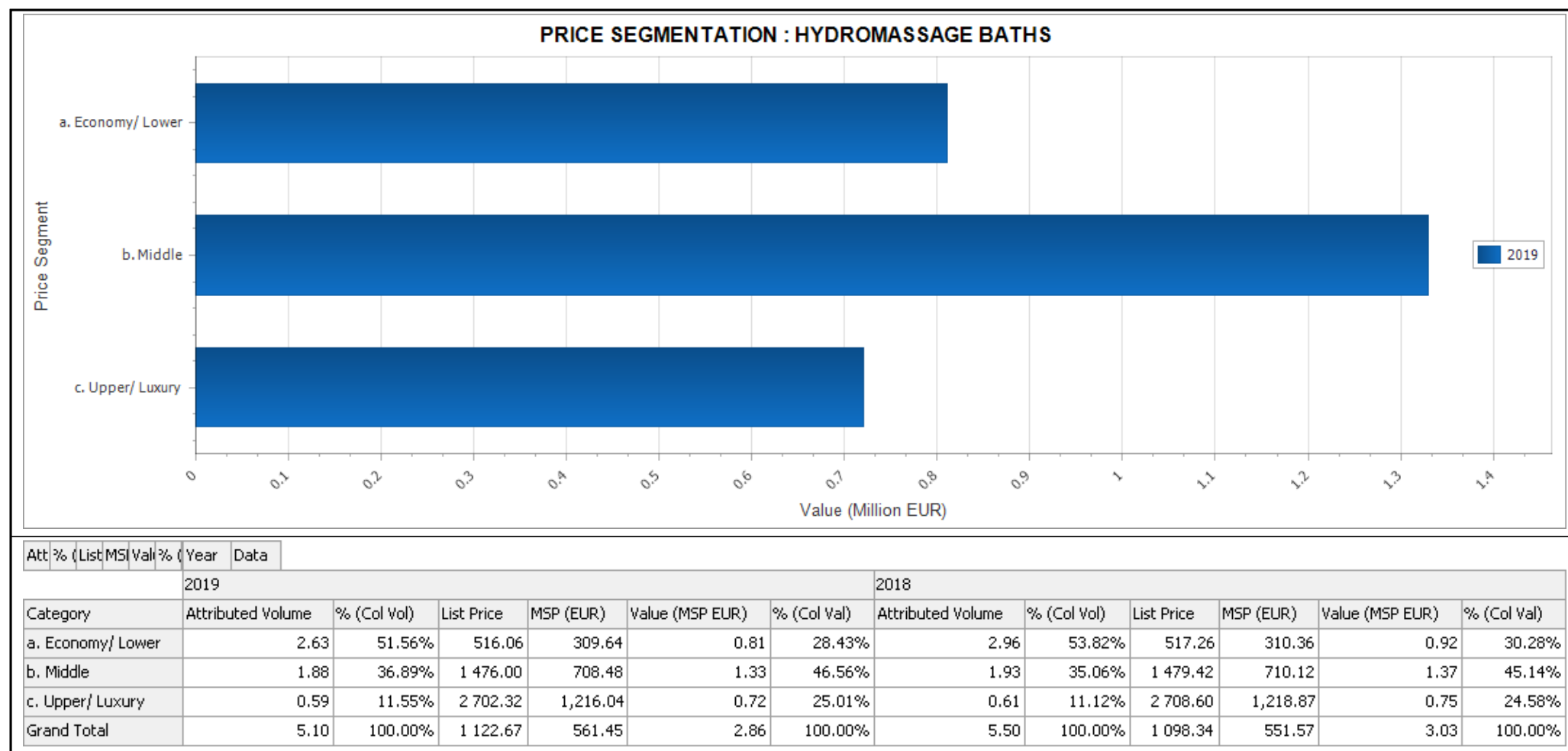


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€90, Middle €90-€180, Upper/ Luxury >€180

1.3.5 Price Segmentation : Hydromassage Baths

HU - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

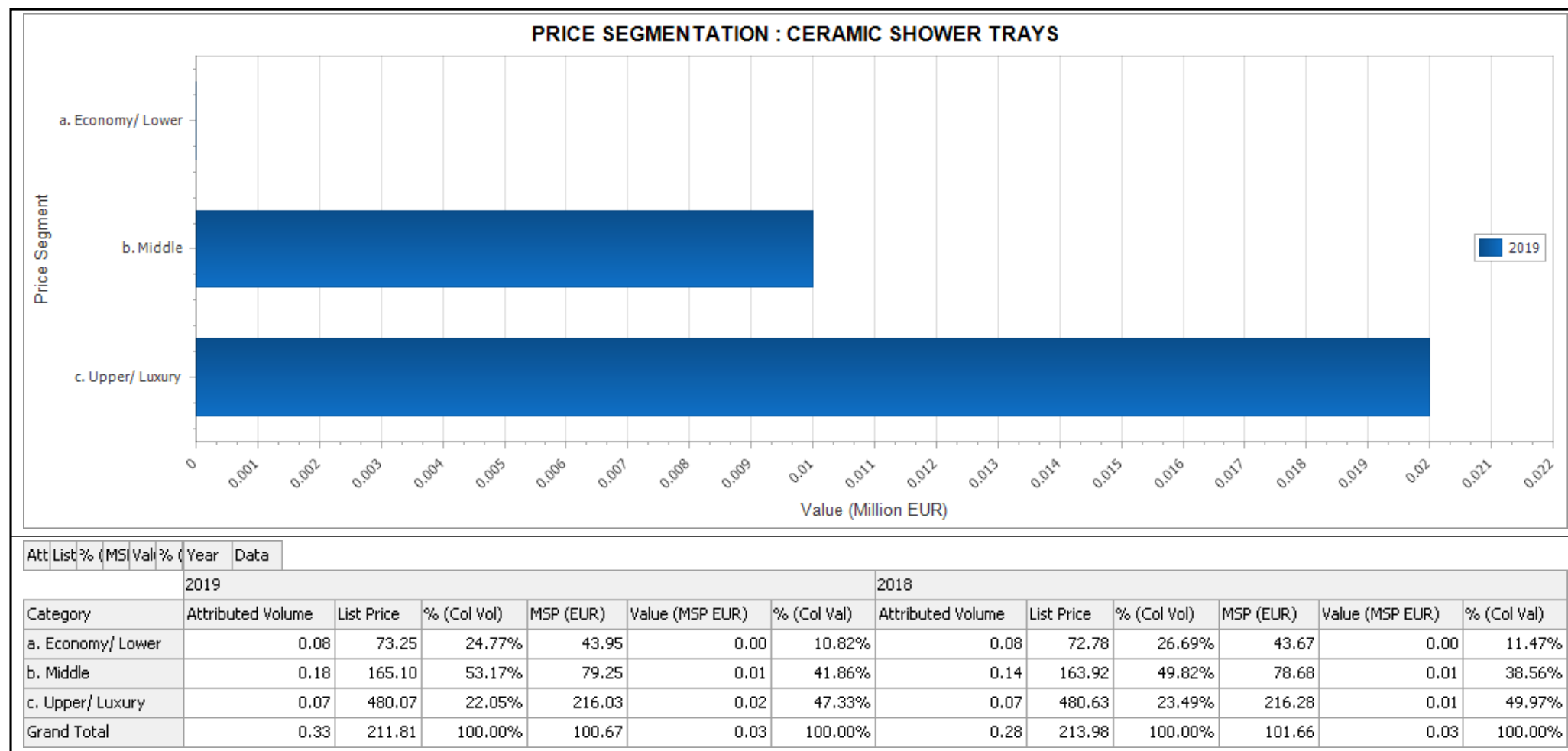


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€500, Middle €500-€1,000, Upper/ Luxury >€1,000

1.3.6 Price Segmentation : Ceramic Shower Trays

HU - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

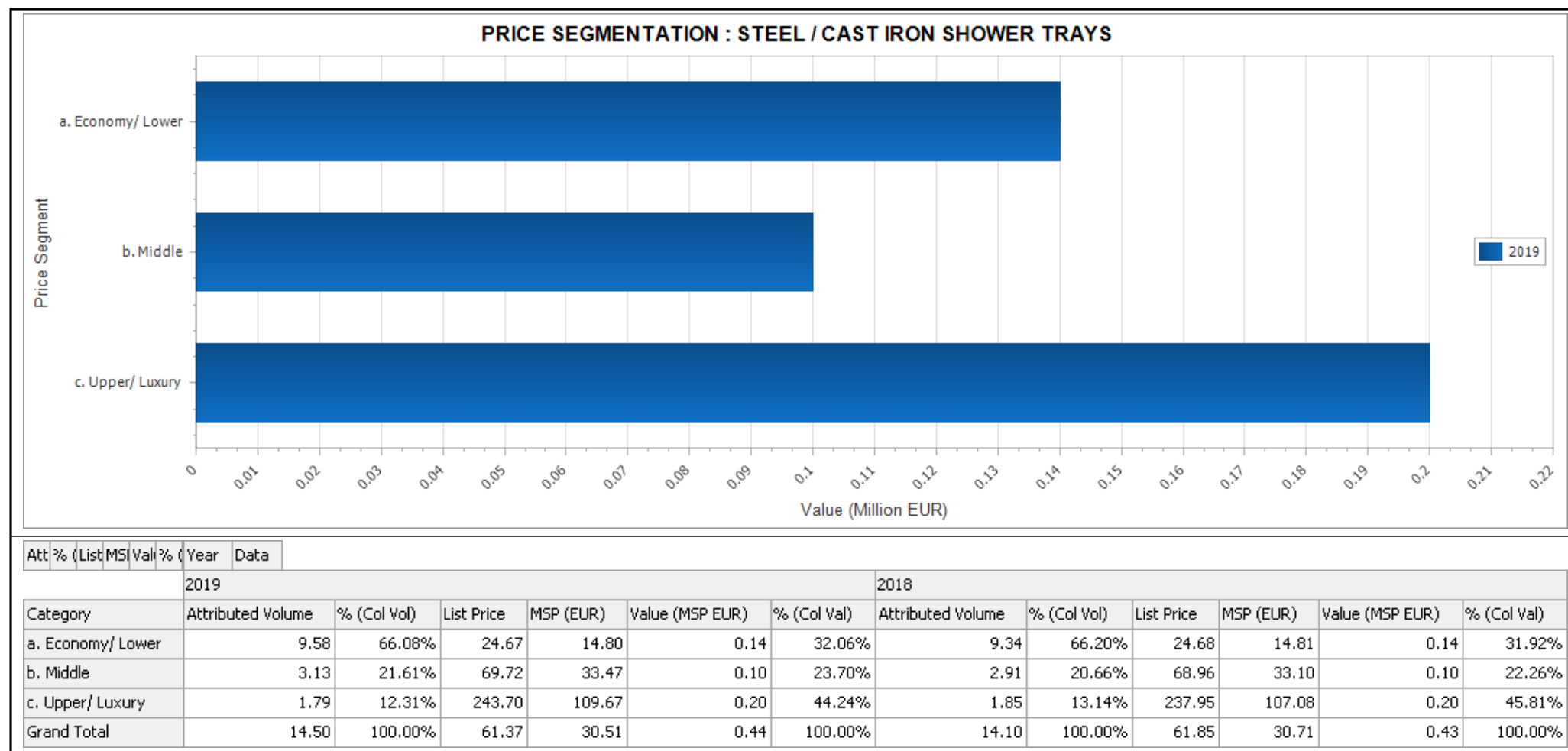


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€120, Upper/ Luxury >€120

1.3.7 Price Segmentation : Steel/ Cast Iron Shower Trays

HU - ESTIMATED PRICE SEGMENTATION FOR STEEL / CAST IRON SHOWER TRAYS

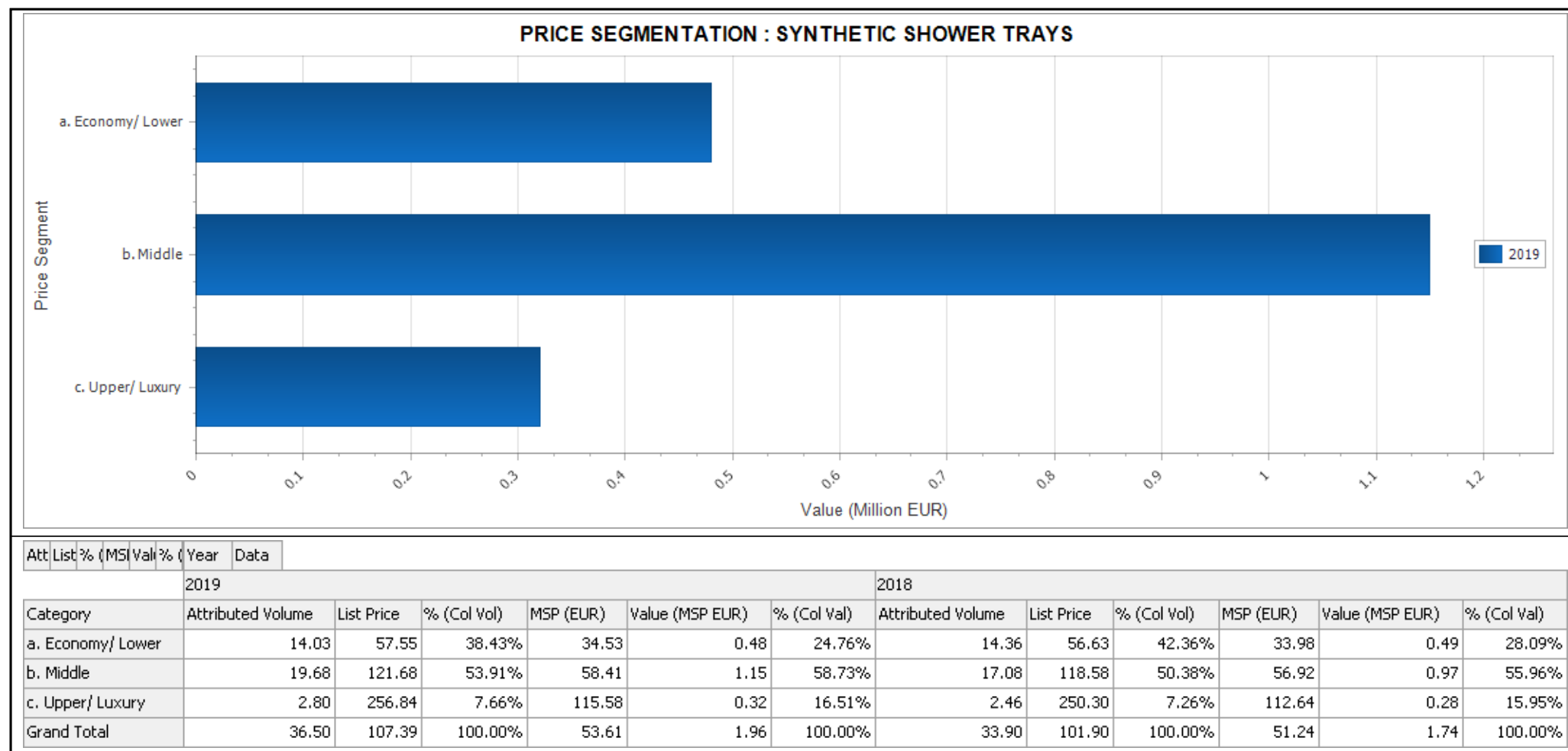


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€25, Middle €25-€50, Upper/ Luxury >€50

1.3.8 Price Segmentation : Synthetic Shower Trays

HU - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

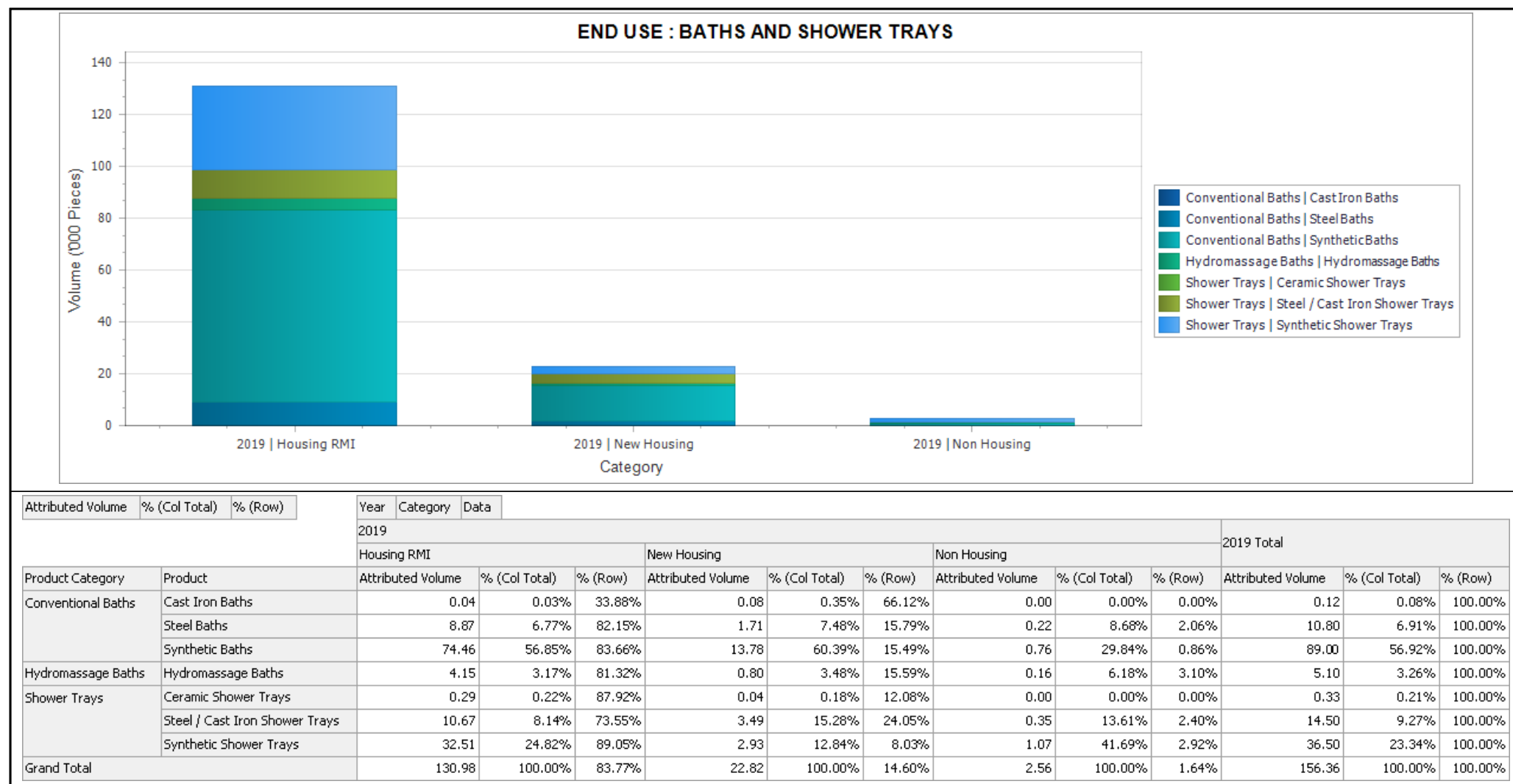


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

1.4.1 End Use : Base Year

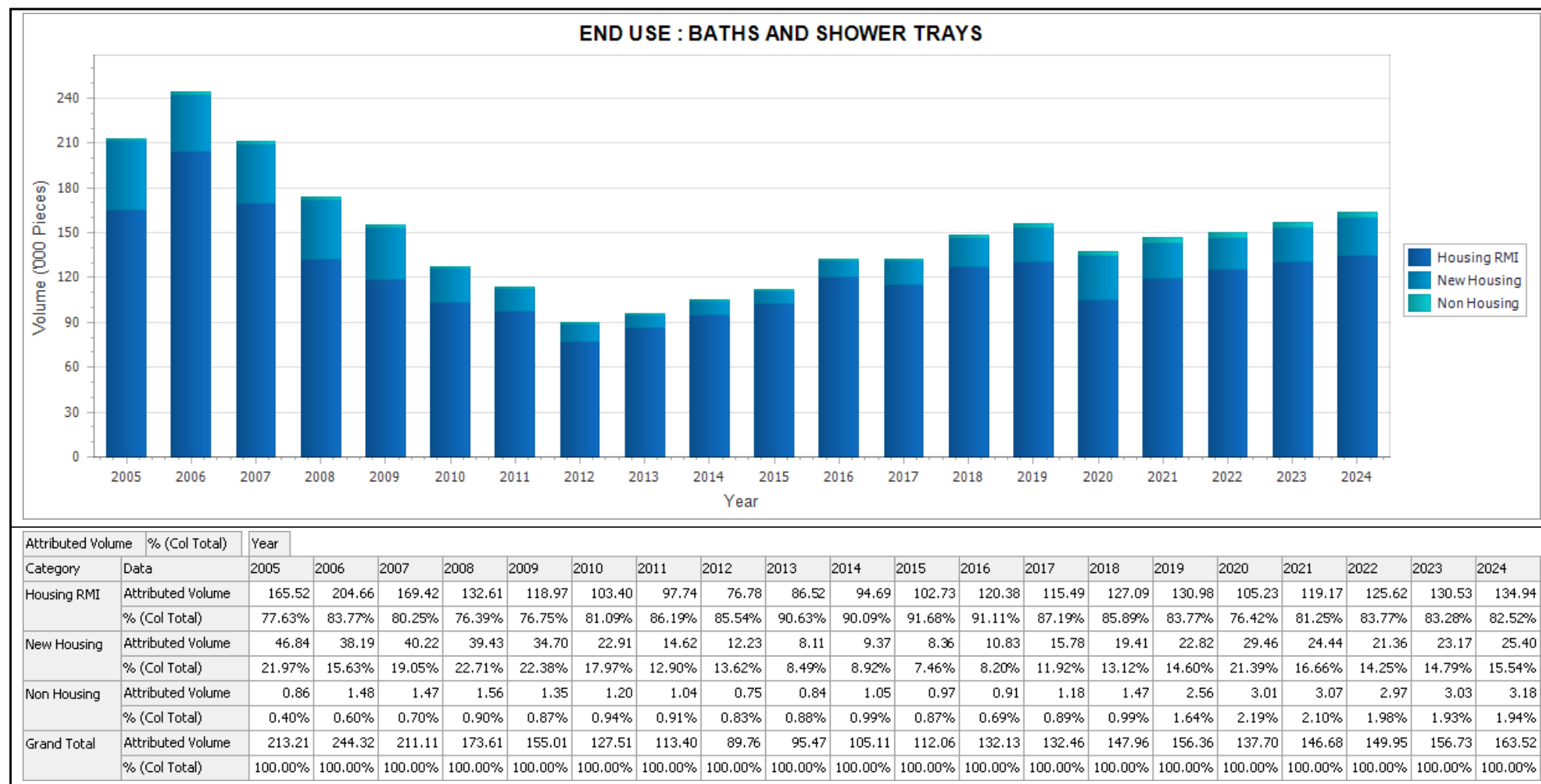
HU - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

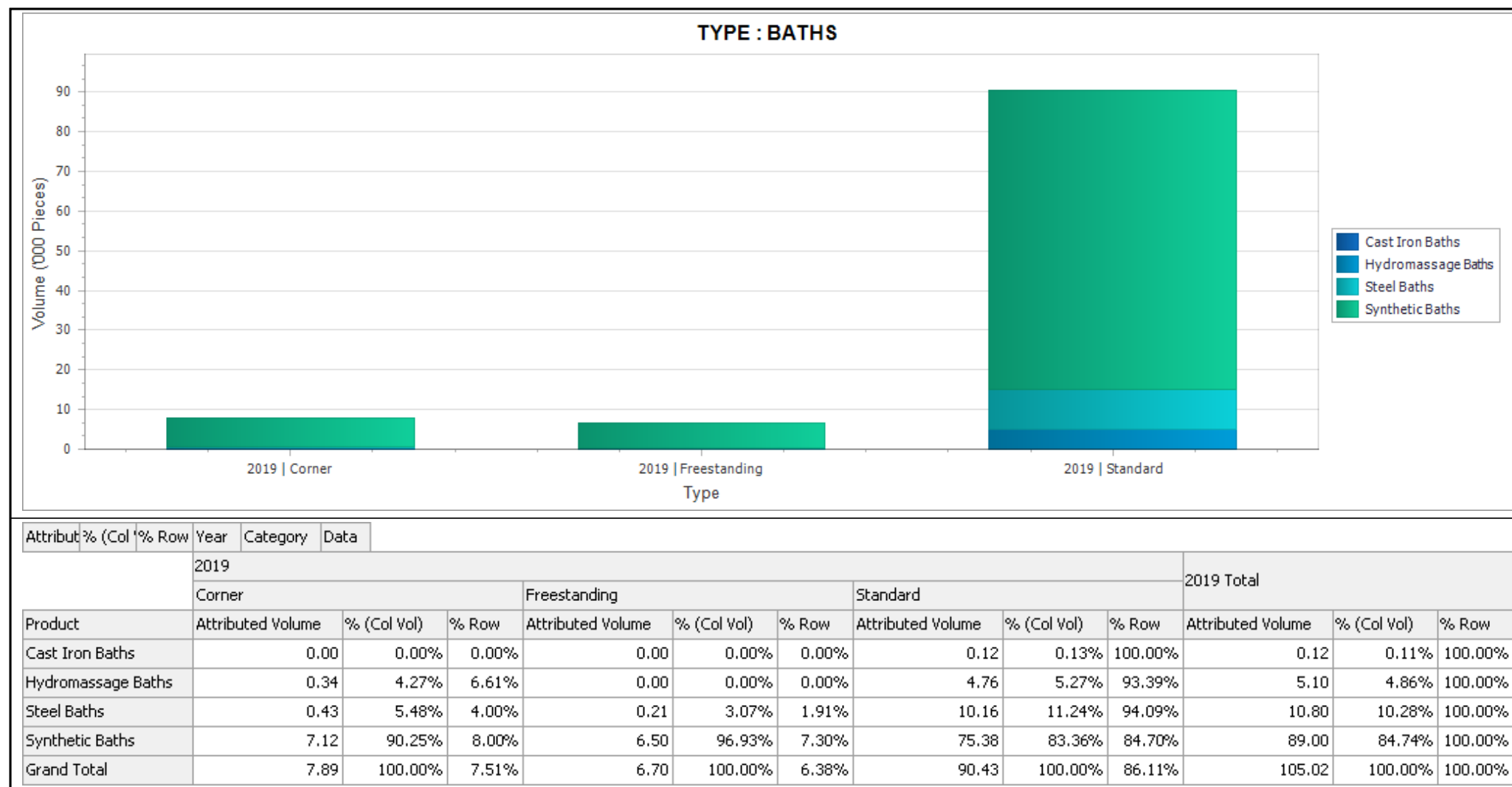
HU - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

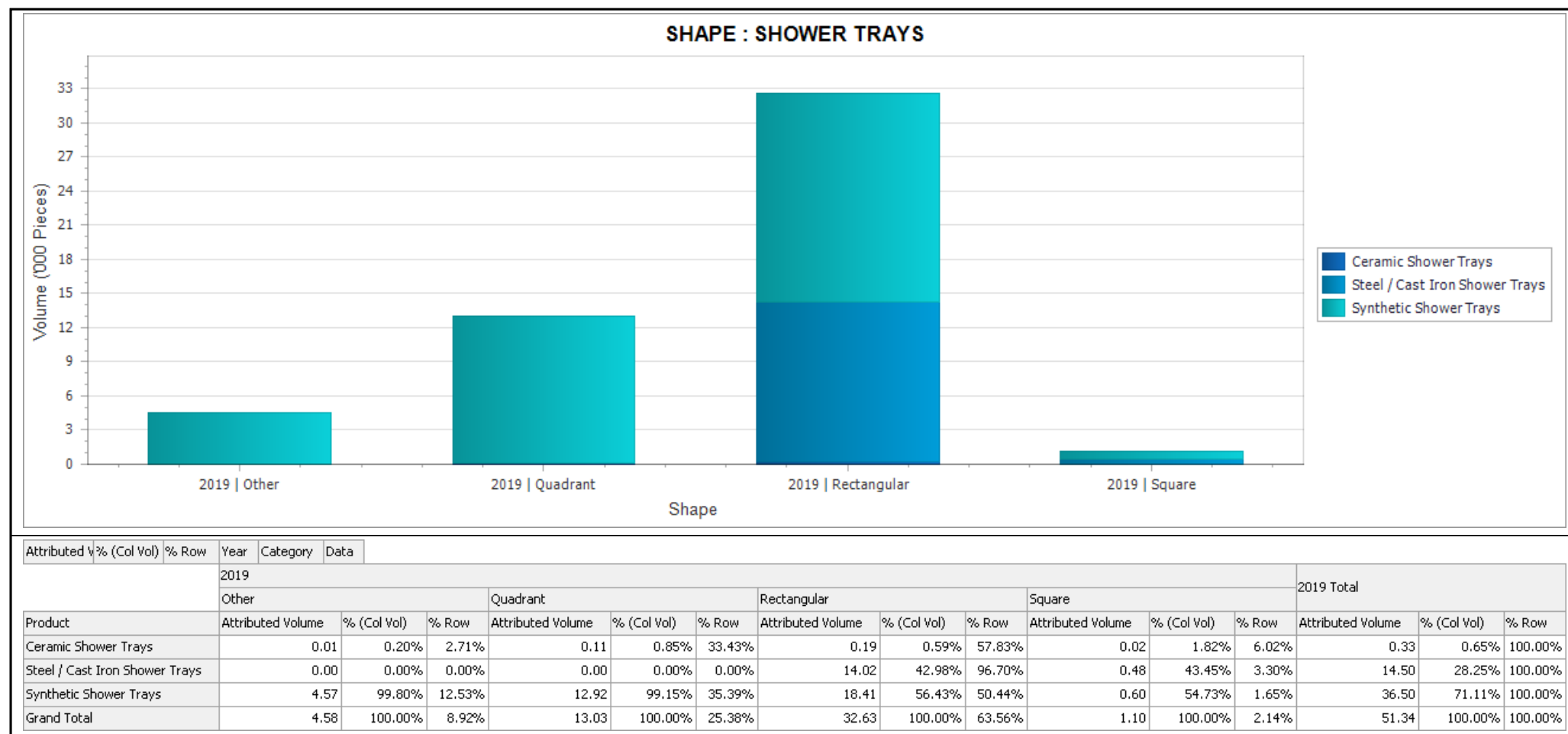
HU - BATH SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

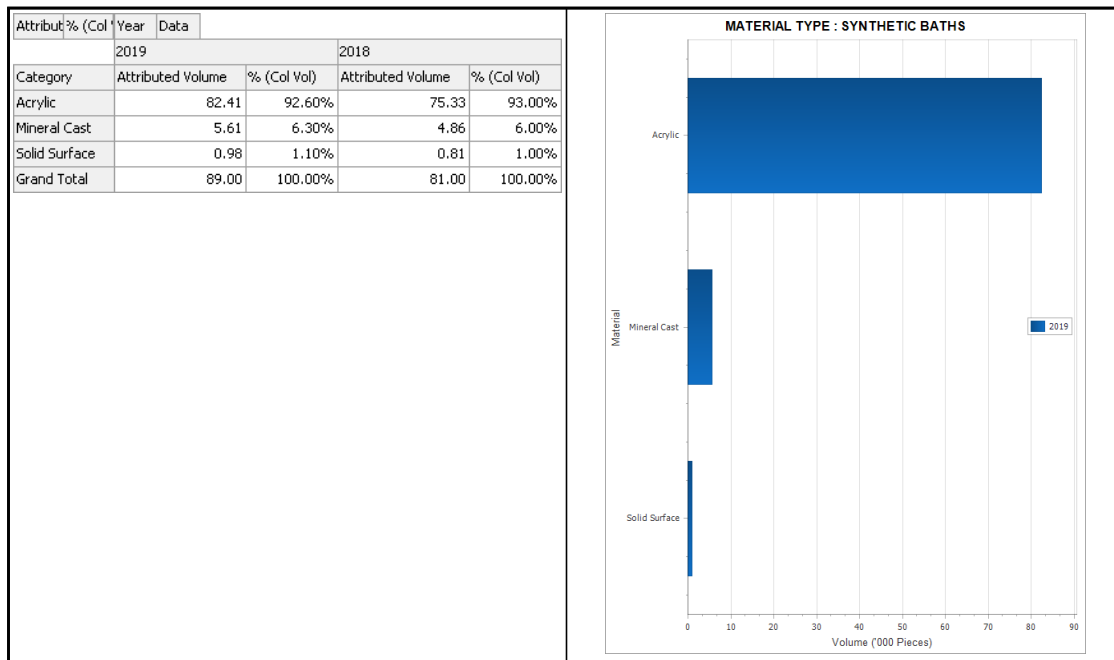
HU - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.5 Sales by Material : Synthetic Baths

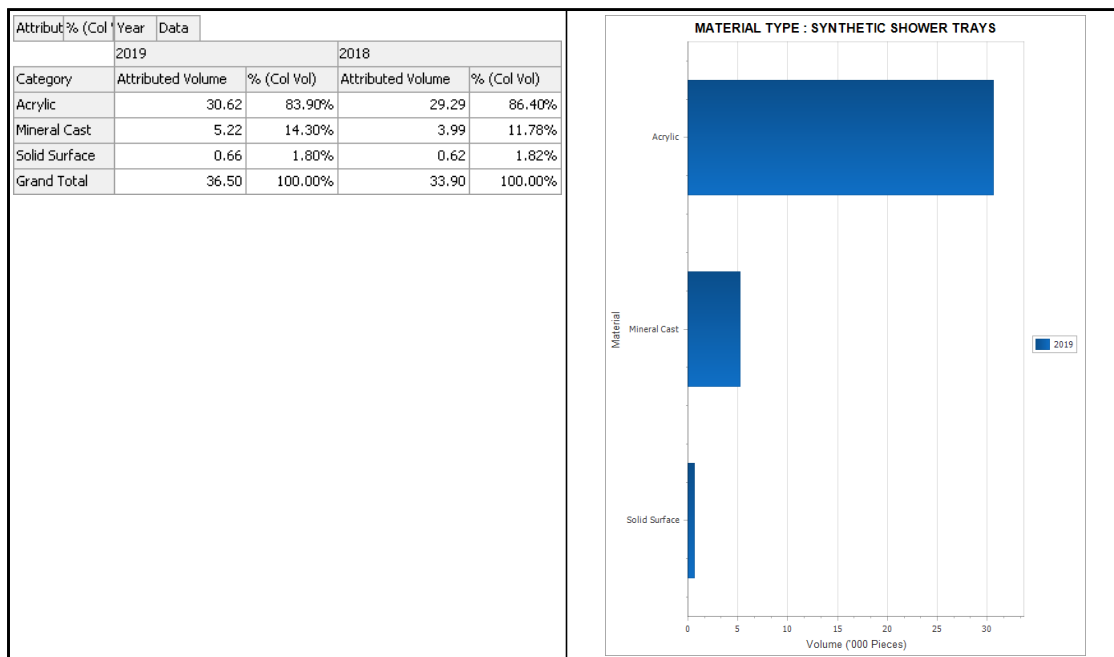
HU - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.6 Sales by Material : Synthetic Shower Trays

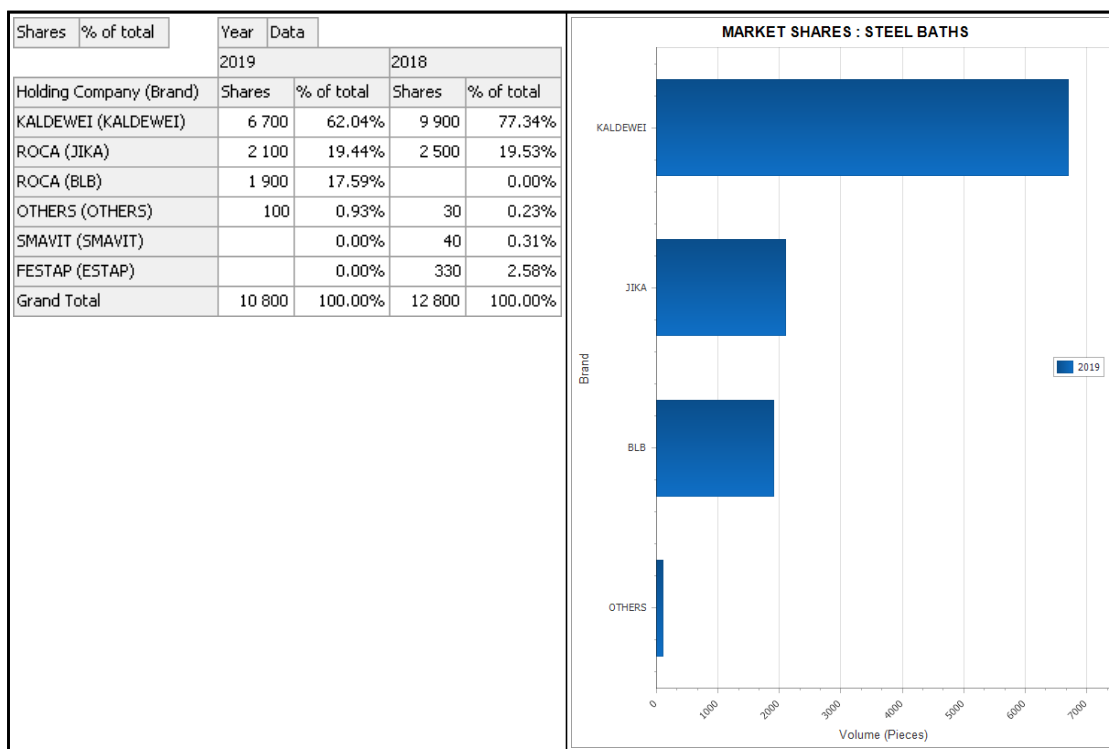
HU - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Steel Baths

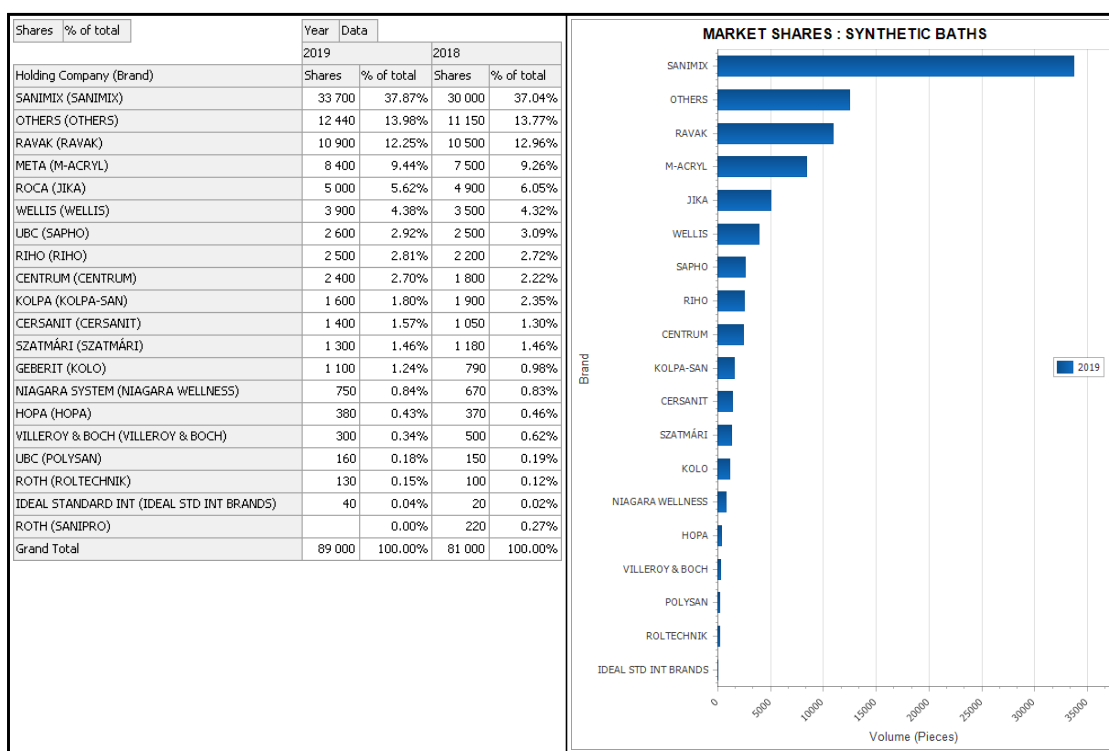
HU - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Synthetic Baths

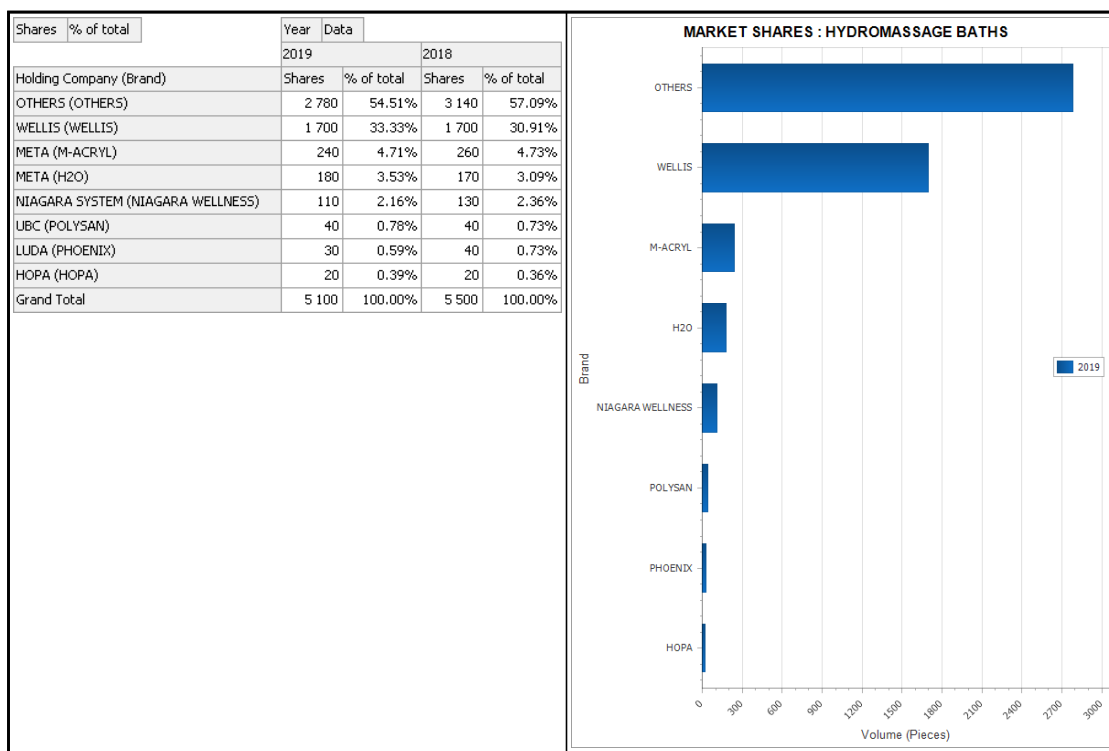
HU - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Hydromassage Baths

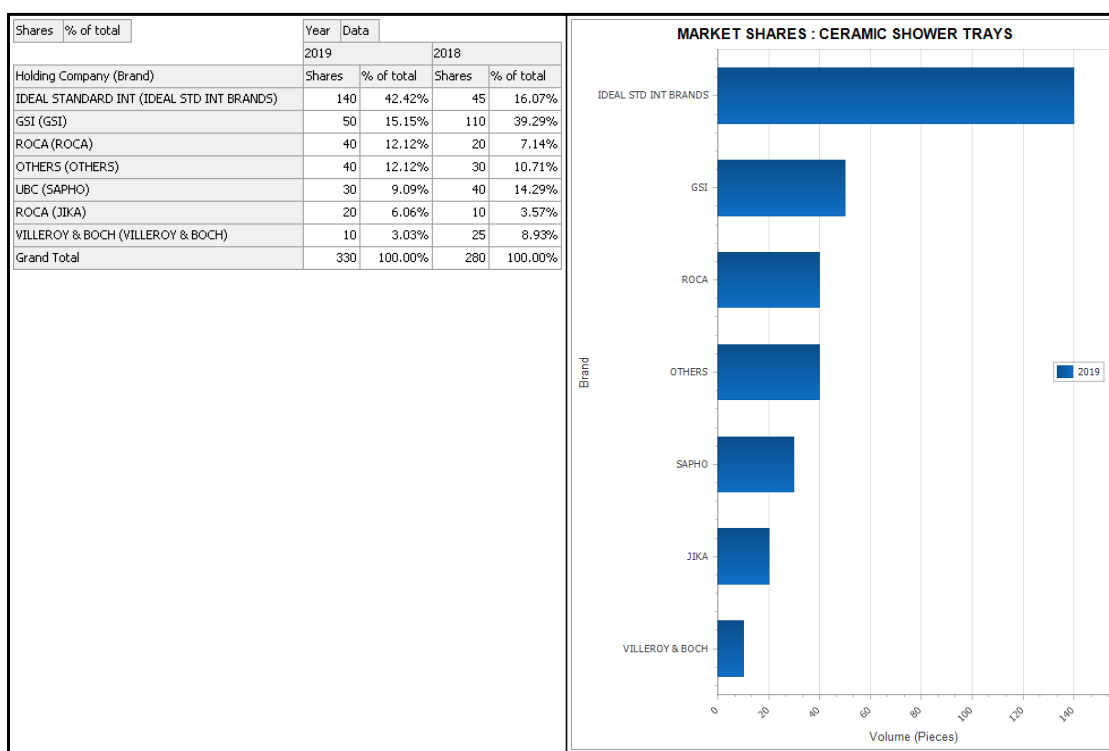
HU - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Ceramic Shower Trays

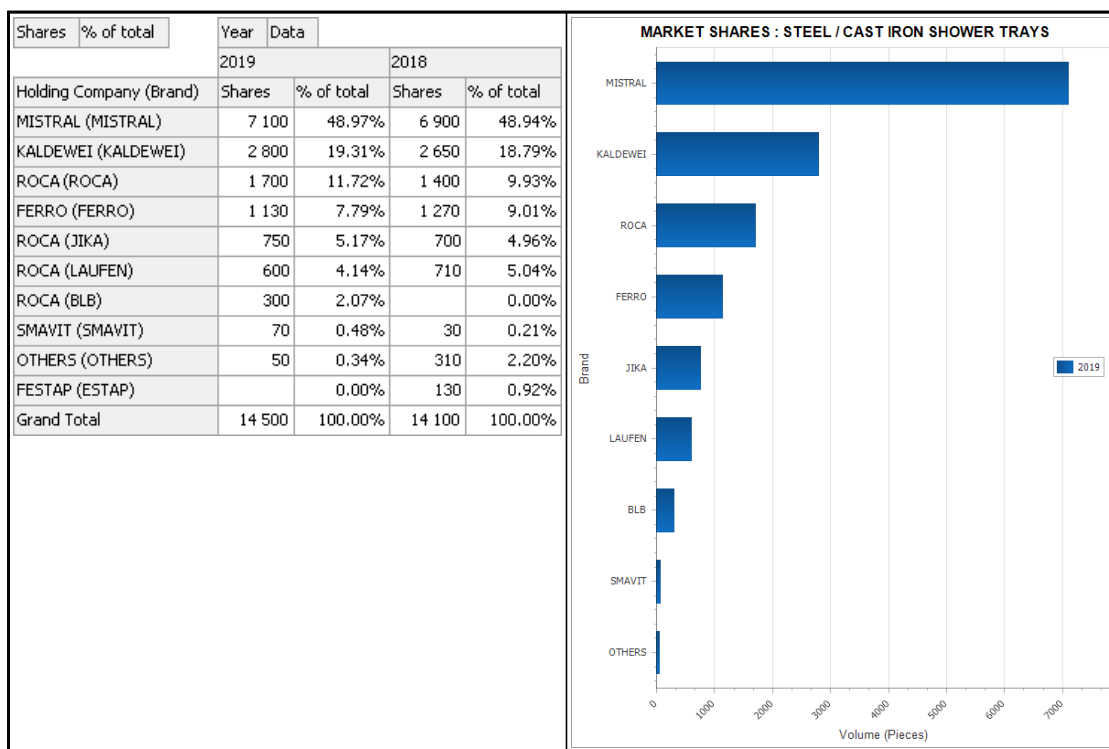
HU - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.5 Market Shares : Steel / Cast Iron Shower Trays

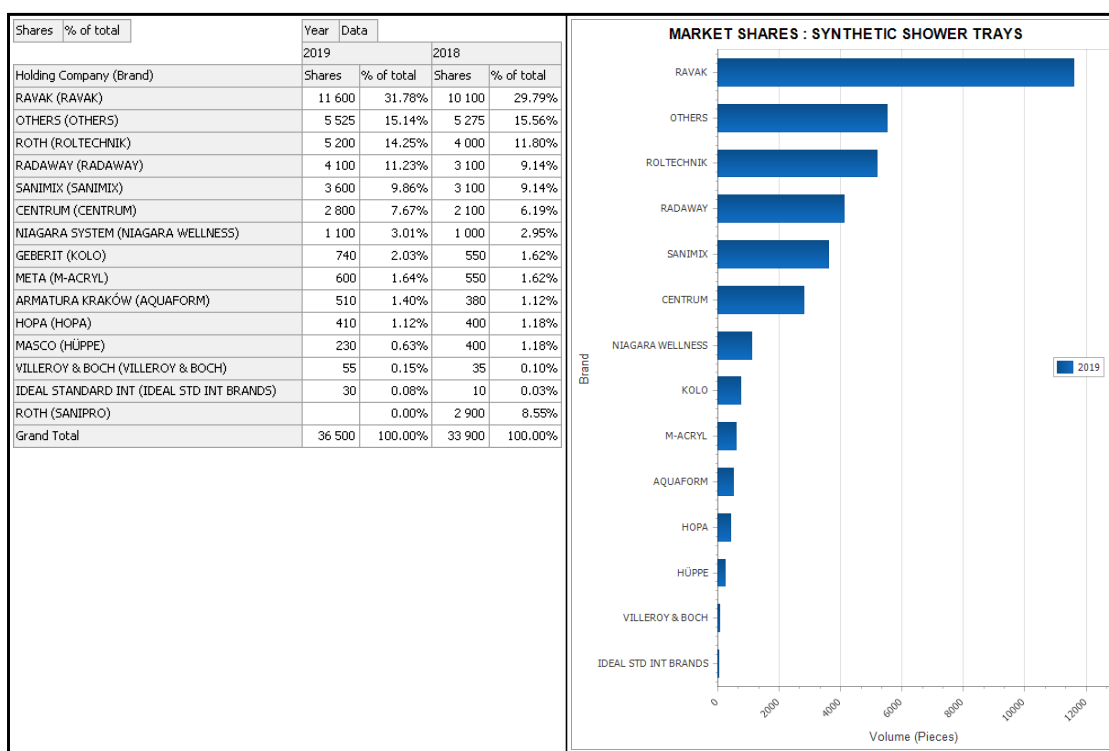
HU - ESTIMATED MARKET SHARES FOR STEEL / CAST IRON SHOWER TRAYS



Source: BRG based on industry interviews.

1.5.6 Market Shares : Synthetic Shower Trays

HU - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 HU - IMPORTS OF BATHS - CAST IRON 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	7	56.6%	4	28.6%	10	24.3%	5	20.8%
Romania	3	22.1%	2	14.3%	29	70.1%	13	54.2%
Czech Republic	2	13.2%	2	14.3%	1	2.0%	3	12.5%
Croatia	1	5.9%	3	21.4%	1	3.1%	2	8.3%
Italy	0	2.2%	3	21.4%	0	0.0%	0	0.0%
OTHERS	0	0.0%	0	0.0%	0	0.5%	1	4.2%
Total	13	100.0%	14	100.0%	41	100.0%	24	100.0%

Source : Trademap

1.6.2 HU - EXPORTS OF BATHS - CAST IRON 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Canada	1	59.9%	3	60.0%	1	17.7%	3	37.5%
United States of America	0	32.9%	2	40.0%	0	7.4%	1	12.5%
Germany	0	7.3%	0	0.0%	0	0.0%	0	0.0%
OTHERS	0	0.0%	0	0.0%	3	74.9%	4	50.0%
Total	1	100.0%	5	100.0%	4	100.0%	8	100.0%

Source : Trademap

1.6.3 HU - IMPORTS OF BATHS - STEEL 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Czech Republic	744	69.0%	123	15.9%	827	55.4%	148	17.1%
Germany	269	25.0%	590	76.3%	527	35.3%	683	79.1%
Portugal	37	3.5%	4	0.5%	0	0.0%	0	0.0%
Romania	22	2.0%	21	2.7%	0	0.0%	0	0.0%
OTHERS	5	0.5%	35	4.5%	140	9.4%	32	3.7%
Total	1 077	100.0%	773	100.0%	1 494	100.0%	863	100.0%

Source : Trademap

1.6.4 HU - EXPORTS OF BATHS - STEEL 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
United States of America	9	71.3%	24	66.7%	18	72.8%	29	82.9%
Serbia	2	11.8%	11	30.6%	0	0.0%	0	0.0%
Romania	1	9.9%	0	0.0%	0	0.0%	0	0.0%
Slovakia	1	5.8%	0	0.0%	1	2.7%	1	2.9%
Czech Republic	0	1.0%	0	0.0%	0	0.1%	0	0.0%
OTHERS	0	0.2%	1	2.8%	6	24.4%	5	14.3%
Total	13	100.0%	36	100.0%	24	100.0%	35	100.0%

Source : Trademap

1.6.5 HU - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Poland	994	34.6%	3 490	35.6%	743	26.7%	2 671	29.8%
China	987	34.3%	2 081	21.3%	987	35.5%	1 926	21.5%
Czech Republic	451	15.7%	2 253	23.0%	435	15.7%	2 139	23.8%
Germany	103	3.6%	642	6.6%	164	5.9%	724	8.1%
Bulgaria	79	2.7%	271	2.8%	56	2.0%	193	2.2%
Slovenia	73	2.5%	311	3.2%	85	3.0%	305	3.4%
Turkey	41	1.4%	116	1.2%	72	2.6%	163	1.8%
Serbia	39	1.3%	138	1.4%	44	1.6%	147	1.6%
Austria	30	1.0%	97	1.0%	48	1.7%	135	1.5%
OTHERS	79	2.7%	392	4.0%	145	5.2%	572	6.4%
Total	2 875	100.0%	9 791	100.0%	2 778	100.0%	8 975	100.0%

Source : Trademap

1.6.6 HU - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Czech Republic	790	51.1%	1 950	32.4%	791	48.8%	1 956	35.7%
France	262	16.9%	1 511	25.1%	243	15.0%	1 417	25.8%
Netherlands	244	15.8%	1 031	17.1%	257	15.9%	886	16.2%
Germany	59	3.8%	389	6.5%	67	4.1%	258	4.7%
Slovakia	56	3.6%	464	7.7%	7	0.4%	40	0.7%
China	44	2.9%	163	2.7%	44	2.7%	150	2.7%
United States of America	32	2.0%	116	1.9%	58	3.6%	205	3.7%
OTHERS	61	3.9%	400	6.6%	153	9.4%	571	10.4%
Total	1 547	100.0%	6 024	100.0%	1 619	100.0%	5 483	100.0%

Source : Trademap

1.7.1 Route to Market: Baths
HU - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	73.9%
	Wholesalers / Merchants
	73.9%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	3.2%	19.5%	11.3%	5.5%	21.3%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.2%		30.8%		26.8%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.2%	30.1%	1.1%	2.4%	6.8%
Installers				
40.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.6%	7.3%	2.1%	28.4%	20.0%	40.5%	0.3%	0.7%	0.0%	0.0%	0.0%	0.1%
	Residential						Non-Residential					
	98.9%						1.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	15.6%			83.3%			0.3%			0.7%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	11.0%		4.6%	12.5%		70.9%	0.2%		0.1%	0.5%		0.2%

1.7.2 Route to Market: Baths
HU - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	74.0%
	Wholesalers / Merchants
	74.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	3.7%	17.5%	10.7%	5.0%	22.3%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.7%		28.2%		27.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.2%	32.6%	1.4%	3.0%	8.8%
Installers				
46.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	2.9%	3.8%	2.3%	25.2%	18.5%	46.0%	0.4%	0.9%	0.0%	0.0%	0.0%	0.0%
	Residential						Non-Residential					
	98.7%						1.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	16.1%			82.6%			0.5%			0.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	12.8%		3.3%	11.0%		71.5%	0.3%		0.2%	0.7%		0.1%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

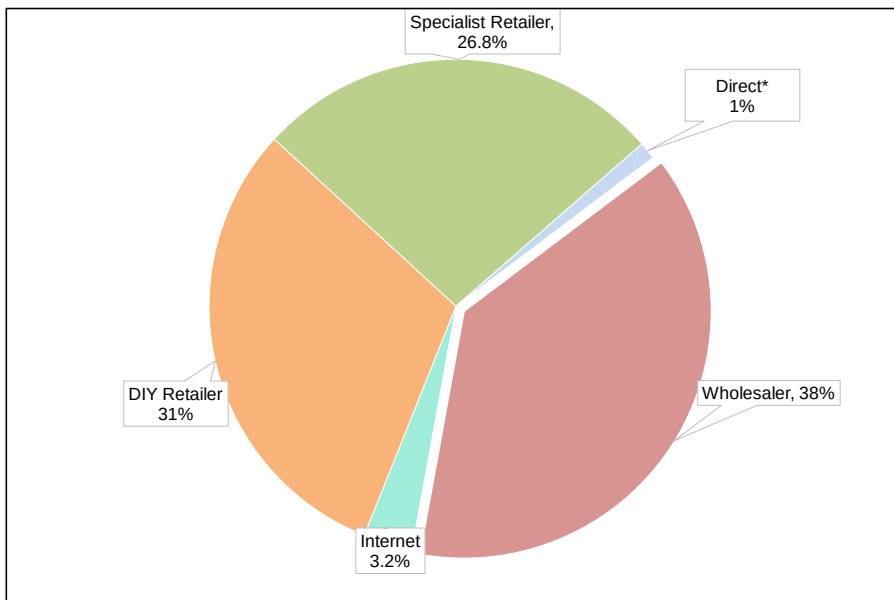
1.7.3 Route to Market - Consolidated View : Baths
 HU - ESTIMATED DISTRIBUTION FOR BATHS : 2019

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
38.1%	3.2%	30.8%	26.8%	1.1%	23.5%	0.7%	75.4%	0.4%
100%					24.2%		75.8%	

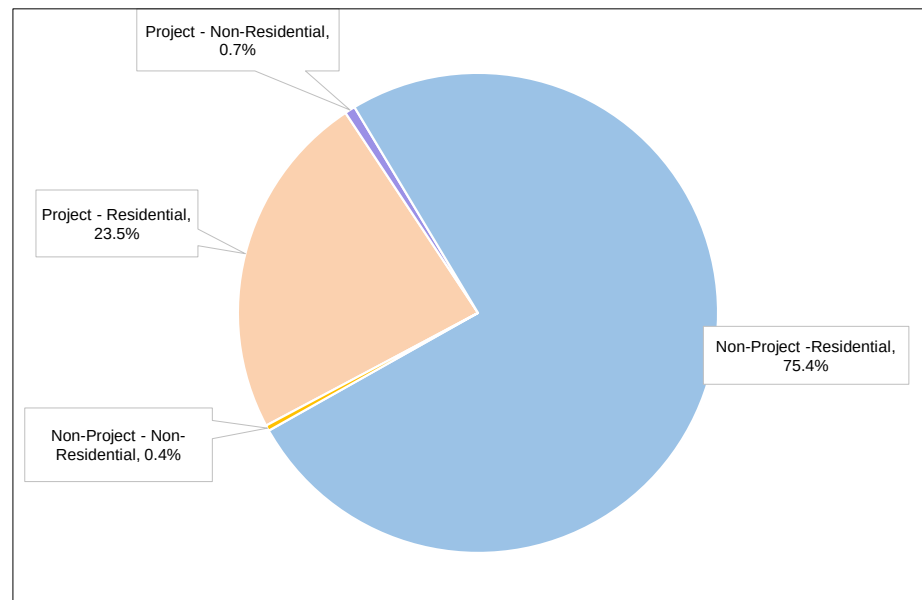
1.7.4 Route to Market - Consolidated View : Baths
 HU - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
37.3%	3.7%	28.2%	27.3%	3.5%	23.8%	1.0%	74.9%	0.3%
100%					24.8%		75.2%	

HU - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



HU - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5 Route to Market: Shower Trays
HU - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	71.8%
	Wholesalers / Merchants
	71.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	4.2%	10.7%	8.8%	12.9%	8.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.2%		19.5%		20.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.5%	41.1%	0.0%	2.8%	13.0%
Installers				
59.4%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.0%	9.7%	4.2%	16.7%	7.9%	57.7%	1.0%	0.0%	0.0%	0.0%	0.0%	1.7%
	Residential						Non-Residential					
	97.2%						2.8%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	12.5%			84.7%			1.3%			1.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	8.8%		3.7%	12.7%		72.0%	1.1%		0.2%	0.9%		0.6%

1.7.6 Route to Market: Shower Trays
HU - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	73.4%
	Wholesalers / Merchants
	73.4%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	4.8%	10.9%	8.0%	12.0%	8.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.8%		18.9%		20.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.7%	45.0%	0.0%	2.8%	13.0%
Installers				
63.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.0%	7.6%	4.8%	16.1%	7.0%	61.4%	1.0%	0.0%	0.0%	0.0%	0.0%	2.1%
	Residential						Non-Residential					
	96.9%						3.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	14.4%			82.5%			1.3%			1.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	11.5%		2.9%	10.9%		71.6%	1.1%		0.2%	1.2%		0.6%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

HU - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

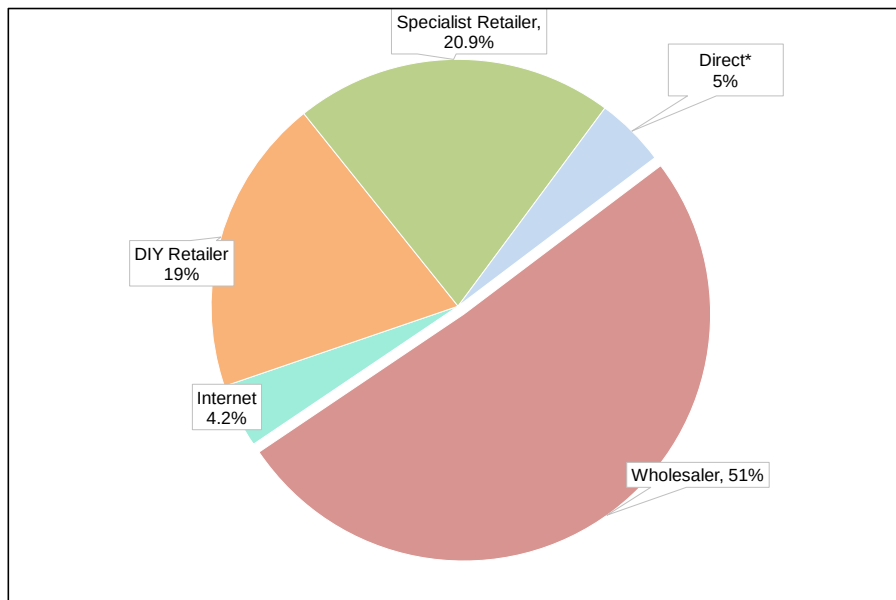
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
50.8%	4.2%	19.5%	20.9%	4.6%	21.5%	2.0%	75.7%	0.8%
100%					23.5%		76.5%	

1.7.8 Route to Market - Consolidated View : Shower Trays

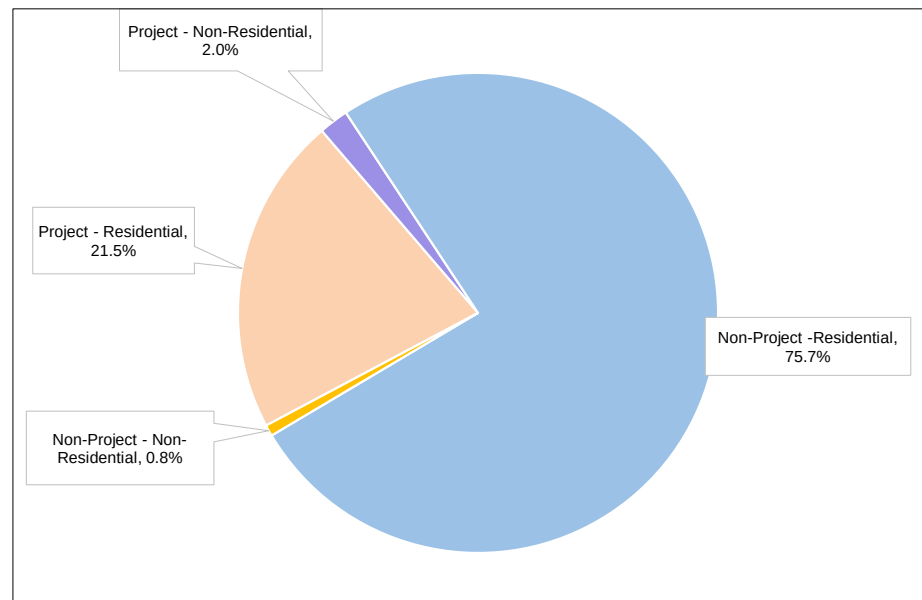
HU - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
52.6%	4.8%	18.9%	20.0%	3.7%	22.4%	2.3%	74.5%	0.8%
100%					24.7%		75.3%	

HU - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



HU - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Hungarian Baths and Shower Trays Market (July 2020)

HU - REVISIONS IN THE HUNGARIAN BATHS AND SHOWER TRAYS MARKET

Data Comparison: July 2019



Following input from manufacturers, which was verified through an analysis of trade statistics, considerable downward revisions were made to the historical market size for steel baths. Steel baths have faced strong difficulties in Hungary, partly because of its reliance on new build demand, combined with strong competition from synthetic baths, but also shower trays.

Sales of synthetic baths were revised up. Despite, the trend towards showering, the bath market remains strong in Hungary. Due to the trend that bathrooms are not only a functional room, but also people want to spent time and relax, consumers increasingly design their bathrooms more differently with growing product awareness. Here, synthetic models can be attributed to a large variety in design, shapes and sizes available on the market. Plus, this can explain the revision upwards of the hydromassage baths. Moreover, the increasing presence of wet room in the market hampered – to some extend- the development of shower trays market.

HUNGARY

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Hungary has a relatively small market for sanitary ware, given the size of the country. The Hungarian sanitary ware market is characterised by a high number of floor standing water closets (WCs), with a minor shift towards close coupled WCs being observed in recent years. Both types of WCs, (hand) washbasins/countertops and exposed ceramic cisterns account for almost all ceramic sanitary ware sales. The sanitary ware market is the largest and most mature bathroom market in Hungary. The penetration of sanitary ware products has increased significantly over the years, reflecting the increasing interest of Hungarian households in the design and aesthetic of their bathrooms. However, the market for sanitary products has been unsteady and has declined since the beginning of the financial crisis that hit the country from 2008 onwards. The sanitary ware market in Hungary has a significant dependence on the renovation market and, therefore, the general macroeconomic trend of the country is a main driver for this market. Construction is also a key driver, especially in ceramic sanitary ware and concealed plastic cisterns (both essential categories in new housing). The great majority of WCs sold in Hungary are floor standing, but wall hung WCs are gaining share at the expense of traditional models. Concealed plastic cisterns are installed mainly when there is a wall hung WC bowl. The volume of exposed ceramic WC cisterns is very low in the country and outnumbered by the amount of non-ceramic cisterns, as this is still a low-cost alternative for many Hungarians.

The washbasin market represents the second-largest group within total ceramic sanitary ware sales, after WCs, and the majority are full-size washbasins/countertops. Hand washbasins account for only a minor share of the ceramic sanitary ware market as these have been supplied mainly to the hotel industry, and to some non-residential buildings such as offices. Within the other ceramic sanitary ware category, sales of urinals are exclusively directed towards the non-residential sector, including offices and catering units, whereas the use of pedestals is declining per annum as there is an ongoing trend towards bathroom furniture. Bidets only account for a small share of the Hungarian market, while ceramic kitchen sinks are less popular than non-ceramic sinks in Hungarian kitchens. The ceramic shower tray market remains marginal, mainly due to the popularity of synthetic and steel materials.

BRG estimates that the sales developments for exposed cisterns are a direct result of the park of high-level cast iron cisterns installed in the 1970s and 1980s that are now being replaced with cheap plastic cisterns, which have generally been available from DIY stores since the middle of the 1990s. Such plastic cisterns have short lifespans and need to be replaced on a regular basis, i.e. as often as every two to three years. Exposed plastic cistern sales remained at a fairly low level until 1995, before increasing rapidly. The concealed plastic cistern market started with the early Hungarian presence of GEBERIT in 1993. Exposed plastic cisterns clearly exceed sales of their concealed counterparts (although the share of concealed

plastic cisterns is increasing per annum), as exposed systems are easy to install and are available in the popular DIY stores, where a low retail price is the main purchasing decision factor. However, it is worth noting that the ongoing trend is a growing preference for concealed systems, due to their aesthetically pleasing characteristics.

The residential market is still reluctant to install wet systems, as people are concerned about the nature of the servicing work if the system needs repair (the perception is that the wall would have to be demolished to perform one). Suppliers struggle to convince consumers that this is not the case and have discovered that the best communication channel is via installers.

Recent Market Trends

The overall sales of sanitary ware came back to a normal level, after the sharp increase recorded in 2018. This was driven by the sales of ceramic products, with a strong increase in new housing, due to the good performance of the construction sector, combined with a dynamic renovation market in 2018. In fact, CSW continued to account for the bulk of sales. With a dynamic construction market, the positive development of the new housing segment was not sufficient to offset the decline in the other segments in 2019.

Like in the past, sales of ceramic WCs in 2019 continued to account for the largest share of the market, followed by ceramic washbasins and other CSW. Sales of wall-hung WCs continued to increase at a good rate at the expense of floor-standing models, which were still most popular, followed by close-coupled products. It is worth mentioning that the penetration of wall-hung rimless WCs has been growing significantly in the last few years. On the other hand, there are still very few floor-standing rimless models, as manufacturers refrain from investing in the production of designs that are considered outdated.

The growing penetration of wall-hung WCs continued to boost demand for concealed plastic cisterns, which are deemed indispensable with regards to installation of the former. Within the product mix of other CSW, sales of bidets remain driven by strong demand from the non-housing segment. Sales of bidets remained negligible in Hungary in 2019, and demand for pedestals decreased. Moreover, declining sales of pedestals were mainly due to the rising penetration of bathroom furniture in residential buildings. Urinal sales declined in 2019, as a result of negative demand coming from the non-residential segment.

Ceramic washbasins continued to be the most popular type of washbasin for bathrooms in Hungary due to the maturity of the product on the market. However, contrary to the latter market, non-ceramic washbasins recorded an increase in sales in 2019. This reflected the popularity of synthetic and steel models in the Hungarian market. An increase in the imports of those products was experienced in 2019. Within the washbasin segment, demand for countertop basins continued to take shares over traditional washbasins in 2019. This trend has been predominant for the last few years – since bathroom furniture is becoming increasingly more

popular in both new build and RMI settings. Hungarian consumers find these types of washbasins more elegant, as they give the bathroom a unique look. Furthermore, as the incomes of Hungarian households have risen over the last couple of years, consumers are often choosing more appealing and better-quality products – and countertop basins are the preferred choice.

Prices and Market Values

The average manufacturer selling price (MSP) of all sanitary ware products, measured both in Hungarian Forint (HUF) and Euro, kept growing moderately in 2019.

Within the 'Other' CSW market segment, prices have developed mostly in line with inflation. The MSP for WCs has risen, mostly due to rising inflation but more importantly due to the rising share of wall hung models as well as increased demand for better quality products. Rimless WCs are also slowly rising in popularity, and this is affecting the overall price development for WCs in Hungary. However, the increase of imports coming from Egypt and China favour the development of economy and lower price products at the same time.

In the concealed plastic cisterns segment, an increase in production cost resulted in slight growth in MSP prices. As players continue to fight for shares, massive discounts are often given, particularly in the case of complete installation systems. Another reason for the higher MSP is results from the largest players, GROHE and GEBERIT, who are both positioned in the middle and high-end segments unlike most competitors. The average MSP of exposed plastic cisterns increased only slightly as a consequence of the moderate growth of costs related to plastic production. Also, the competition from concealed cisterns continues to drastically reduce the demand for exposed models in new housing, which squeezes the prices of the latter.

The average MSP of washbasins in 2019 continued to grow, following shifting consumer demand from economy towards lower and middle priced range models to upper price ranges. Moreover, the growing share of countertop models triggered the increase in the price, due to its higher price when compared to other types of washbasins. In fact, in the last few years Hungarian consumers have shifted slightly towards products of higher quality, which directly affects the overall prices.

Plus, imports of ceramic products decreased in 2019, which limited the competition from cheaper products and pushed the overall MSP up.

New Housing

Since 2016 the new build market has developed positively in Hungary and continued to grow throughout 2019 and, as a result, demand for sanitary ware going to the new housing sector increased.

The significant increase in new housing completions continued to benefit the new housing segment in 2019, with all products recording a significant growth.

Sales of concealed plastic cisterns to new housing in 2019 continued to grow at a significant pace, as Hungarian consumers opt more often for wall hung WCs in their new dwellings. Moreover, penetration of rimless toilets into the new housing segment in 2019 increased further, taking share from classic floor standing and open rim models. Exposed plastic cisterns continued to account for a large share within the new housing segment in 2018, and should do so over the forecast period.

While there is no installation of urinals in the new housing segment, the share of new houses equipped with bidets continued to grow at a good rate in 2019, whereas sales of bidets to apartments, like in previous years, remained very limited due to the space constraints of apartment bathrooms. As in the previous years, sales of pedestals and half pedestals to new housing showed limited increase, demonstrating an ongoing shift towards base units/vanities.

Housing RMI

After the debilitating 2016, when housing RMI demand dropped moderately, demand for sanitary ware products recovered in 2017 and 2018 thanks to the good economic environment of the country, with sales to housing RMI growing. Moreover, much of the housing stock is in a poor state of repair. Overall sales of sanitary ware products to the RMI segment showed a decline in 2019, after a sharp increase recorded in 2018. The improvement of the overall market development was primarily driven by the fluctuations of the ceramic market, with a high level of imports recorded in line with the demand in 2018. In fact, sales increased in most ceramic products that year – impacting positively the plastic cistern market. In 2019, sales came back at a normal pace, generating a decrease in this segment. However, strong demand led residential renovation to remain at a good level. With increasing consumer confidence and job security, new couples and families are more willing to secure mortgage deals they had not been able to attain over the crisis years. Moreover, the CSOK incentive scheme favouring a dynamic renovation market is expected to end in 2023, triggering the RMI. However, the total number of real estate transactions dropped in 2019, explaining partly the performance of the renovation segment.

Non-Housing

Demand from the non-housing market is relatively weak when compared to the overall sales of sanitary ware products in Hungary. Sales increased in 2019 and saw a rise across most sanitary ware products.

Concealed plastic cisterns recorded one of the sharpest growth rates, in line with the increase of wall hung in shares in 2019 – as it is considered as a more hygienic solution. The non-housing segment seems to favour wall hung WCs over floor standing models, due to their ease of cleaning and maintenance. This slowly

pushed the exposed plastic cistern models out of the non-residential segment.

With regards to the sanitary ware product mix in the non-housing segment, sales of 'other' WCs were dominant, followed by WCs and washbasins. However, volume sales of WCs and washbasins remained at almost similar levels suggesting that, as in previous years, 2019 investors tended to renovate entire bathrooms instead of replacing either WCs or washbasins alone.

Supply Structure

The market for ceramic sanitary ware in Hungary remains in the hands of one player, the German VILLEROY & BOCH. Its brand (VILLEROY & BOCH) is mainly distributed by the main DIY chains and wholesalers.

The second largest player is the Polish CERSANIT (supplied by the company's Romanian plant, besides the plant in Poland), which is sold by MEGATHERM and the DIY retailers OBI and PRAKTIKER. ROCA is active on the market through three different brands, namely ROCA, LAUFEN and JIKA. JIKA products are imported mainly from the Czech Republic. There is a significant number of Chinese suppliers, included in the 'Others' category.

The supply of cisterns, both concealed and exposed, is virtually in the hands of three players, namely LIV (SL), GEBERIT (CH) and GROHE (DE). There are also many unbranded Chinese and Turkish exposed plastic cisterns in the market, included in the 'Others' category. Plus, the imports from China have significantly grown since 2013, with cheap products flooding into the market. In 2019, imports from Austria increased significantly on the Hungarian market, which could explain the switch toward upper/luxury shares on the market.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The outbreak of the COVID-19 pandemic should severely hinder the development of the Hungarian economy in 2020, directly affecting internal demand and supply, while also drastically worsening the conditions in other countries. Nonetheless, a moderate recession is expected in terms of GDP growth for 2020, with a substantial bounce back in 2021 following a relaunch of the economy of the country. The consumer confidence should be considerably affected as there is strong uncertainty on the evolution of the events and economic impact of the COVID-19 outbreak. Still, the extent of the impact will ultimately depend on how long the uncertainty related to the pandemic will last and efficiency of the state aid. However, the impact of the COVID-19 outbreak on the Hungarian construction completions should be noticed in 2021 and 2022. Both macroeconomic and

construction indicators seem to hint a slowdown of the bathroom market up to 2023 in Hungary, compared to the 2019 prevision. In fact, the sanitary ware market is expected to decrease in 2020, driven by the decrease of the renovations market.

Sales in most products are expected to drop in 2020, except concealed plastic cistern and non-ceramic washbasins. The strong share of non-housing for the concealed plastic cistern market should allow it to maintain a good performance in 2020, before dropping in 2021 and 2022. In 2021 and 2022, new construction should be impacted by the COVID-19 outbreak and its consequences. The drop in building permits started in 2019, worsened in 2020 due to the uncertainty of the economic situation in the country. From 2023, the concealed cistern market should renew with the previous trend and take share over the exposed cistern market. In the meantime, the new housing market is anticipated to see a drop in the sanitary ware market but the strong RMI should offset this decline and allow both markets to rebound alongside consumer confidence.

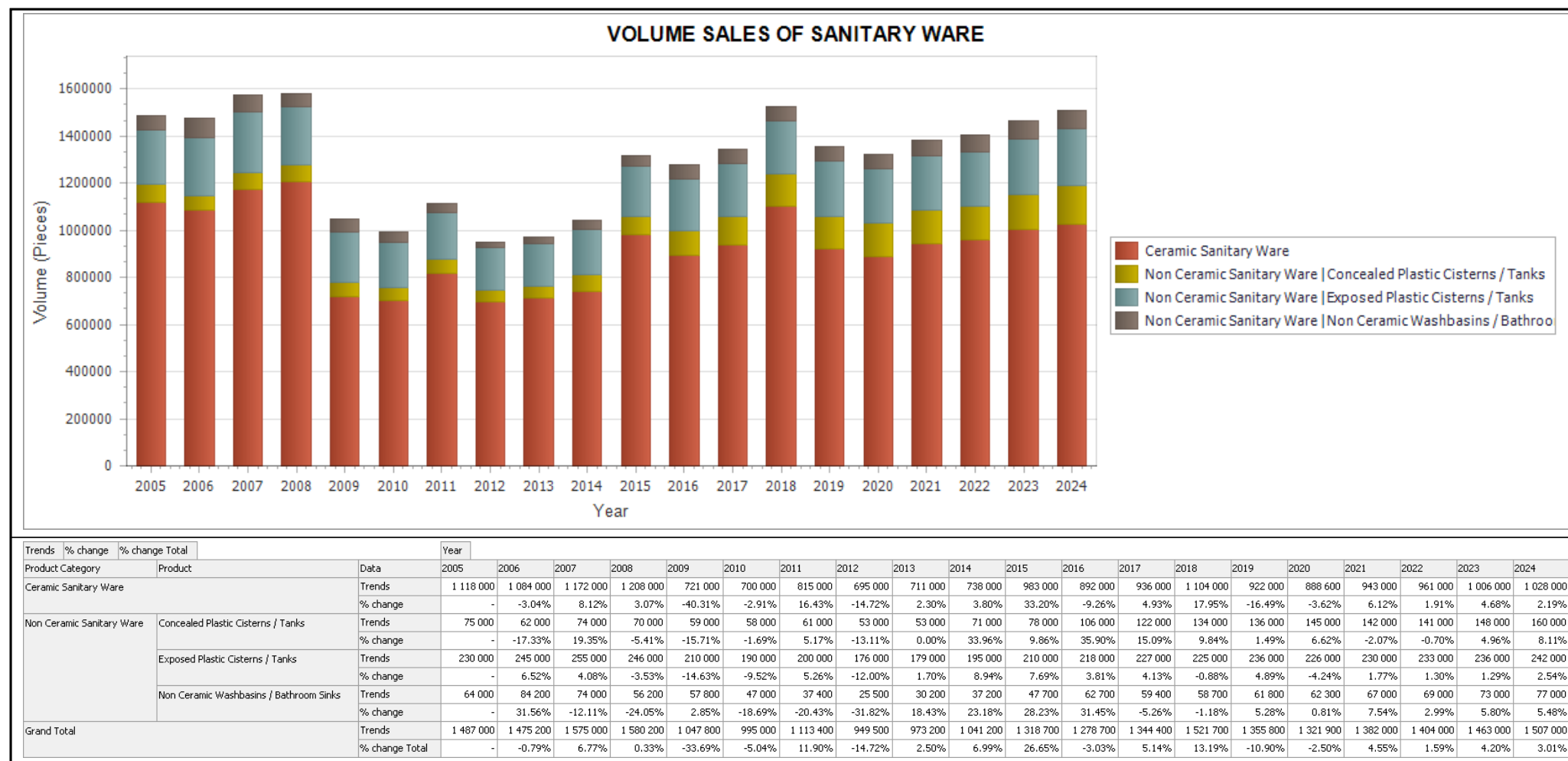
Sales to the RMI segment should benefit from financial schemes. Through the Home Purchase Allowance for Families, potential homeowners can receive an allowance (although this can vary greatly) of up to HUF 10 million (approximately EUR 32,800), with a further HUF 10 million in subsidised state credit. The other important change was the Hungarian government's decision to reduce the VAT rate on the purchase of a new one- or two-family house or apartment by 22% (from 27 to 5%), planned to expire at the end of 2019. However, Properties that have a final building permit issued since 1 November 2018 should benefit from the reduced VAT rate until 31 December 2023. It is worth mentioning that the two government schemes are also available for families that intend to renovate existing buildings.

Within the category of other CSW, sales of all products are expected to experience growth from 2021 onwards, except pedestals and half pedestals. Sales of bidets should increase moderately, while growth of pedestals and half pedestals will depend partly on the performance of the market for base units/vanities. Sales of urinals should accelerate in 2021 and 2022, boosted by the anticipated improvements in the non-housing sector. Whereas demand for hand washbasins is expected to change in line with the overall washbasin market, demand for countertop basins should continue to grow (in line with increased demand for bathroom furniture).

With regard to WCs/toilets, the Hungarian market is anticipated to rebound and note a significant growth from 2021 onwards. This, combined with the increasing share of wall hung models, should trigger more sales of rimless models. Demand for closed coupled WCs, consisting of a floor standing WC with an exposed ceramic cistern, is low and should continue to face heavy competition from exposed plastic cisterns, which are significantly cheaper, as well as concealed plastic cisterns.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

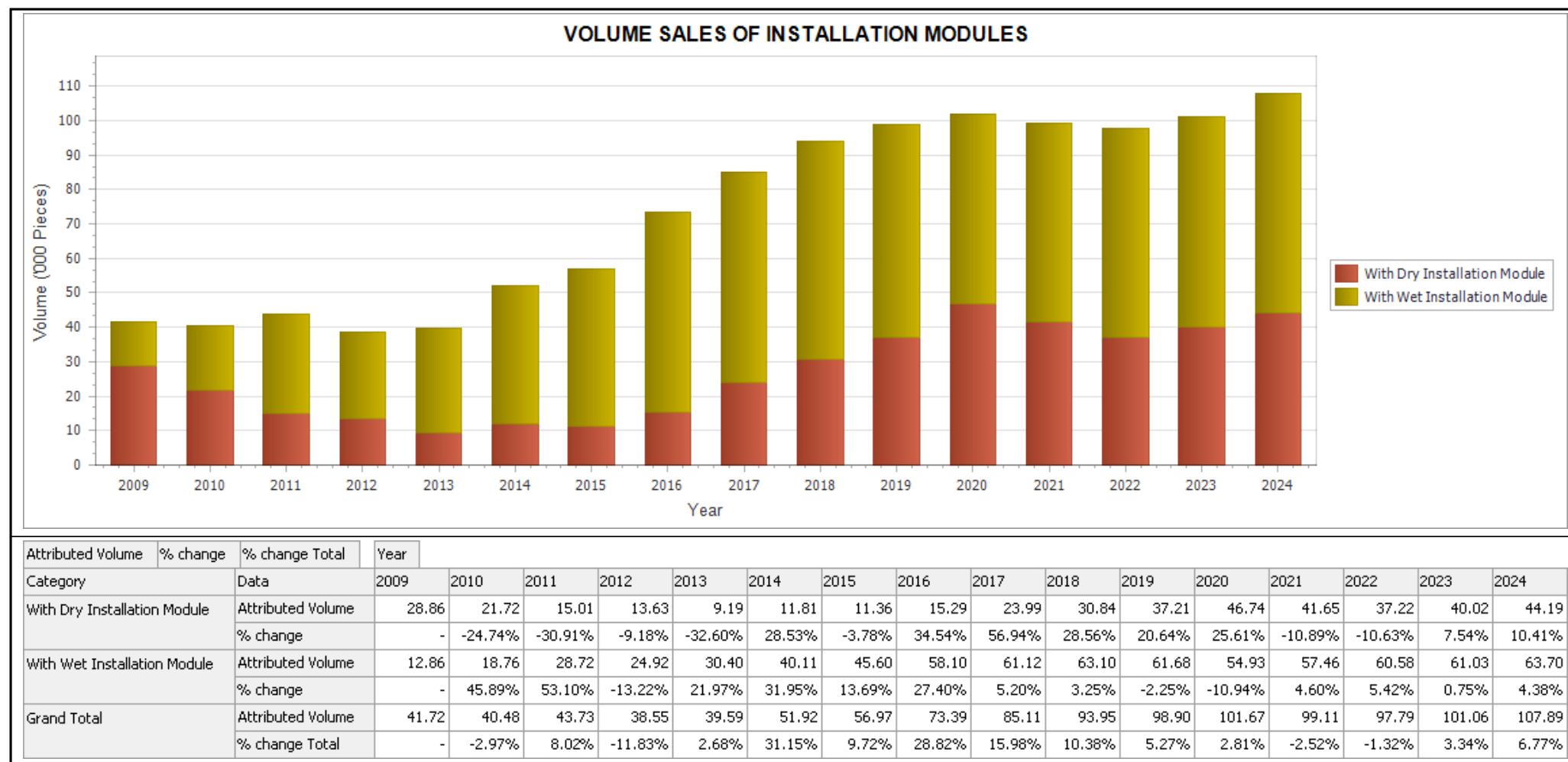
HU - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

2.2.2 Historical Trend and Forecasts: Installation Mod.

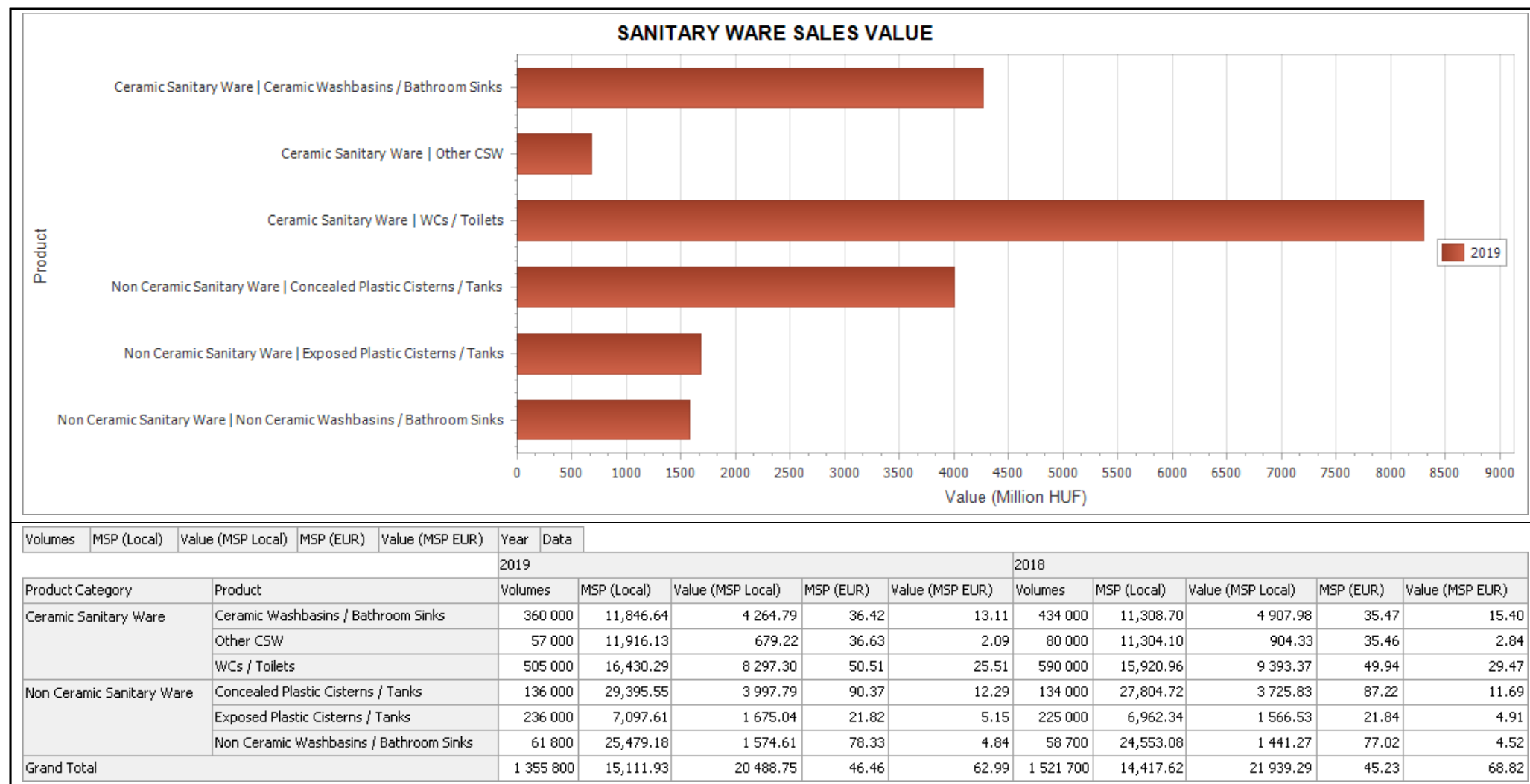
HU - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

HU - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Local Prices Shown in HUF. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.2 Prices and Market Values by Type : CSW

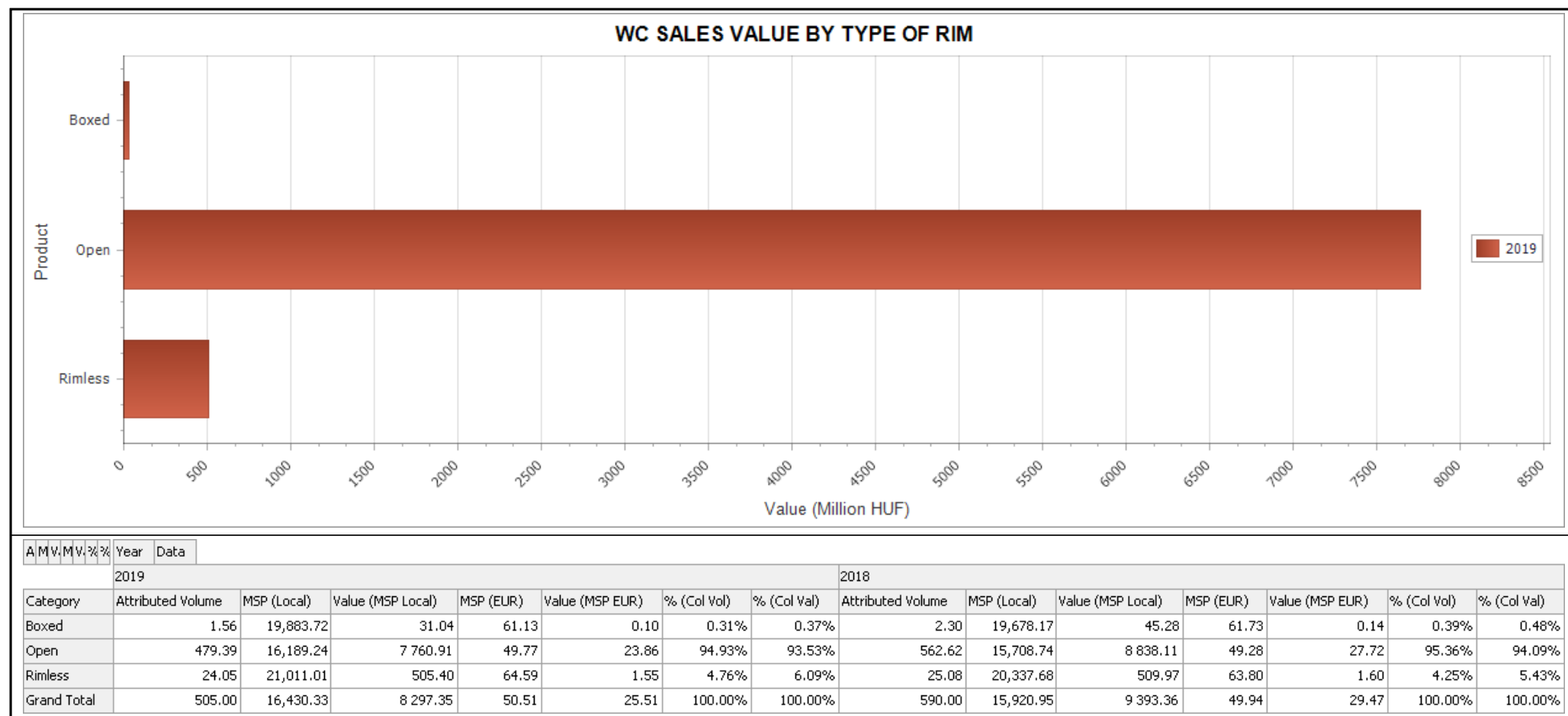
HU - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed	% (Col Vol)	MSP (Local)	Value (MSP)	MSP (EUR)	Value (MSP)	% (Col Vol)	Year	Data								
2019									2018							
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	61.13	16.98%	15,329.28	937.05	47.13	2.88	24.16%	67.94	15.65%	14,668.35	996.55	46.01	3.13	22.38%	
	Hand Washbasins	55.17	15.32%	7,175.94	395.87	22.06	1.22	10.21%	66.51	15.32%	6,881.24	457.65	21.59	1.44	10.28%	
	Inset Washbasins	36.41	10.11%	11,711.64	426.43	36.00	1.31	11.00%	32.29	7.44%	11,699.79	377.79	36.70	1.19	8.49%	
	Pedestal Washbasins	7.56	2.10%	10,164.25	76.85	31.25	0.24	1.98%	10.85	2.50%	9,868.73	107.08	30.96	0.34	2.41%	
	Semi-Recessed Washbasins	20.23	5.62%	12,877.97	260.46	39.59	0.80	6.72%	19.33	4.45%	12,700.53	245.51	39.84	0.77	5.51%	
	Undermount Washbasins	10.33	2.87%	13,919.38	143.77	42.79	0.44	3.71%	9.30	2.14%	13,699.74	127.37	42.97	0.40	2.86%	
	Wall Hung Washbasins	169.18	46.99%	9,678.19	1 637.37	29.75	5.03	42.22%	227.79	52.49%	9,395.62	2 140.23	29.47	6.71	48.07%	
Other CSW	Bidets	8.27	14.50%	11,252.61	93.00	34.59	0.29	13.69%	8.15	10.19%	11,066.29	90.21	34.71	0.28	9.98%	
	Close-Coupled Cisterns	17.02	29.86%	10,774.74	183.39	33.12	0.56	27.00%	32.71	40.89%	10,605.23	346.93	33.27	1.09	38.36%	
	Kitchen Sinks	0.70	1.23%	34,683.79	24.31	106.63	0.07	3.58%	0.70	0.88%	33,856.86	23.73	106.20	0.07	2.62%	
	Others	0.17	0.30%	8,985.53	1.54	27.62	0.00	0.23%	0.17	0.21%	8,933.22	1.54	28.02	0.00	0.17%	
	Pedestals & Half Pedestals	5.75	10.08%	7,050.44	40.51	21.68	0.12	5.96%	9.79	12.24%	6,916.24	67.72	21.70	0.21	7.49%	
	Shower Trays	0.19	0.33%	32,762.47	6.22	100.72	0.02	0.92%	0.28	0.35%	32,448.75	9.09	101.79	0.03	1.00%	
	Urinals	24.91	43.70%	13,258.93	330.28	40.76	1.02	48.62%	28.19	35.24%	12,951.48	365.14	40.63	1.15	40.38%	
WCs / Toilets	Close-Coupled WC Bowls	14.89	2.95%	17,234.12	256.58	52.98	0.79	3.09%	25.61	4.34%	16,700.43	427.63	52.39	1.34	4.55%	
	Floor Standing WC Bowls	363.46	71.97%	15,575.67	5 661.12	47.88	17.40	68.23%	420.73	71.31%	15,092.49	6 349.87	47.34	19.92	67.60%	
	Wall Hung WC Bowls	126.65	25.08%	18,787.65	2 379.53	57.76	7.32	28.68%	143.67	24.35%	18,204.60	2 615.36	57.11	8.20	27.84%	
Grand Total		922.01	100.00%	13,941.65	12 854.30	42.86	39.52	100.00%	1 104.01	100.00%	13,359.86	14 749.40	41.91	46.27	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in HUF. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

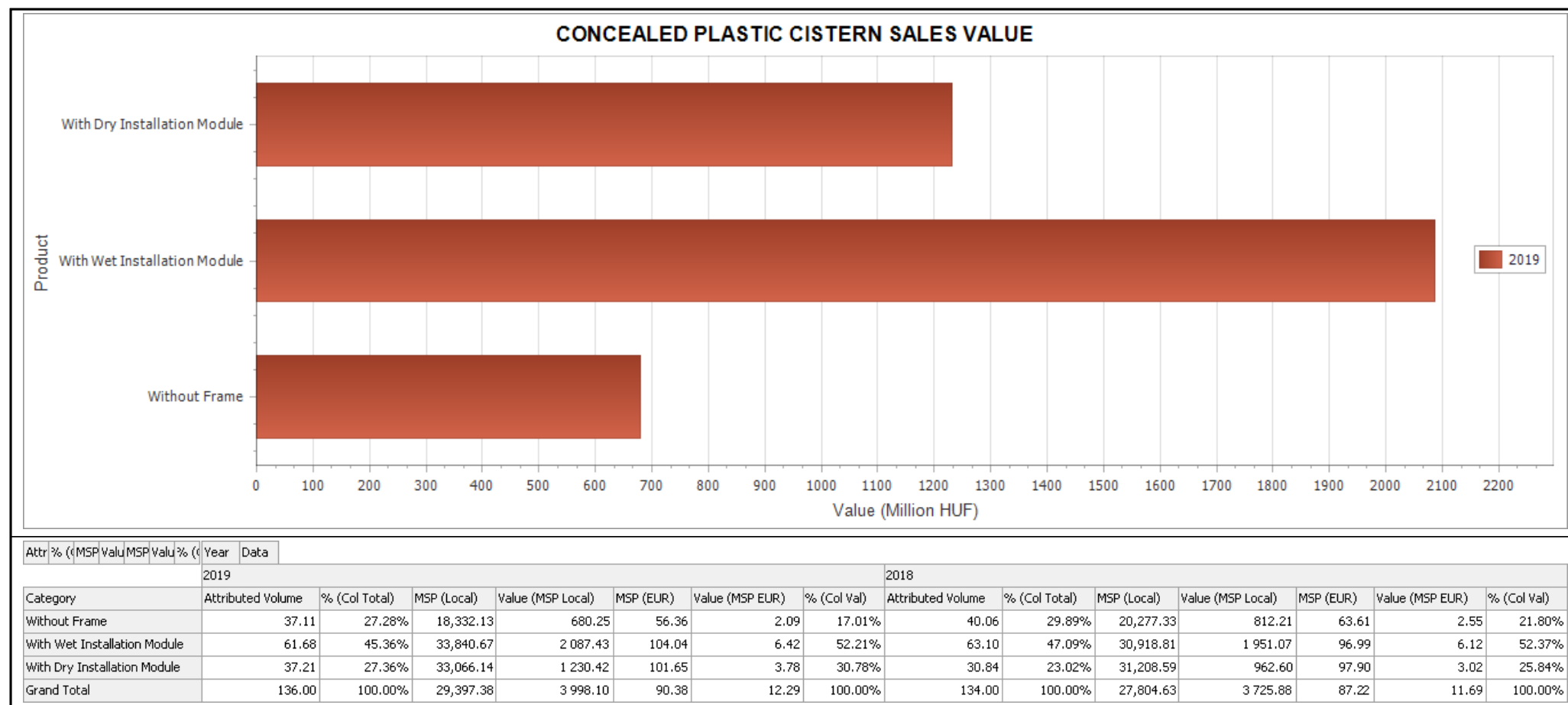
HU - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in HUF. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

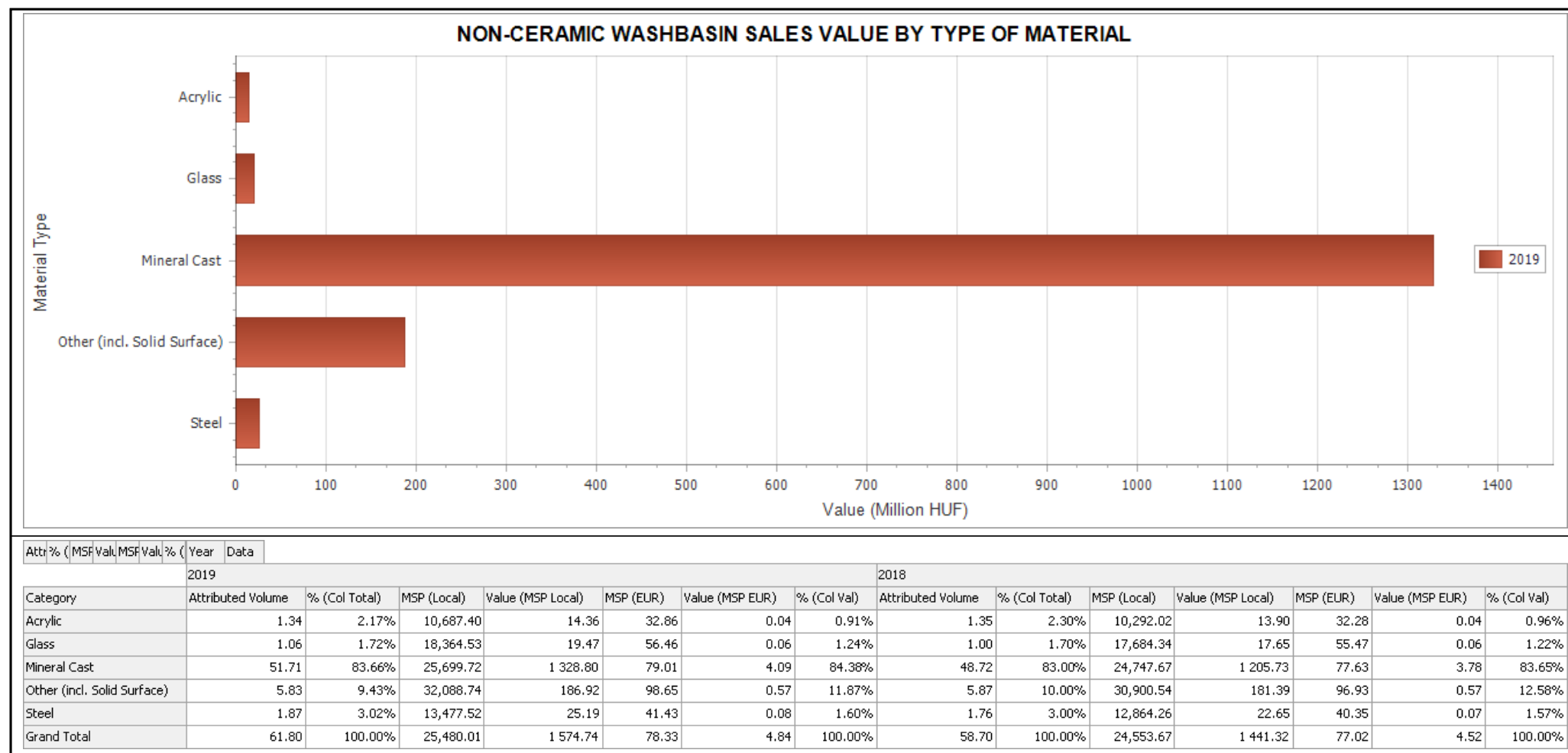
HU - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in HUF. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

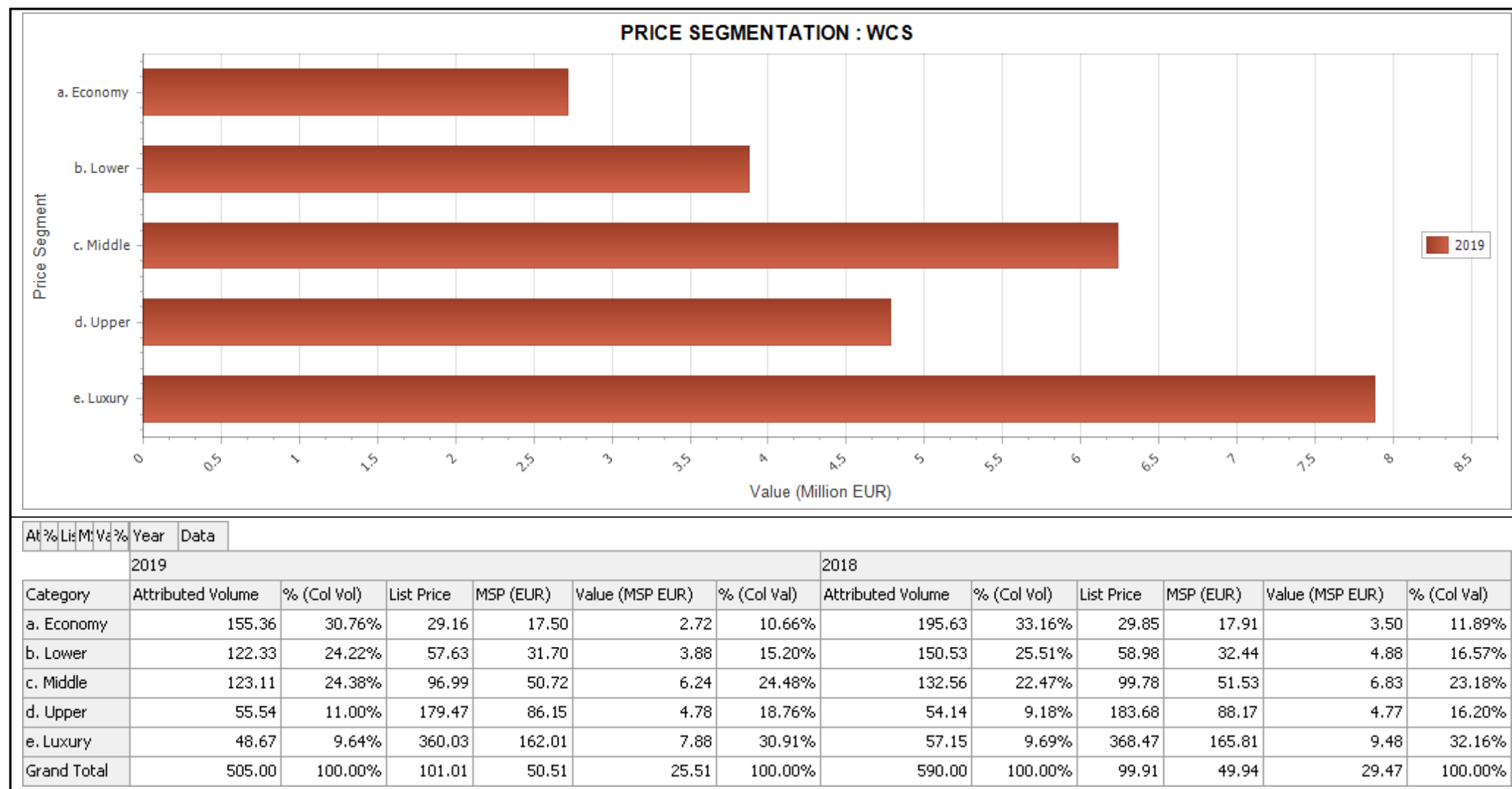
HU - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Local Prices Shown in HUF. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

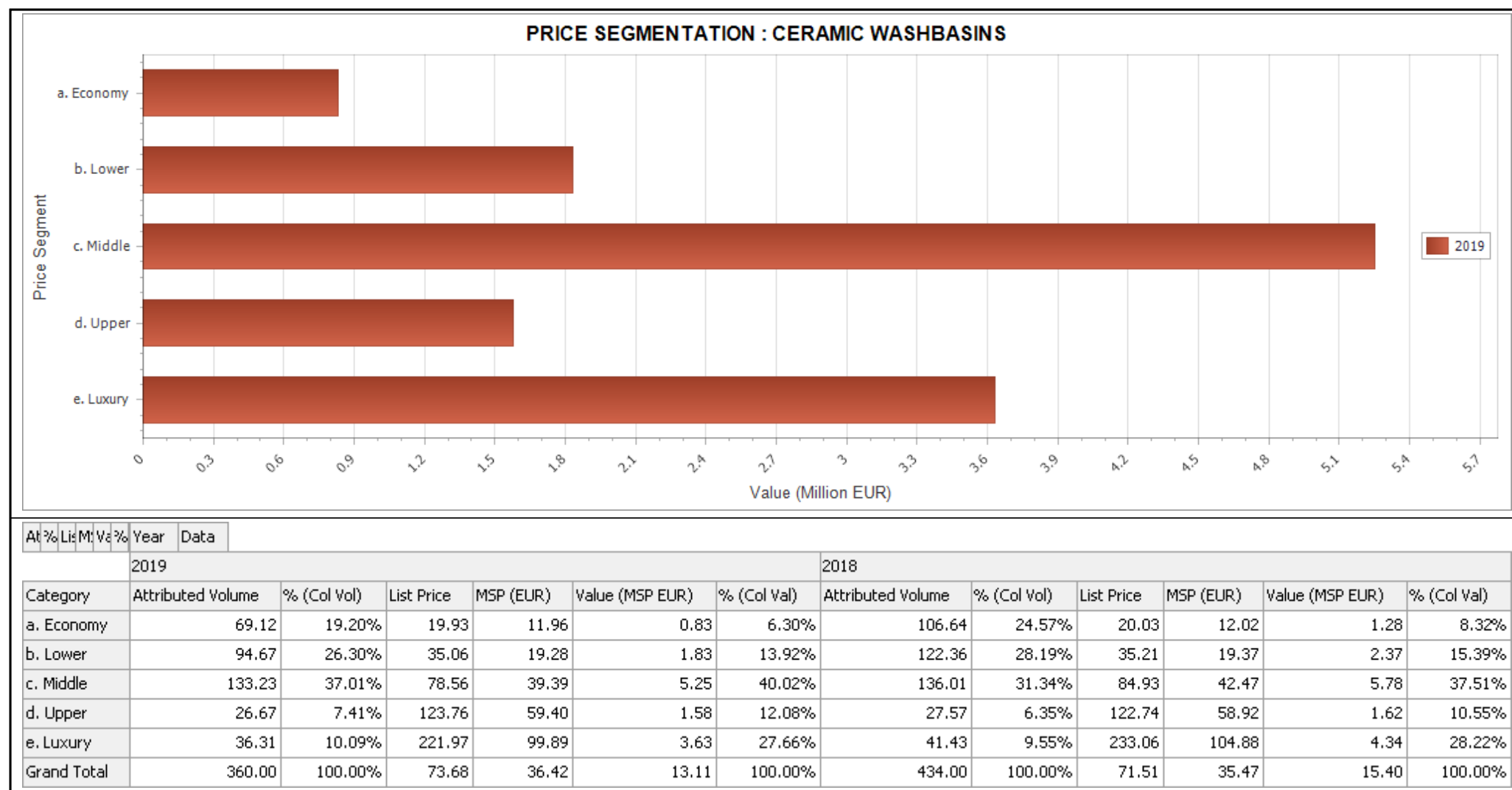
HU - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€40, Middle €40-€60, Upper >€60-€100, Luxury >€100

2.3.7 Price Segmentation : Ceramic Washbasins

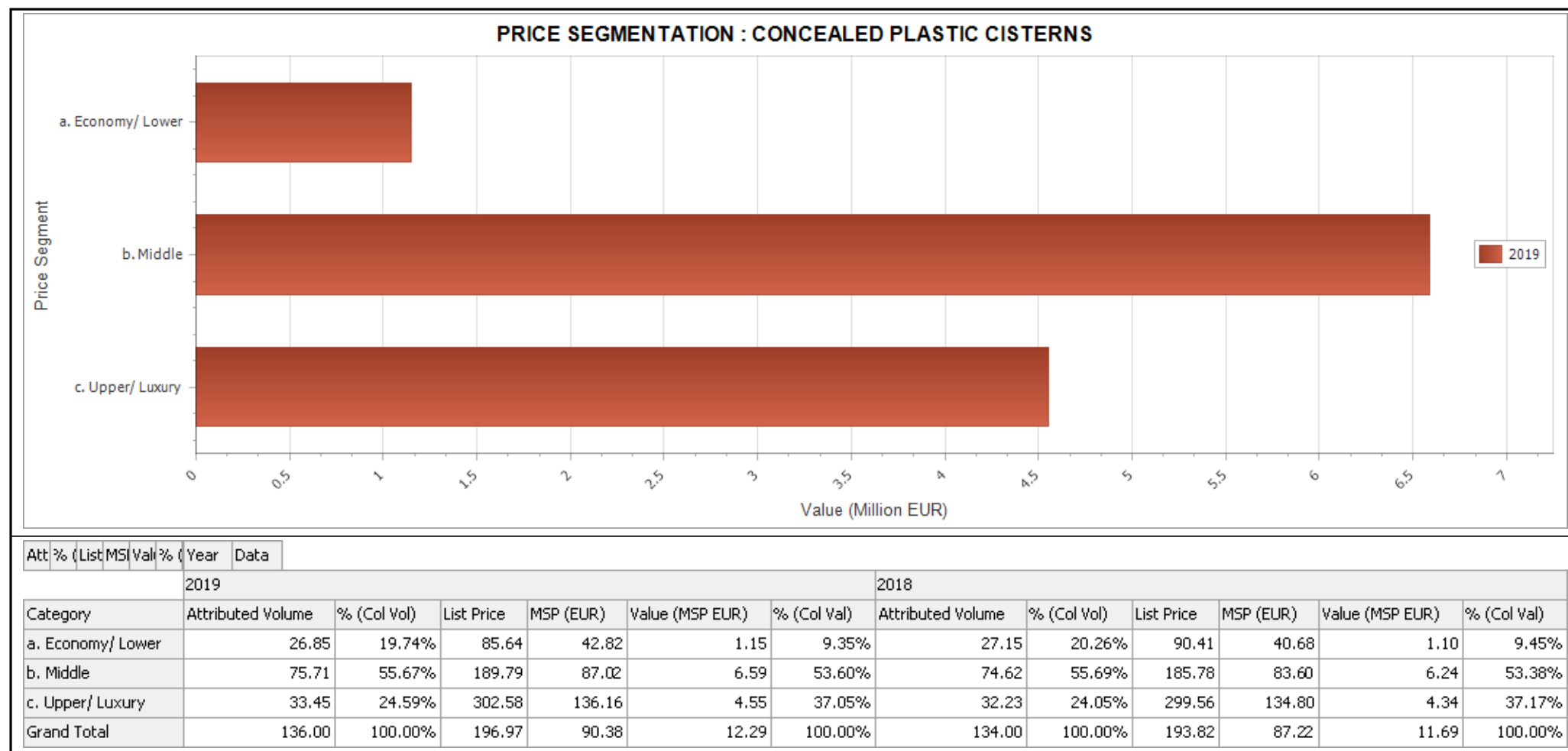
HU - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€15, Lower €15-€25, Middle €30-€50, Upper >€50-€90, Luxury >€90

2.3.8 Price Segmentation : Concealed Plastic Cisterns

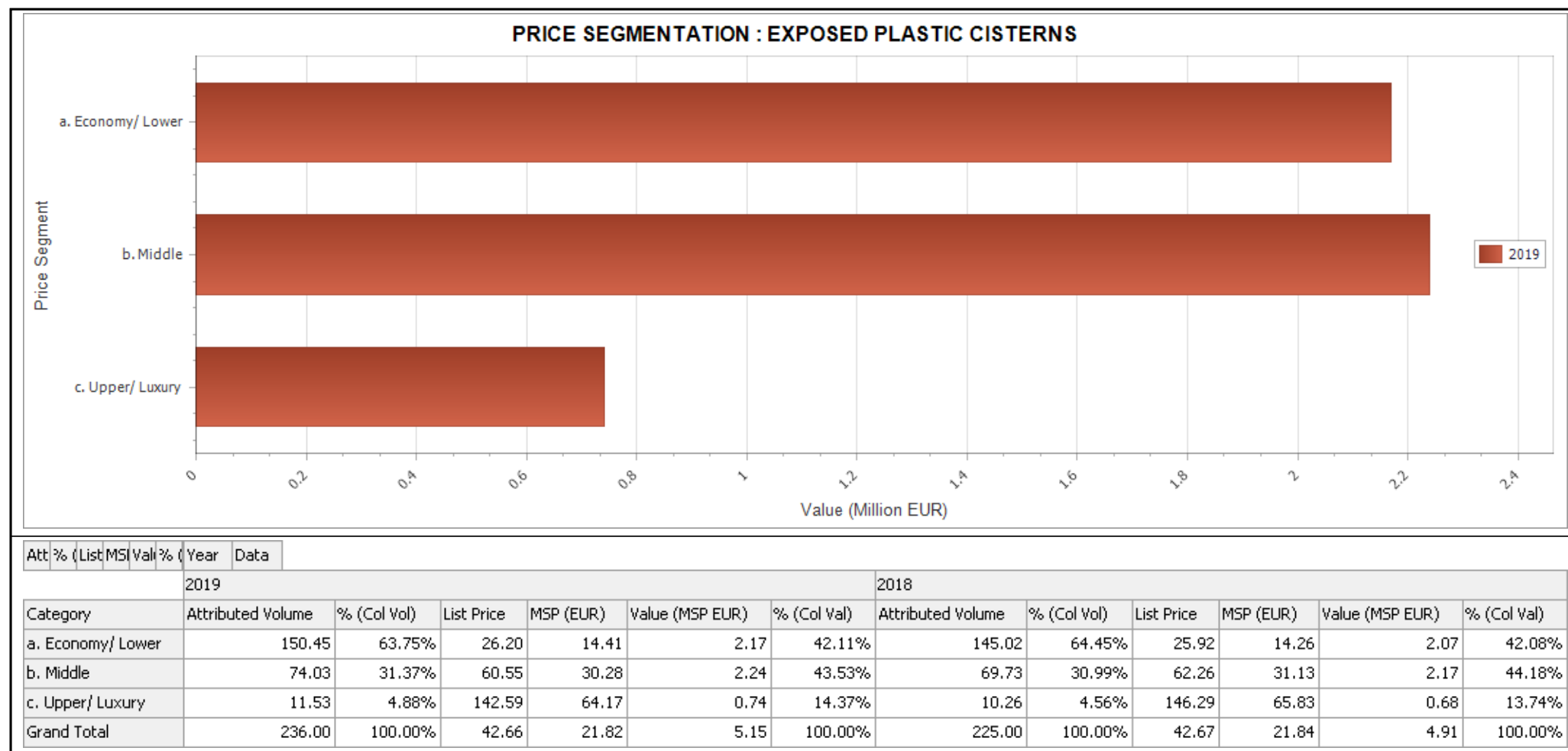
HU - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

2.3.9 Price Segmentation : Exposed Plastic Cisterns

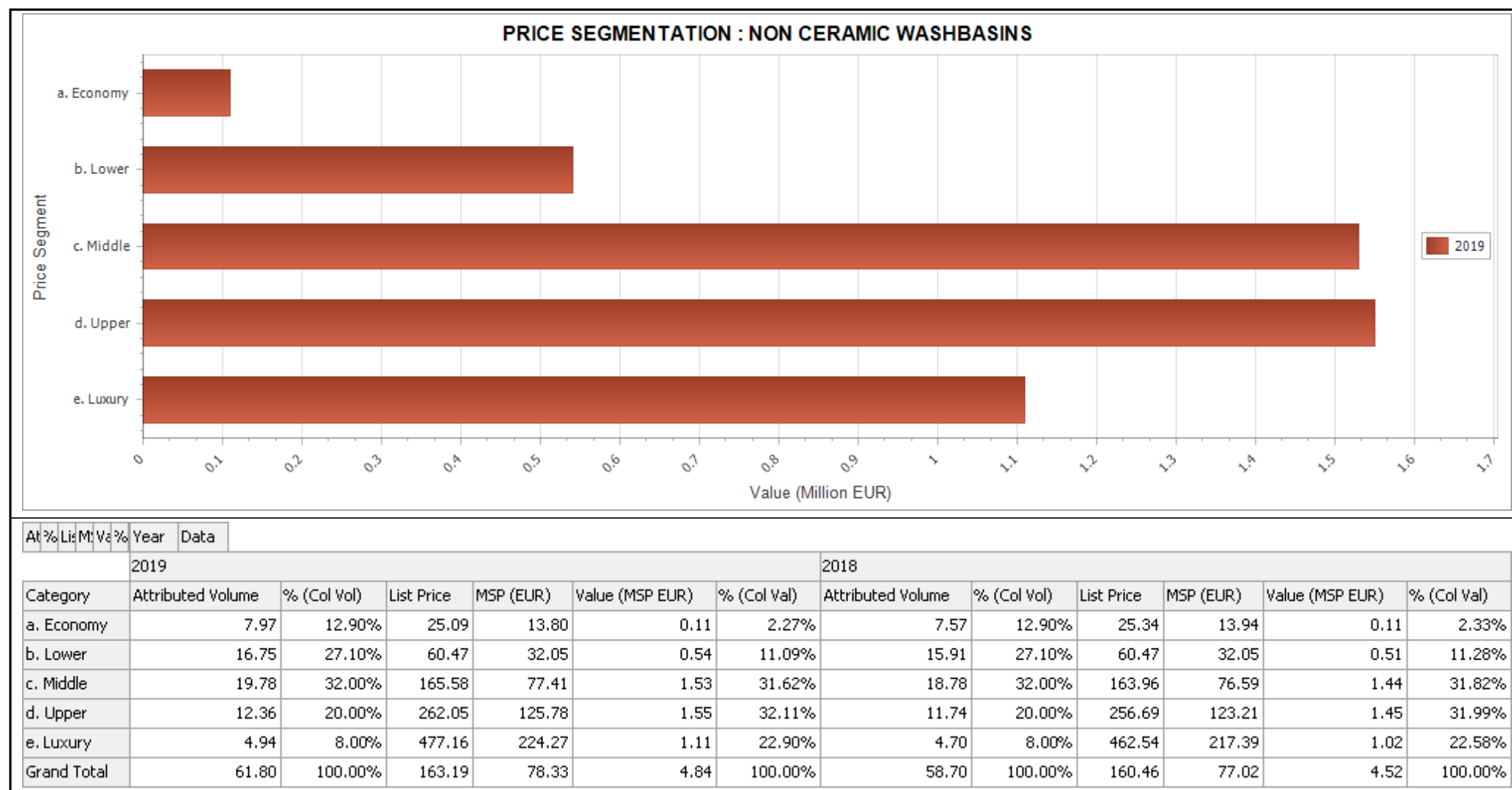
HU - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€20, Middle €20-€40, Upper/ Luxury >€40

2.3.10 Price Segmentation : Non Ceramic Washbasins

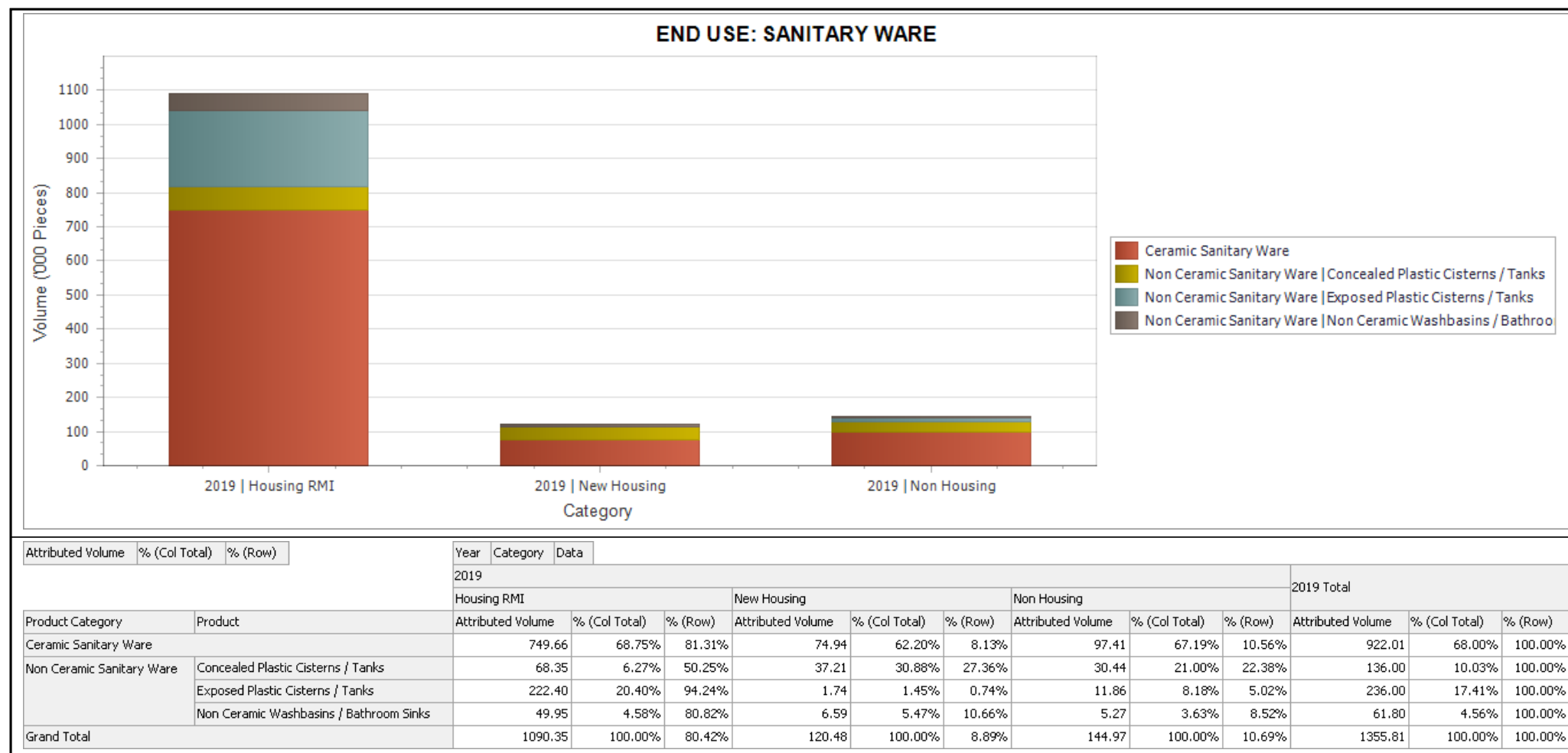
HU - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€20, Lower €20-€50, Middle €50-€100, Upper >€100-€150, Luxury >€150

2.4.1 End Use : Base Year

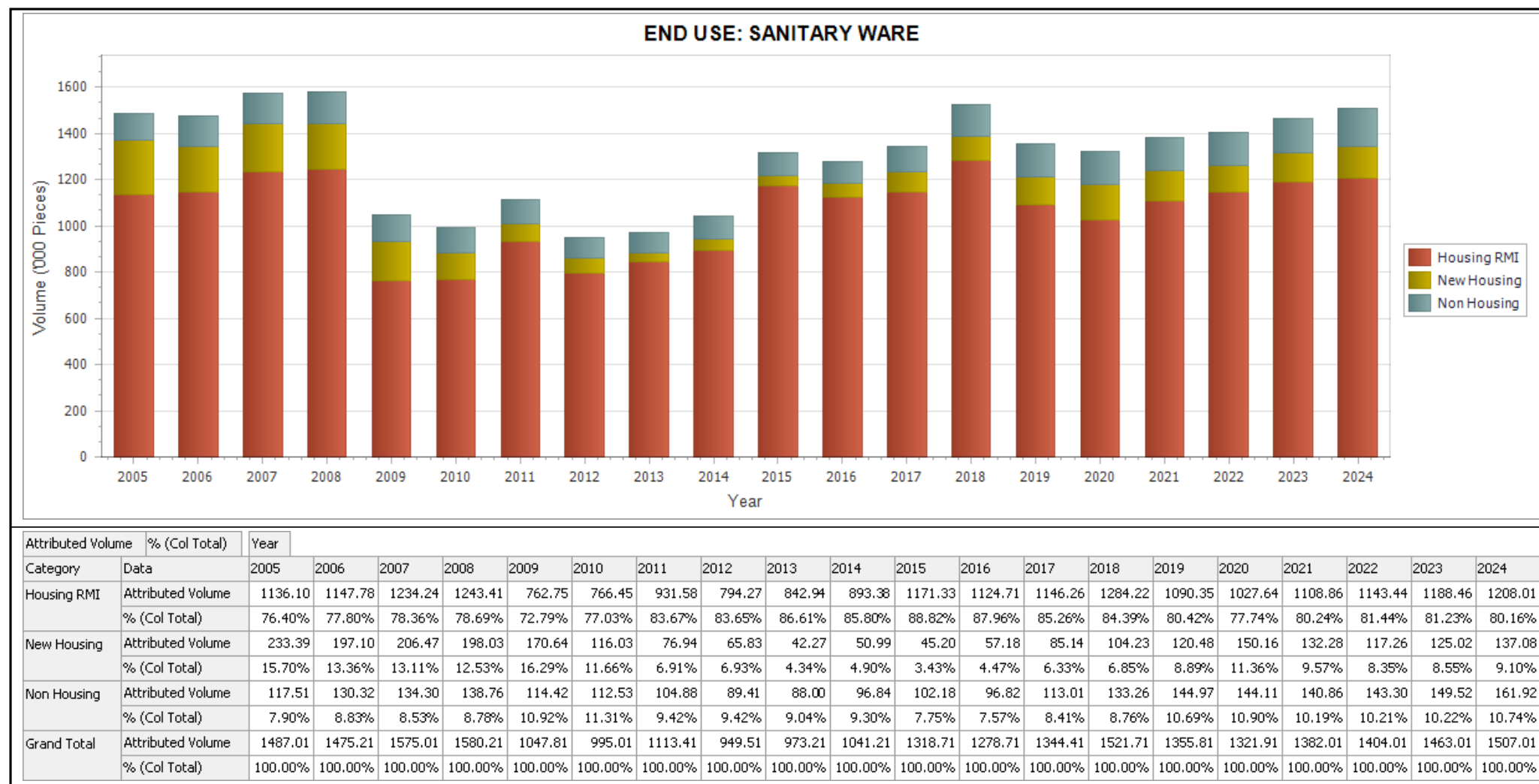
HU - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

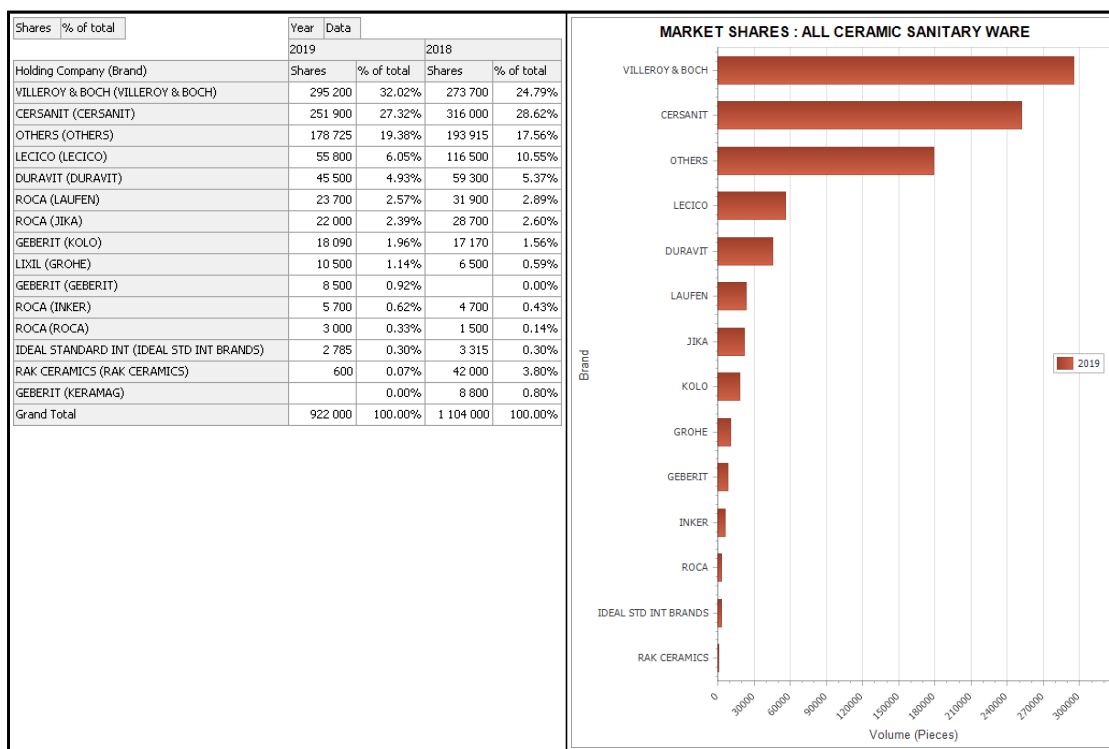
HU - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

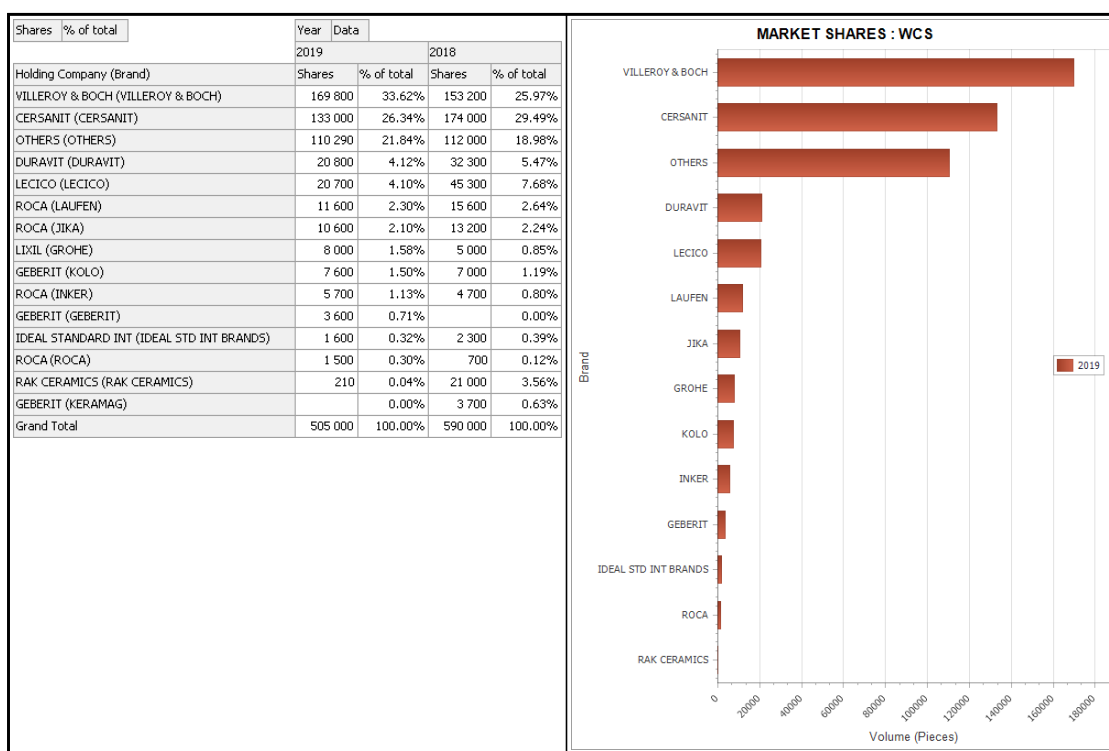
HU - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

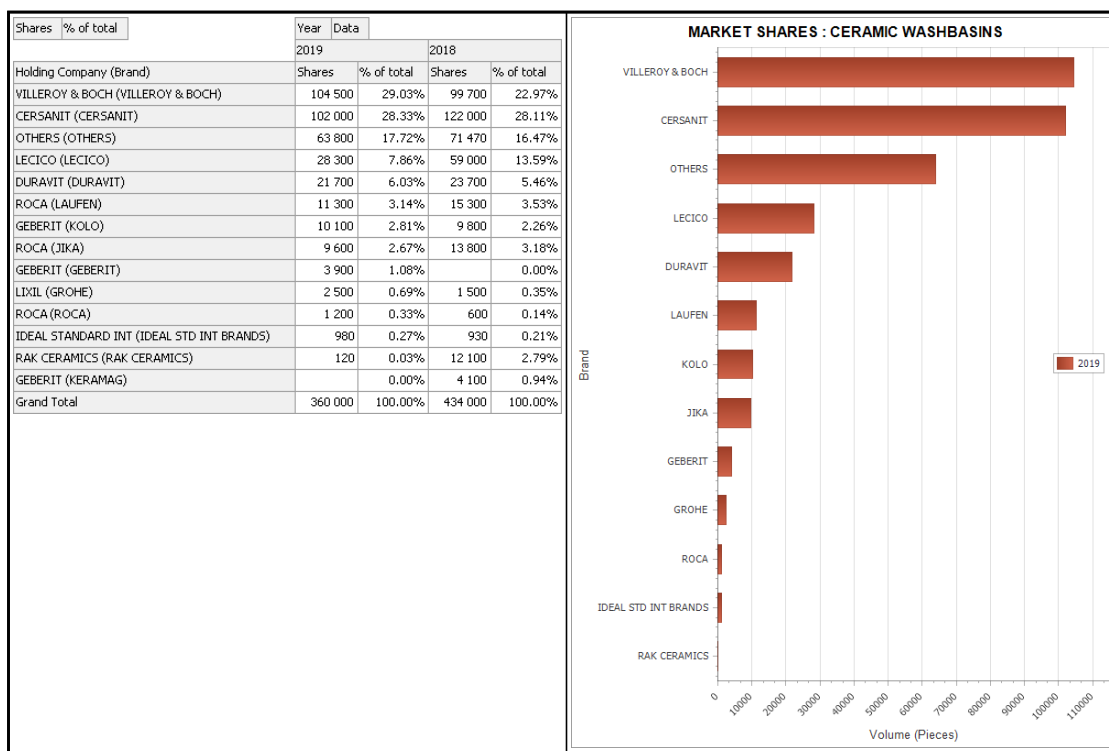
HU - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews

2.5.3 Market Shares : Ceramic Washbasins

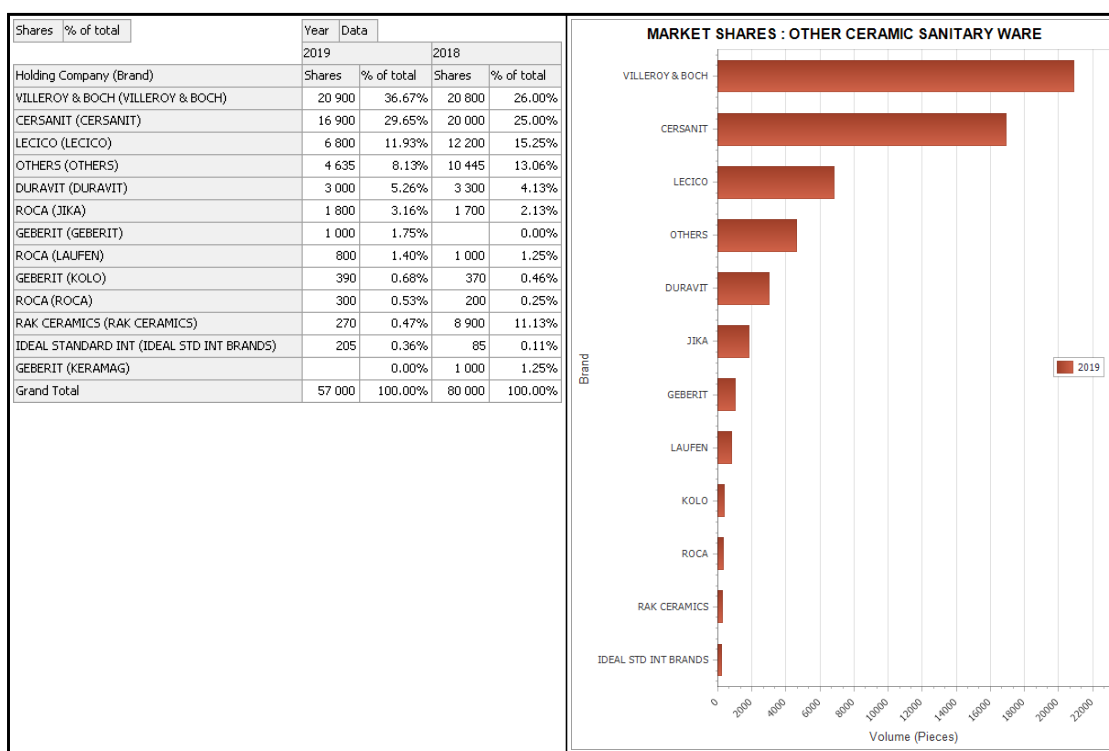
HU - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

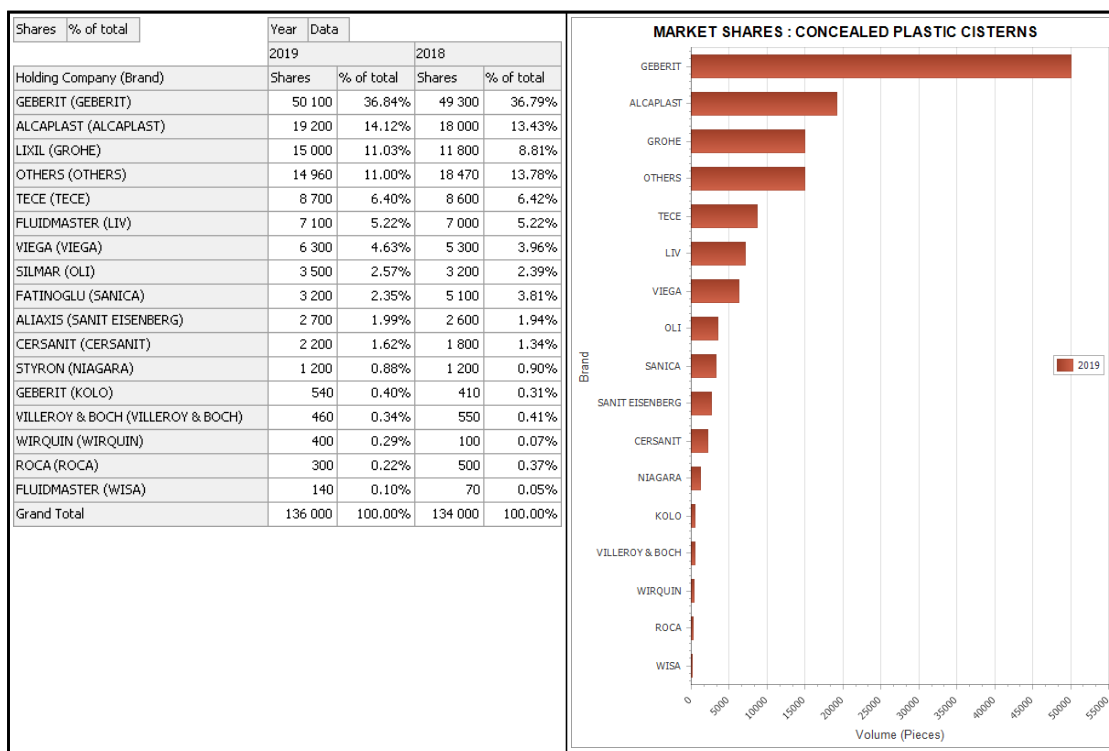
HU - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

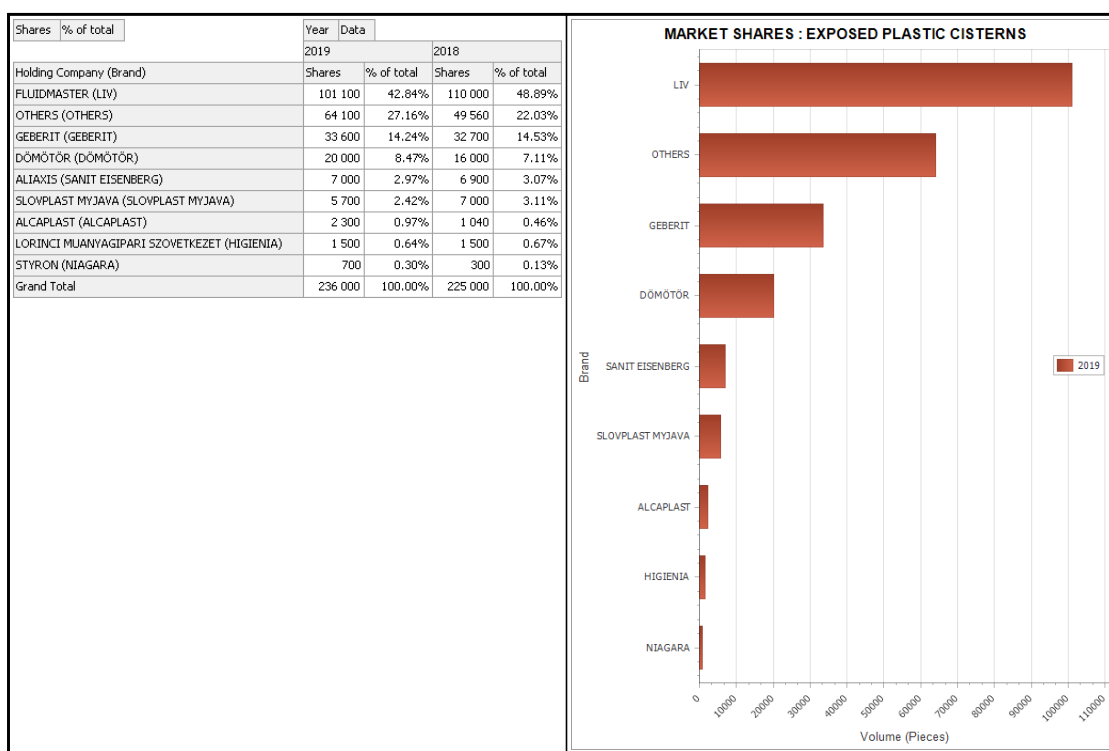
HU - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

HU - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 HU - IMPORTS OF ALL CERAMIC SANITARY WARE 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Romania	6 523	39.0%	9 748	30.6%	8 543	39.2%	14 976	38.0%
Mexico	3 776	22.6%	6 705	21.1%	4 682	21.5%	8 145	20.6%
Poland	1 960	11.7%	4 227	13.3%	1 657	7.6%	3 051	7.7%
Egypt	1 558	9.3%	1 574	4.9%	2 814	12.9%	2 785	7.1%
Germany	680	4.1%	4 055	12.7%	693	3.2%	3 464	8.8%
China	612	3.7%	1 073	3.4%	542	2.5%	846	2.1%
Austria	488	2.9%	682	2.1%	657	3.0%	852	2.2%
Czech Republic	453	2.7%	2 008	6.3%	592	2.7%	2 021	5.1%
Turkey	252	1.5%	305	1.0%	348	1.6%	400	1.0%
OTHERS	412	2.5%	1 471	4.6%	1 283	5.9%	2 919	7.4%
Total	16 715	100.0%	31 848	100.0%	21 812	100.0%	39 459	100.0%

Source : Trademap

2.6.2 HU - EXPORTS OF ALL CERAMIC SANITARY WARE 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	14 501	55.0%	31 526	54.7%	16 671	53.4%	33 646	54.6%
Sweden	5 570	21.1%	10 518	18.3%	6 007	19.2%	10 422	16.9%
France	1 780	6.8%	3 390	5.9%	2 362	7.6%	4 434	7.2%
Belgium	1 465	5.6%	2 404	4.2%	1 679	5.4%	2 930	4.8%
Netherlands	858	3.3%	1 775	3.1%	1 341	4.3%	2 669	4.3%
Romania	585	2.2%	938	1.6%	752	2.4%	1 170	1.9%
Russian Federation	330	1.3%	4 168	7.2%	866	2.8%	2 738	4.4%
United Arab Emirates	278	1.1%	730	1.3%	432	1.4%	1 084	1.8%
Austria	271	1.0%	417	0.7%	319	1.0%	600	1.0%
OTHERS	705	2.7%	1 718	3.0%	779	2.5%	1 918	3.1%
Total	26 343	100.0%	57 584	100.0%	31 209	100.0%	61 611	100.0%

Source : Trademap

2.6.3 HU - IMPORTS OF PLASTIC CISTERNS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	1 372	41.4%	8 316	45.7%	1 424	47.8%	7 498	45.2%
Slovenia	625	18.9%	3 495	19.2%	628	21.1%	3 279	19.8%
China	392	11.8%	1 106	6.1%	319	10.7%	812	4.9%
Austria	376	11.3%	514	2.8%	36	1.2%	478	2.9%
Czech Republic	289	8.7%	2 557	14.1%	273	9.2%	2 541	15.3%
Poland	87	2.6%	533	2.9%	86	2.9%	522	3.1%
Italy	53	1.6%	691	3.8%	48	1.6%	383	2.3%
Turkey	48	1.5%	175	1.0%	77	2.6%	259	1.6%
OTHERS	70	2.1%	809	4.4%	89	3.0%	815	4.9%
Total	3 312	100.0%	18 196	100.0%	2 980	100.0%	16 587	100.0%

Source : Trademap

2.6.4 HU - EXPORTS OF PLASTIC CISTERNS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Slovakia	43	20.6%	327	11.2%	134	35.6%	529	20.6%
Romania	43	20.4%	298	10.2%	40	10.7%	272	10.6%
Croatia	32	15.2%	233	8.0%	29	7.7%	223	8.7%
Czech Republic	14	6.5%	90	3.1%	15	4.0%	108	4.2%
Israel	13	6.1%	120	4.1%	20	5.2%	191	7.4%
Serbia	12	5.5%	79	2.7%	9	2.4%	58	2.3%
Russian Federation	8	3.8%	1 359	46.6%	1	0.4%	41	1.6%
Poland	7	3.2%	47	1.6%	31	8.2%	125	4.9%
United Kingdom	6	2.8%	62	2.1%	5	1.5%	59	2.3%
Austria	6	2.8%	63	2.2%	64	17.0%	657	25.6%
Germany	6	2.7%	34	1.2%	3	0.9%	67	2.6%
OTHERS	22	10.6%	205	7.0%	24	6.5%	240	9.3%
Total	210	100.0%	2 917	100.0%	375	100.0%	2 570	100.0%

Source : Trademap

2.7.1

Route to Market: Ceramic Sanitary Ware
HU - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	59.7%
	Wholesalers / Merchants
	59.7%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	4.2%	30.1%	14.0%	7.7%	15.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.2%		44.1%		22.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.1%	10.0%	4.2%	10.2%	16.5%
Installers				
42.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.8%	14.6%	0.0%	32.9%	5.2%	36.0%	0.7%	1.9%	0.0%	1.0%	1.0%	6.0%
	Residential						Non-Residential					
	89.4%						10.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	8.1%			81.3%			4.3%			6.3%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	5.7%		2.4%	12.2%		69.1%	3.8%		0.5%	3.6%		2.7%

2.7.2

Route to Market: Ceramic Sanitary Ware
HU - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	59.3%
	Wholesalers / Merchants
	59.3%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	4.8%	30.6%	18.0%	7.7%	15.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.8%		48.6%		22.7%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.2%	10.2%	4.8%	11.2%	21.7%
Installers				
49.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.7%	9.6%	0.0%	36.4%		43.2%	0.5%	1.7%	0.0%	1.0%	1.0%	5.9%
	Residential						Non-Residential					
	89.9%						10.1%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	8.1%			81.8%			3.7%			6.4%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	6.5%		1.6%	10.9%		70.9%	3.1%		0.6%	4.2%		2.2%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

HU - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

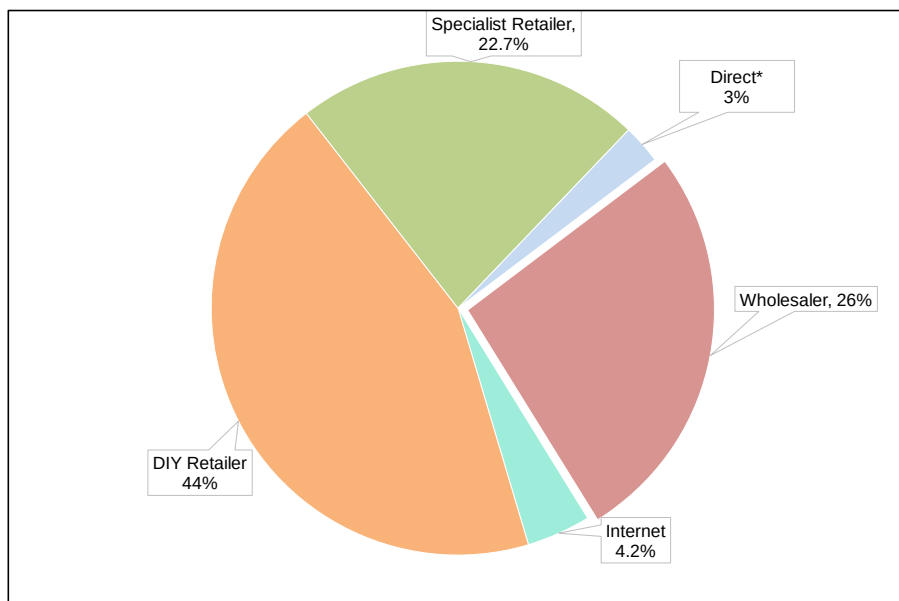
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
26.5%	4.2%	44.1%	22.7%	2.6%	17.9%	7.4%	71.5%	3.2%
100%					25.3%		74.7%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

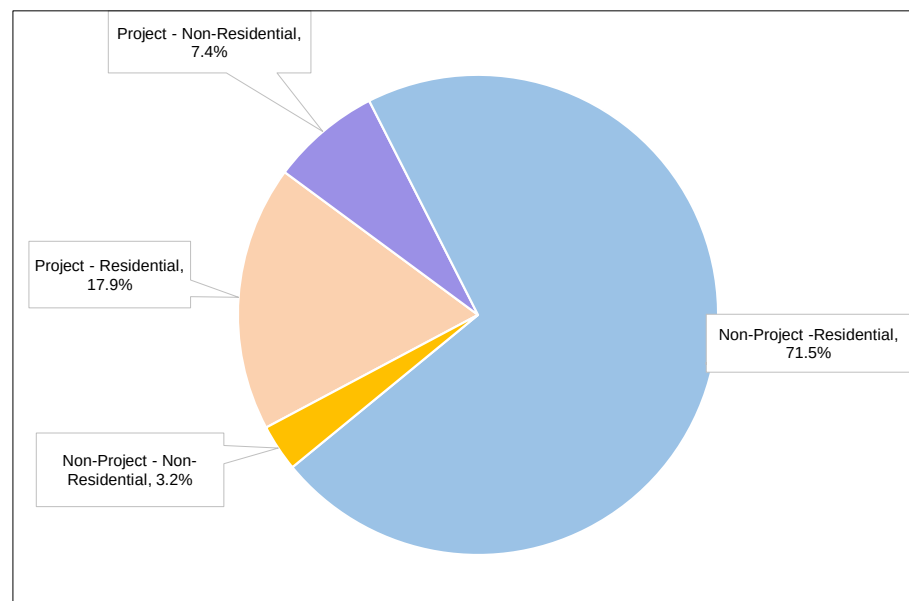
HU - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
21.5%	4.8%	48.6%	22.7%	2.4%	17.4%	7.3%	72.5%	2.8%
100%					24.7%		75.3%	

HU - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



HU - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
HU - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	81.8%
	Wholesalers / Merchants
	81.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	3.7%	8.3%	12.3%	4.3%	11.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.7%		20.6%		15.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.8%	35.0%	3.7%	9.3%	8.2%
Installers				
59.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.4%	16.8%	0.0%	11.3%	7.1%	51.9%	1.3%	3.0%	0.0%	0.0%	0.0%	7.1%
	Residential						Non-Residential					
	88.6%						11.4%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	10.5%			78.2%			4.2%			7.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	7.4%		3.1%	11.7%		66.4%	3.7%		0.5%	4.2%		3.0%

2.7.6 Route to Market: Plastic Cisterns
HU - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

4.2

Wholesale Level	80.6%
	Wholesalers / Merchants
	80.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
		4.7%		13.3%		11.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.7%		13.3%		11.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
	30.8%	4.7%	11.3%	3.4%
Installers				
50.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	18.2%	17.8%	0.0%	2.0%	7.6%	42.1%	1.2%	3.0%	0.0%	0.0%	0.0%	8.1%
	Residential						Non-Residential					
	87.7%						12.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	11.1%			76.6%			5.1%			7.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	8.3%		2.8%	10.3%		66.3%	4.3%		0.8%	4.2%		3.0%

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

HU - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

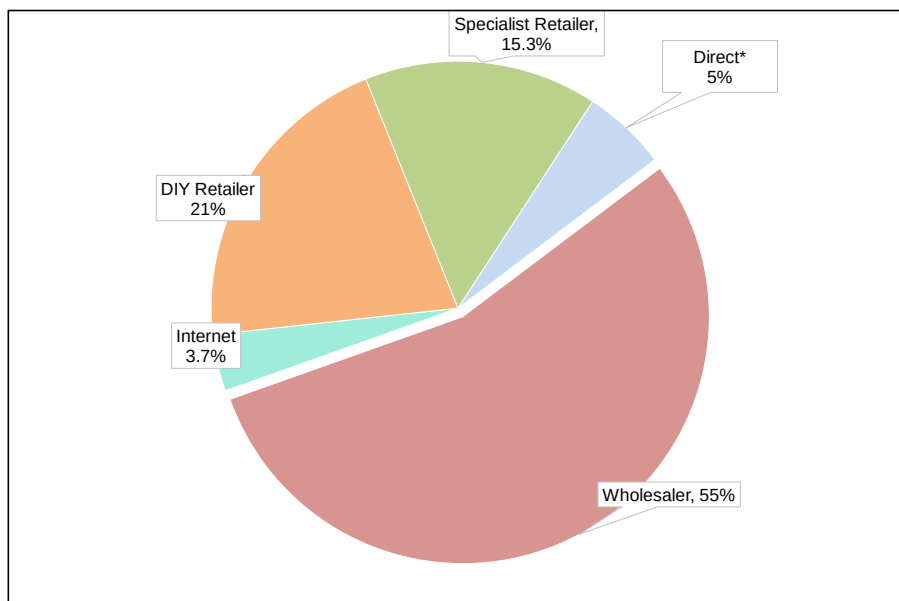
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
54.8%	3.7%	20.6%	15.3%	5.5%	19.1%	7.9%	69.5%	3.5%
100%					27.0%		73.0%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

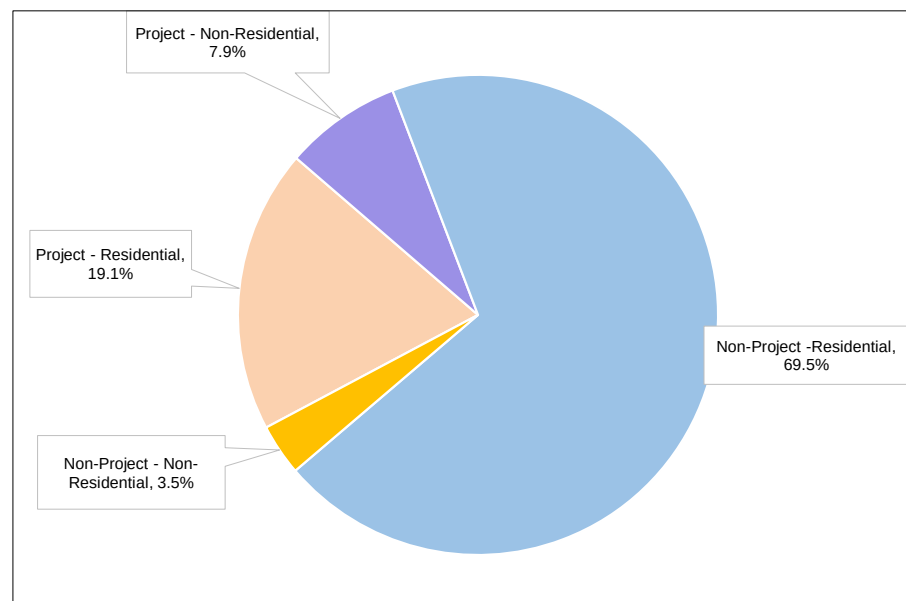
HU - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
51.6%	4.7%	21.8%	15.3%	6.6%	18.6%	8.5%	69.1%	3.8%
100%					27.1%		72.9%	

HU - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



HU - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



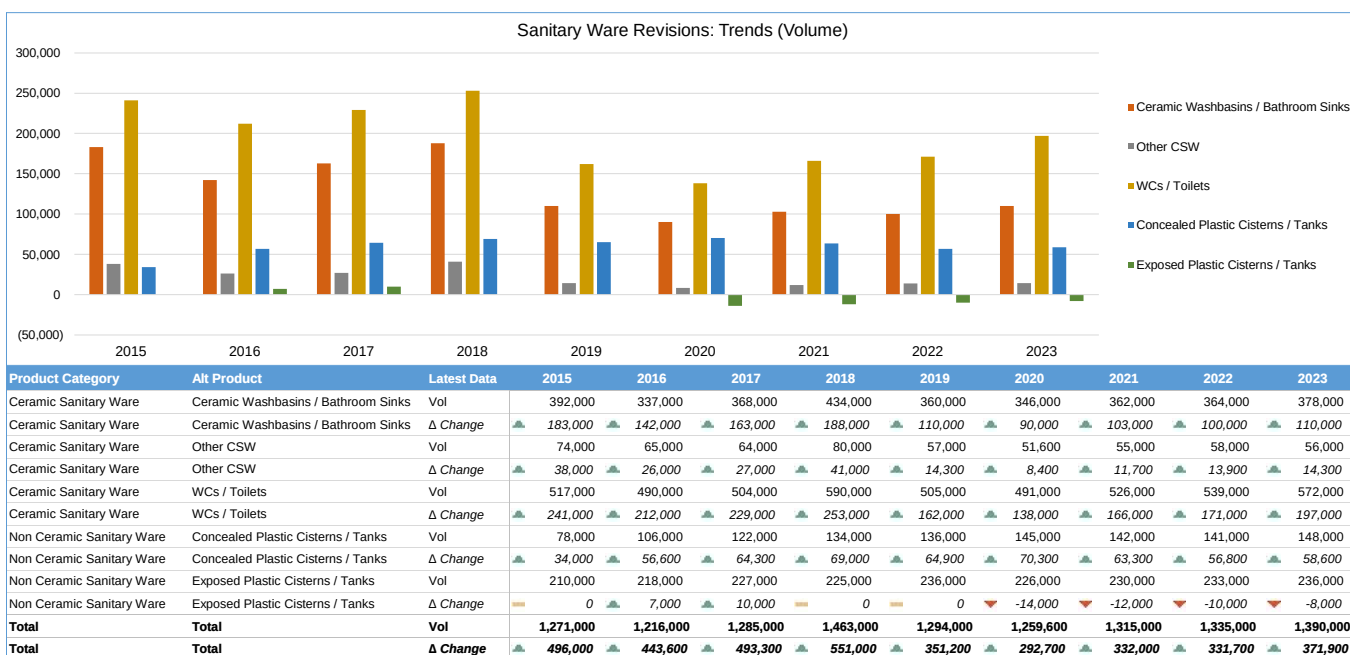
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Hungarian Sanitary Ware Market (July 2020)

HU - REVISIONS IN THE HUNGARIAN SANITARY WARE MARKET

Data Comparison: July 2019



Following detailed analysis of trade statistics, combined with feedback received from manufacturers, significant upward revisions were made to the market size for ceramic sanitary ware. Imports, particularly those from Poland and Romania, have risen considerably in recent years, largely sold through DIY stores, and doubled in volume between 2005 and 2018. This predominantly includes CERSANIT, but also private label sales of DIY stores, including BAUHAUS's Camargue range and PRAKTIKER's no brand range. The Hungarian market, as has been seen in other countries, is slowly developing in favour of private label sales. According to industry sources, VILLEROY & BOCH's domestic production plant in Hungary is now predominantly supplying foreign markets, which have left a gap in the market which other players, such as CERSANIT, LECICO and RAK, managed to benefit from.

The penetration of wall hung WC has increased strongly over the last few years, especially in the new build sector of the market, which was previously underestimated. Therefore, the historical market size for concealed cisterns was revised up, with imports from Germany and the Czech Republic particularly underestimated.

HUNGARY

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

Hungary had traditionally been regarded as a two head mixer market, primarily because of the Hungarian producer MOFÉM's (part of TEKA) high output of these models in the past. Furthermore, until the end of 1997 the share of low cost one head mixers was small. Two head mixers in the past were considered as economy segment products, but recently there has been a trend by which two head models have become medium and upper segment products, with more distinctive designs and often higher retail prices than those of one head models. One head mixers have been gaining share over the past few years as KLUDI's supply, together with imports, has grown, now representing the majority of sales and increasing in importance annually. Therefore MOFÉM (purchased by the Spanish TEKA in the meantime) has also decided to push its one head mixer production. In addition, the growth in sales of one head mixers has come also from their strategic positioning in DIY. In the economy segment, Chinese mixers have flooded the Hungarian market, especially in DIY stores, although their share has started to decrease in recent years.

Sales of pillar taps remain low, mainly driven by the non-residential sector, as well as demand from special residential needs. They are hardly ever fitted in pairs, unlike in the UK, and have proved to be not very popular among Hungarian homeowners, since they are mostly used for water points installed in some other parts of the house (such as garages, toilets, utility rooms and bedrooms).

The first thermostatic mixers were often sold to the non-residential and luxury residential sectors. The market has remained, therefore, relatively small in Hungary. In addition, consumers prefer cheaper mixers that can be easily and more economically replaced – as the water causes a high level of limescale in the country. However, in recent years the thermostatic mixer segment has enjoyed growing popularity in Hungary, in the residential segment, due especially to aesthetic and water-saving concerns. Furthermore, sales of this type of mixer have benefited from some displacement from two head mixers, and they are increasingly installed in baths and showers.

The use of electronic and self-closing taps remains low, although it is slowly increasing. These products are solely used for non-residential applications in Hungary. Sales of electronic taps and mixers in public spaces are increasingly associated with good hygiene and water saving, but they have found little success in residential bathrooms so far and, therefore, have remained a niche market in Hungary. Self-closing taps have also historically been designed for the non-housing market and installed mainly in public spaces, such as commercial buildings, hospitals and schools.

RMI demand has performed significantly better over the last few years. Even during the height of the crisis, sales only decreased marginally. Indeed, the RMI sector for taps and mixers recovered at a considerably earlier stage than the new housing

sector. Over the last two decades, the Hungarian tap and mixer market has grown strongly, which is explained by the high replacement rate per year. Also, much of the housing stock is in a poor state of repair, and the housing boom has led to a significant increase in the purchasing of home improvement products over the last three decades.

Recent Market Trends

Sales of taps and mixers in 2019 benefited from the fast growing number of residential dwelling completions, with growth considerably higher compared to 2018. Sales also benefited from continued investments into the non-residential sector, particularly the office and hotels segments, and strong demand from the housing RMI segment.

With regards to housing RMI, the improvement of the economic situation seen in recent years continued to affect positively the renovation activity of Hungarian households, as families become keen to invest gradually more in the renovation of their dwellings. Family incentive schemes awards such as the CSOK (*Családi Otthontermelési Kedvezmény*), a low-interest government loan and a decreased VAT of 5% on building activity costs, are also available to encourage such investment, but this scheme came to an end at the end of 2019. Properties that have a final building permit issued from 1 November 2018 should benefit from the reduced VAT rate until 31 December 2023.

Sales of one head mixers continued to account for the largest share of the market and grew further in 2019. Sales of all models experienced an increase in Hungary, in line with the good performance of the overall market. Sales of electronic and self-closing mixers also increased in 2019, as a result of growing demand from the non-housing segment, although the two product categories still account for a relatively small share of the taps and mixers market. Electronic and self-closing taps and mixers are mainly sold in collective equipment markets, such as restaurants and hotels, and are positioned in the highest price segment.

Sales of pillars continued to account for a small share of the market, with a moderate increase. Pillar taps, sometimes sold in pairs, continue to face competition from one head mixers, especially since the price difference between these two is diminishing. Plus, pillar taps are exclusively installed with washbasins, while a one head mixer could be installed on all the different applications. One head mixers are the only type of taps and mixers that could be installed with any application, as bidets have only one head mixers installed in Hungary. However, two head mixers are installed in all appliances, except bidets. This is due to the decreasing popularity of bidets. Even though sales of thermostatic mixers are low in Hungary, an increasing number of Hungarian households have become aware of the benefits of this type of mixer. Thus, sales of thermostatic continued to increase in 2019. They are increasingly installed in showers and baths.

Taps and mixers continued to be mainly installed in washbasins, dominating the market in 2019. Washbasins are also the only applications which could use all the

different types of taps and mixers.

Prices and Market Values

Like in previous years, in 2019 the overall trend seen in prices of taps and mixers was a shift from the economy/lower price category towards more expensive models. The average manufacturers' selling prices (MSPs) of all types of taps and mixers increased (measured in Hungarian Forint and in EUR), following growing labour costs and increasing inflation.

The overall MSP (manufacturer's selling price) for taps and mixers rose in HUF in 2019, although prices developed differently across all market segments, mostly rising in line with inflation. Hungarian consumers still favoured the economy/lower priced models at the expense of middle priced models, as far as pillars, one head and two head taps and mixers are concerned. On the other hand, thermostatic and self-closing models accounted for more sales in the middle price segment. Prices continued to be affected by consumers choosing more aesthetically pleasing models, rather than basic models. Demand for pillar taps is low, with an increasing number of consumers opting for lower priced models, and this is affecting the price development every year. Finally, the MSP for both electronic and self-closing taps has increased. Most models are sold in the middle to upper price segments.

New Housing

The growing disposable incomes of Hungarian consumers, combined with the sharp increase of construction output, resulted in a continuous good performance of the domestic residential construction market in recent years. Increased residential dwelling completions in 2019 resulted in growing demand for bathroom products such as washbasins, WCs, showers and bidets, which in turn affected positively sales of taps and mixers to the new housing segment. With more than three taps per new dwelling, the level of new housing activity is always under manufacturers' strict scrutiny. Therefore, any increase in the new construction market would automatically have a positive impact on the total sales of taps and mixers.

Although the one head mixer remained the most common type of fixture in 2019 due to its relatively low price, it continued to face increasing competition from two head mixers and thermostatic. The latter is taking shares as it is becoming an increasingly popular choice for showers and baths, but they remained at a low level in 2019 in volume terms, despite the strong occurrence of thermostatic installed with shower. Bidets installed in the new housing segment remained equipped solely with one head mixers, while washbasins continued to be installed together with either one or two head mixers or pillar taps. Sales of self-closing and electronic taps and mixers to new housing remained at the residual levels, and due to their high price, they are not likely to penetrate the market in the short term. Finally, sales of concealed taps and mixers rose in 2019, to the detriment of exposed models in this end-use sector.

Housing RMI

The Hungarian taps and mixers market remained largely driven by replacement demand in 2019. The replacement segment accounted for the largest share of total sales and demand from housing RMI continued to grow in a sustainable manner.

Replacement sales continued to represent the bulk of sales of taps and mixers in 2019. The RMI market experienced a growth in sales over the course of 2019, due to a greater level of demand from Hungarian households on the back of increasing consumer confidence. In 2019, consumer confidence continued to improve and so did job security, and homeowners (and potential homeowners) were capable of securing mortgage deals.

Within the housing RMI segment, Hungarian consumers have continued to opt mostly for one head mixers. Sales of two head mixers going to housing RMI have been far lower, but higher than sales of thermostatic mixers. However, demand from housing RMI for thermostatic models is likely to grow at a significant pace over the forecast period, following the increasing demand for showers. Thermostatic mixers have experienced a positive development in this sector, often replacing one head and two head mixers for shower and bath applications. Most of the residential replacements were made on a tap or mixer attached to washbasins.

Moreover, the CSOK incentive scheme favouring a dynamic renovation market is expected to end in 2023, triggering the overall RMI over the forecast period.

Non-Housing

Sales of taps and mixers to the non-housing segment increased in 2019. It is worth mentioning that this end-use segment has performed significantly better than the residential market in recent years and, in fact, had already started to recover in 2013.

As for other end-use sectors, one head mixers continue to be the most commonly purchased type of model within the non-housing segment. Moreover, as a result of an increasing drive towards minimising water waste and reducing water supply costs, electronic and self-closing taps and mixers have continued to experience growing demand from this end-use segment.

Supply Structure

The Hungarian sanitary tap and mixer market remains in the hands of domestic manufacturers. The two main Hungarian producers (TEKA and KLUDI) belong, however, to international companies. Chinese imports also continue to account for an important share of the market and continued to increase significantly in 2019.

Domestic producer TEKA remains an unquestionable leader of the overall tap and mixer market. The company sells mainly via its wholesale partners (SZATMÁRI, CSOFÉM, MARI-JÓ, RAAB KARCHER, and MART/WOLSELEY). KLUDI (sold mainly via SZATMÁRI, MART/WOLSELEY, GIENGER, GENCSI, and DIY) became the second market leader, while the importer/wholesaler SANIMIX, supplying all of the popular DIY chains in Hungary, ranked third. Other imports mainly come from Germany (e.g. GROHE and HANSGROHE), Slovenia, Poland and the Czech Republic. GROHE is currently leading the electronic market, followed by TEKA and HANSGROHE. The thermostatic technology is in the hands of HANSGROHE, KLUDI and GROHE.

Forecasts

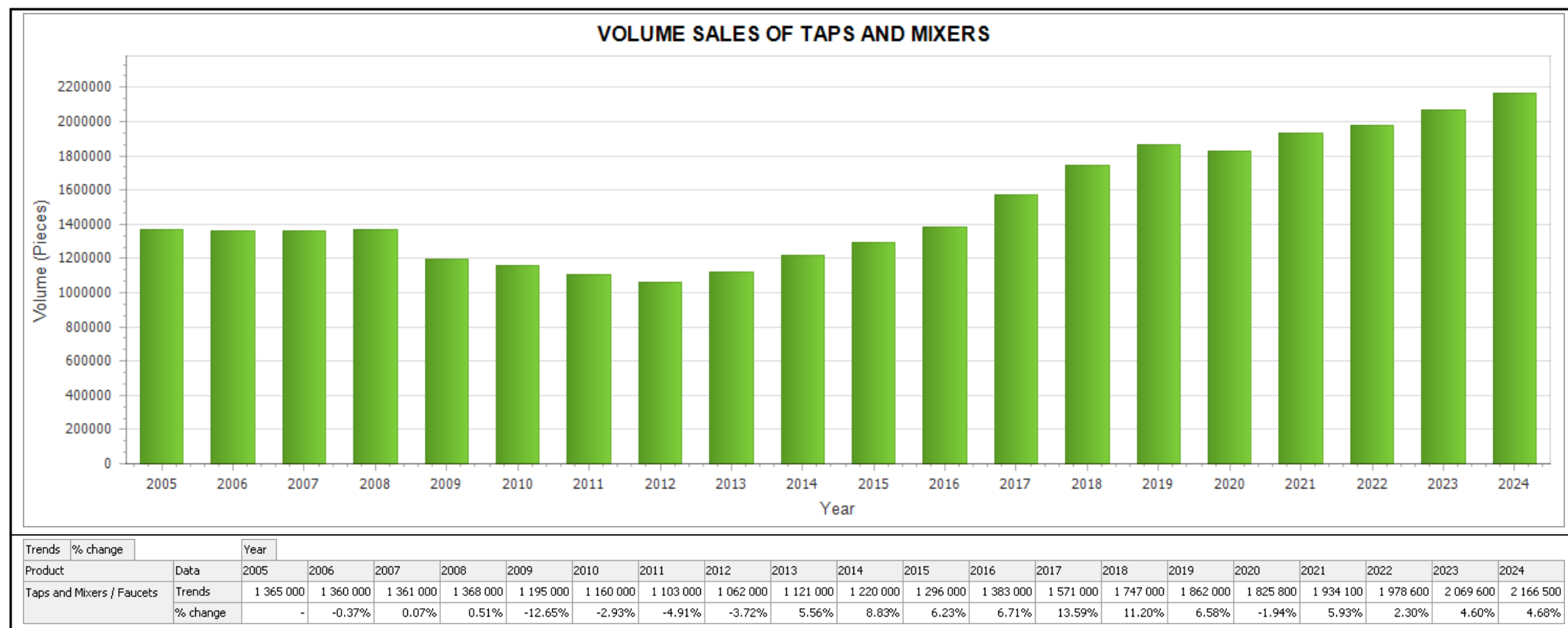
Given the exceptional circumstances related to the spread of COVID-19 and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The outbreak of the COVID-19 pandemic should severely hinder the development of the Hungarian economy in 2020, directly affecting internal demand and supply, while also drastically worsening the conditions in other countries. Nonetheless, a moderate recession is expected in terms of GDP growth for 2020, with a substantial bounce back in 2021 dependent on a relaunch of the economy of the country. The consumer confidence should be considerably affected as there is strong uncertainty on the evolution of the events and economic impact of the COVID-19 outbreak. However, the impact of the COVID-19 outbreak on the Hungarian construction completions should be noticed in 2021 and 2022. Both macroeconomic and construction indicators seem to hint a slowdown of the bathroom market up to 2023 in Hungary, compared to the 2019 prevision. In fact, the taps and mixers market is expected to decrease in 2020, driven by the decrease of the renovations market. In 2021 and 2022, the new housing market is anticipated to drop in the taps and mixers market but the strong RMI should offset this decline and allow the market to rebound with consumer confidence.

BRG expects 2020 sales of taps and mixers to new housing should record a considerable decline, in line with anticipated contraction of RMI due to the COVID-19 pandemic. In 2021, sales should record a good growth rate, although primarily due to the low base in 2020. From 2023 onwards, demand for taps and mixers from new housing is likely to rebound at moderate rates, after two years of decline caused by the pandemic consequences. The shift from baths towards shower products is also expected to result in increasing penetration of thermostatic models as well as a decreasing demand for two head models in the medium to long term. One head mixers should continue to account for the bulk of the sales in this market, fluctuating at a similar pace as the overall market.

3.2 Historical Trends and Forecasts : Taps and Mixers

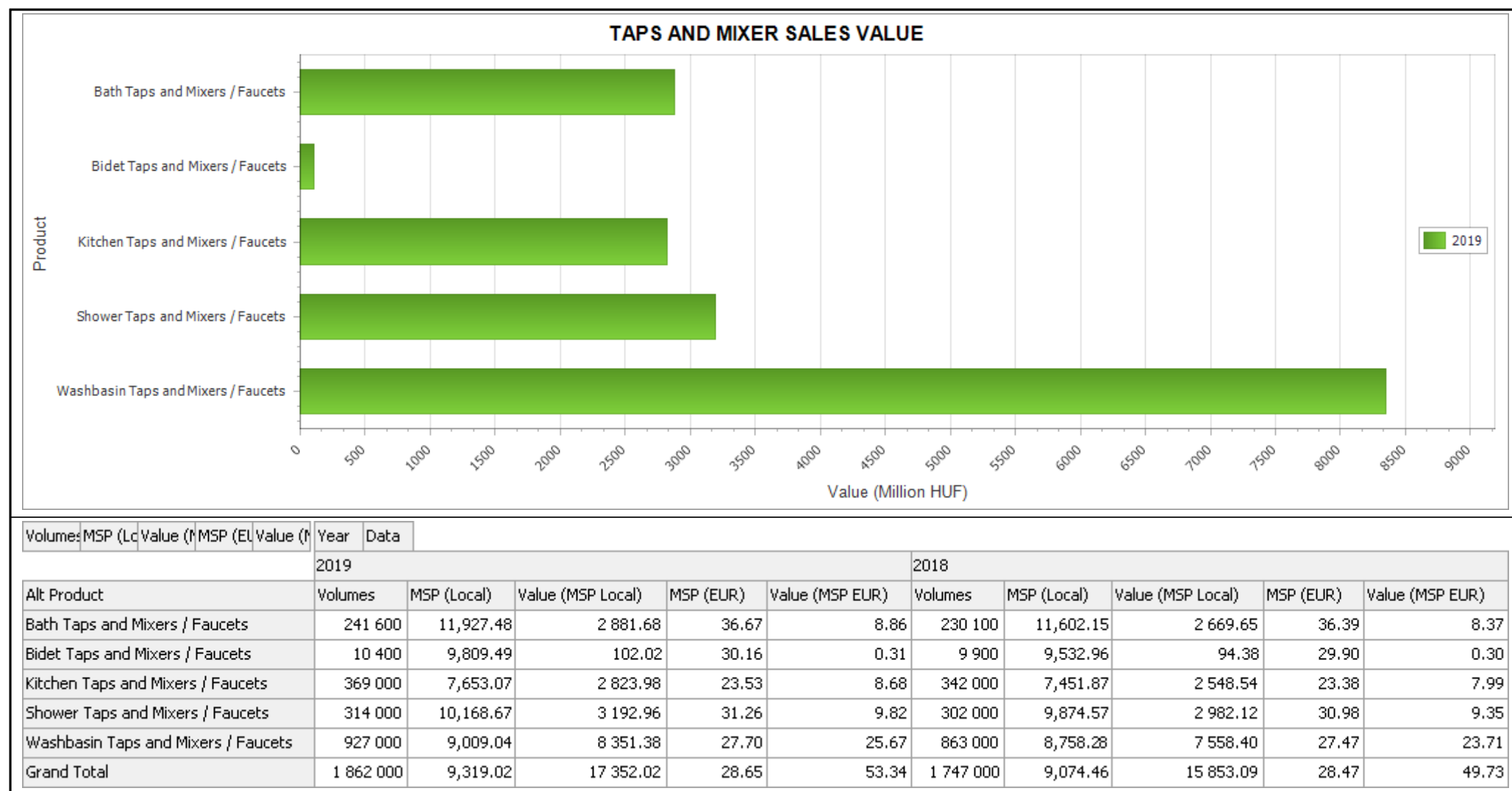
HU - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

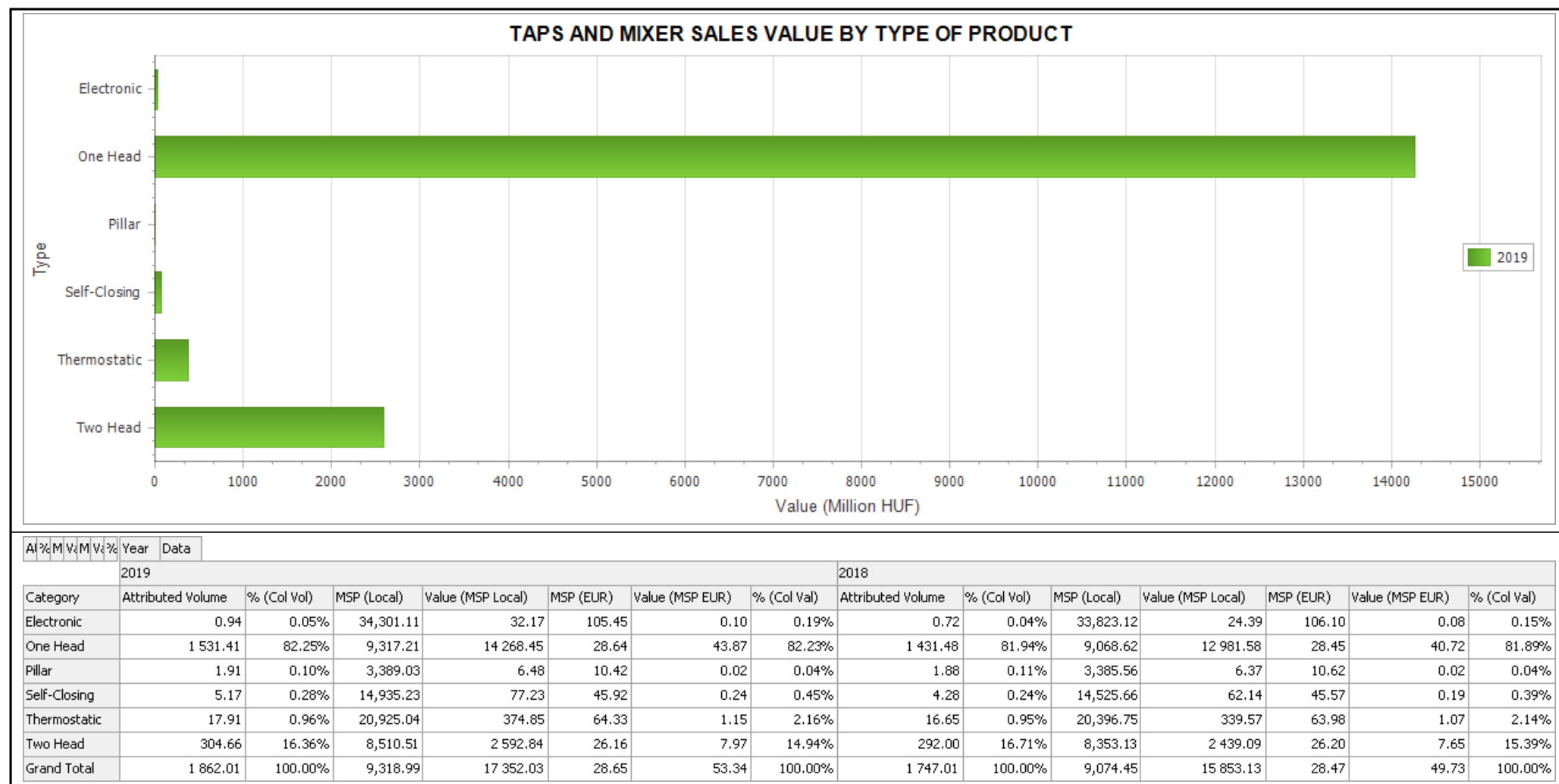
HU - ESTIMATED VALUES OF THE TAP AND MIXER MARKET



Source: BRG based on industry interviews. Local Prices Shown in HUF. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

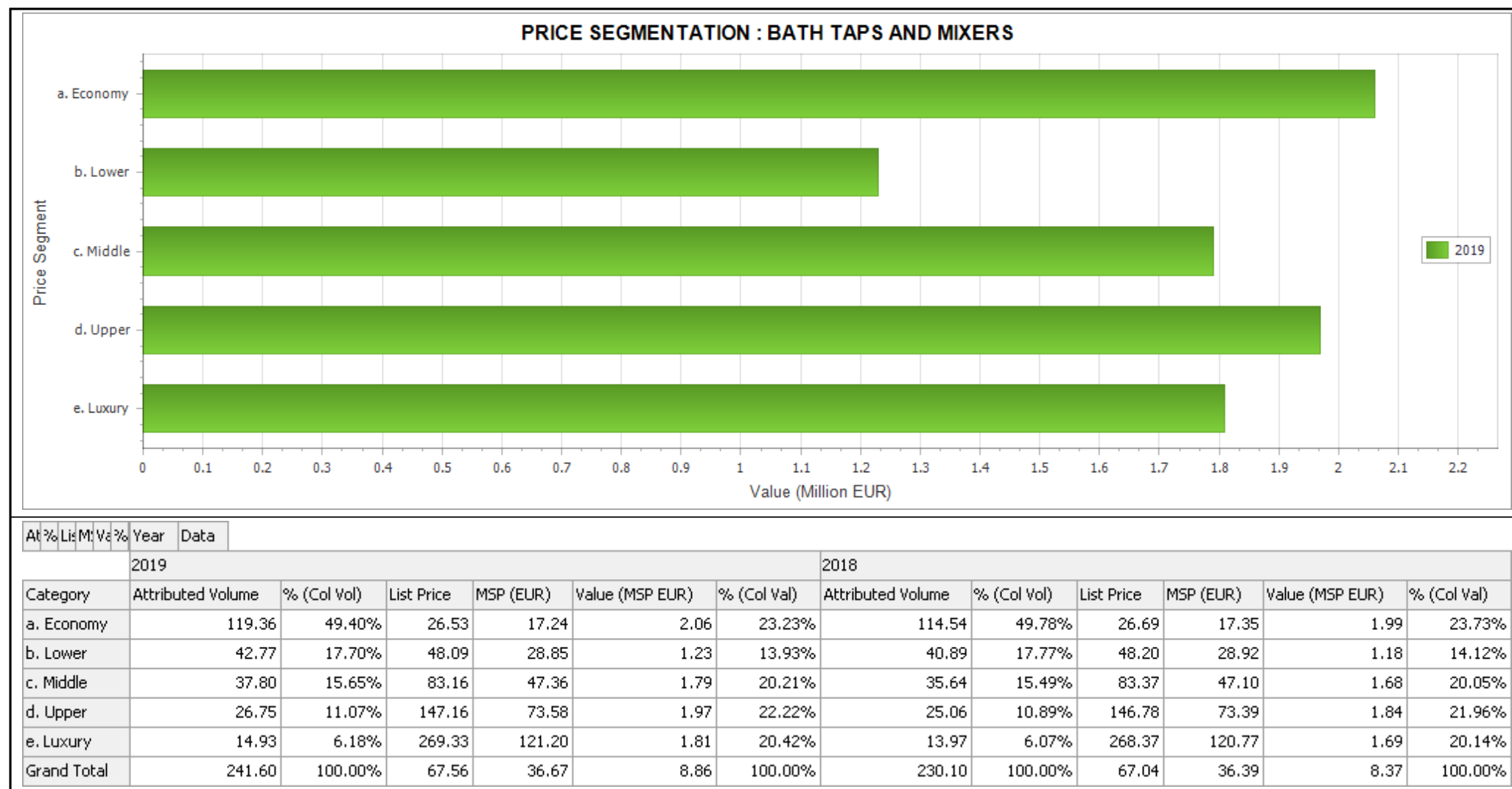
HU - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE OF PRODUCT



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in HUF. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

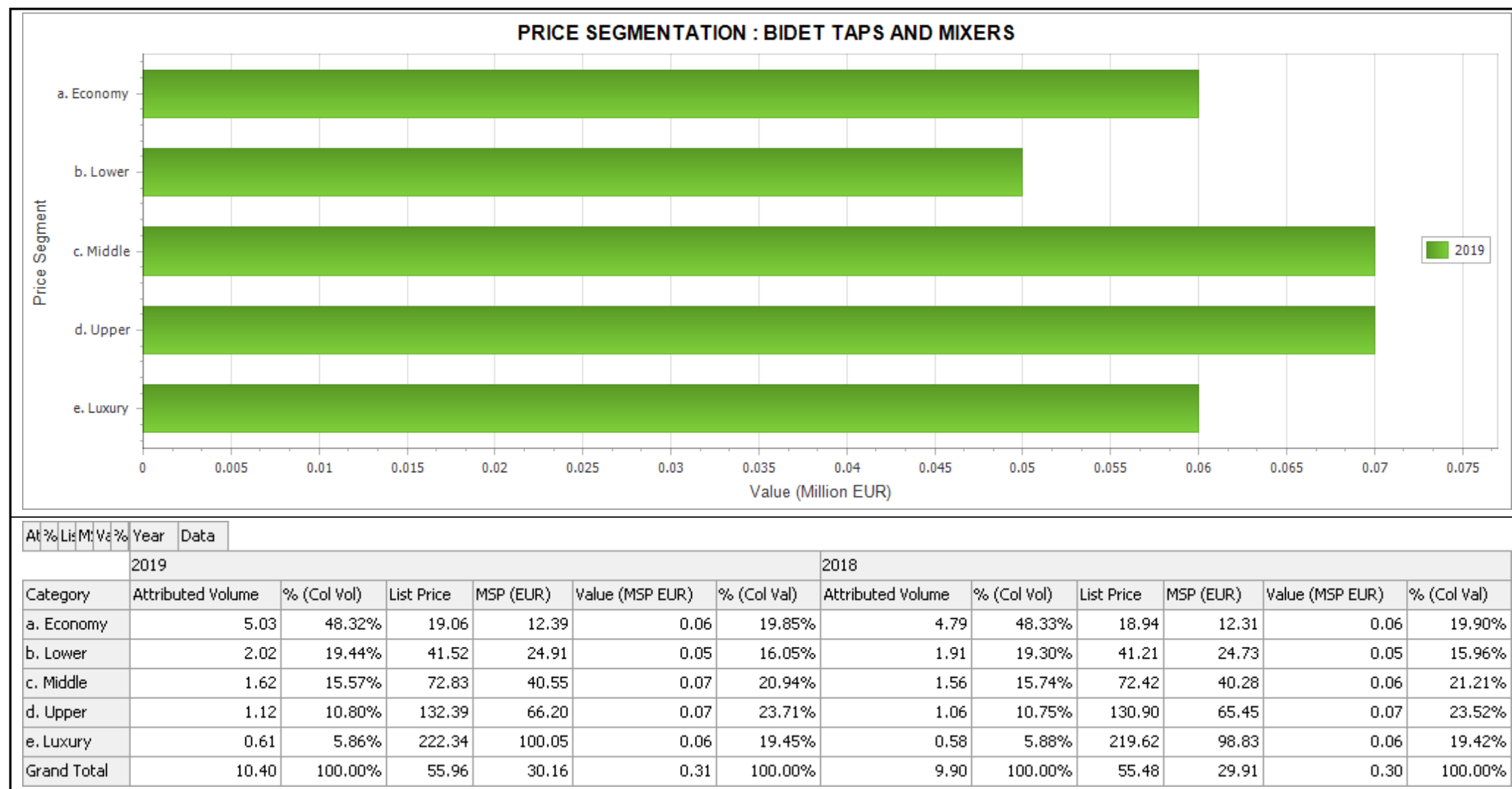
HU - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€80 and Luxury >€80

3.3.4 Price Segmentation : Bidet Taps and Mixers

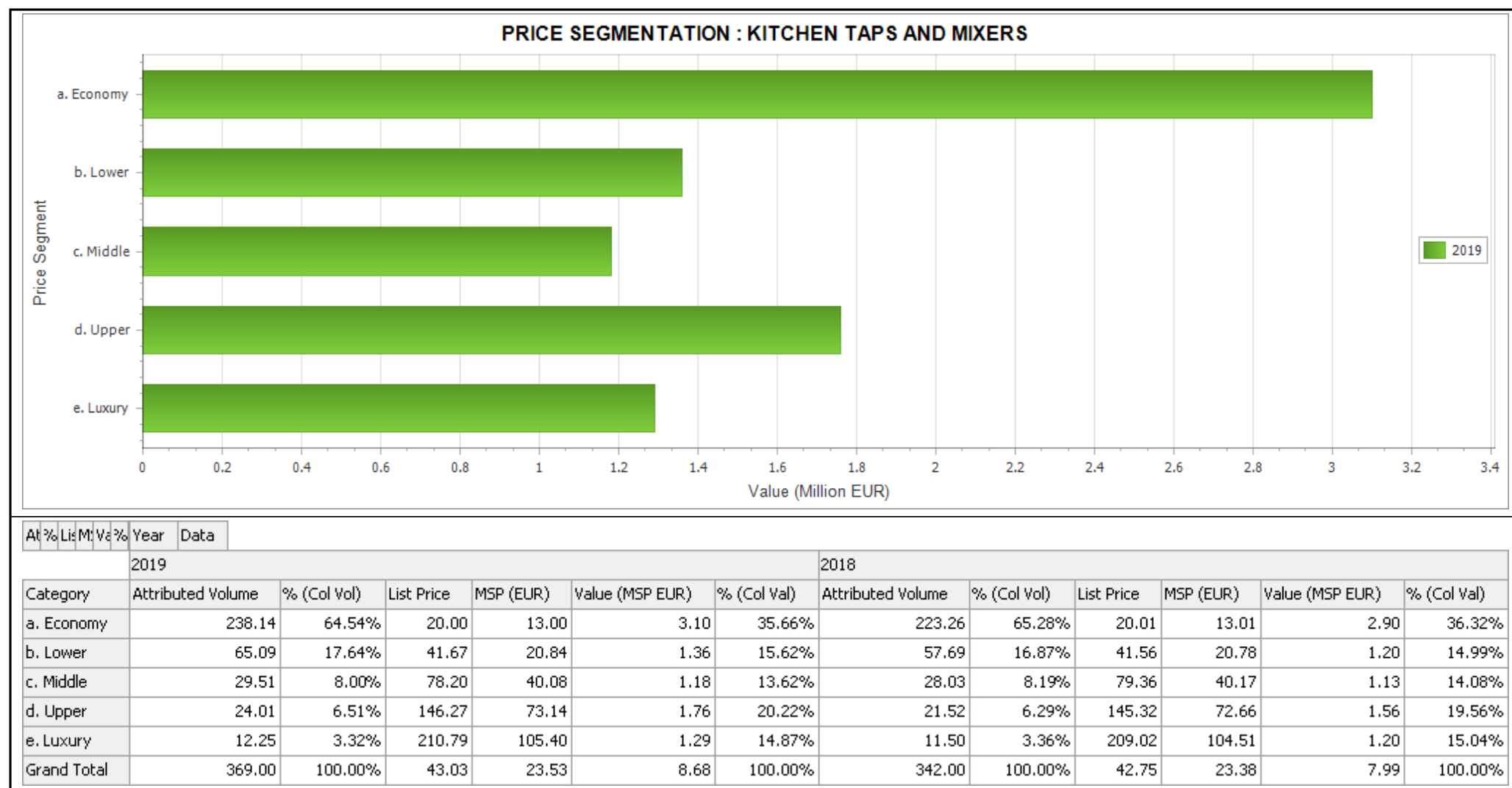
HU - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.5 Price Segmentation : Kitchen Taps and Mixers

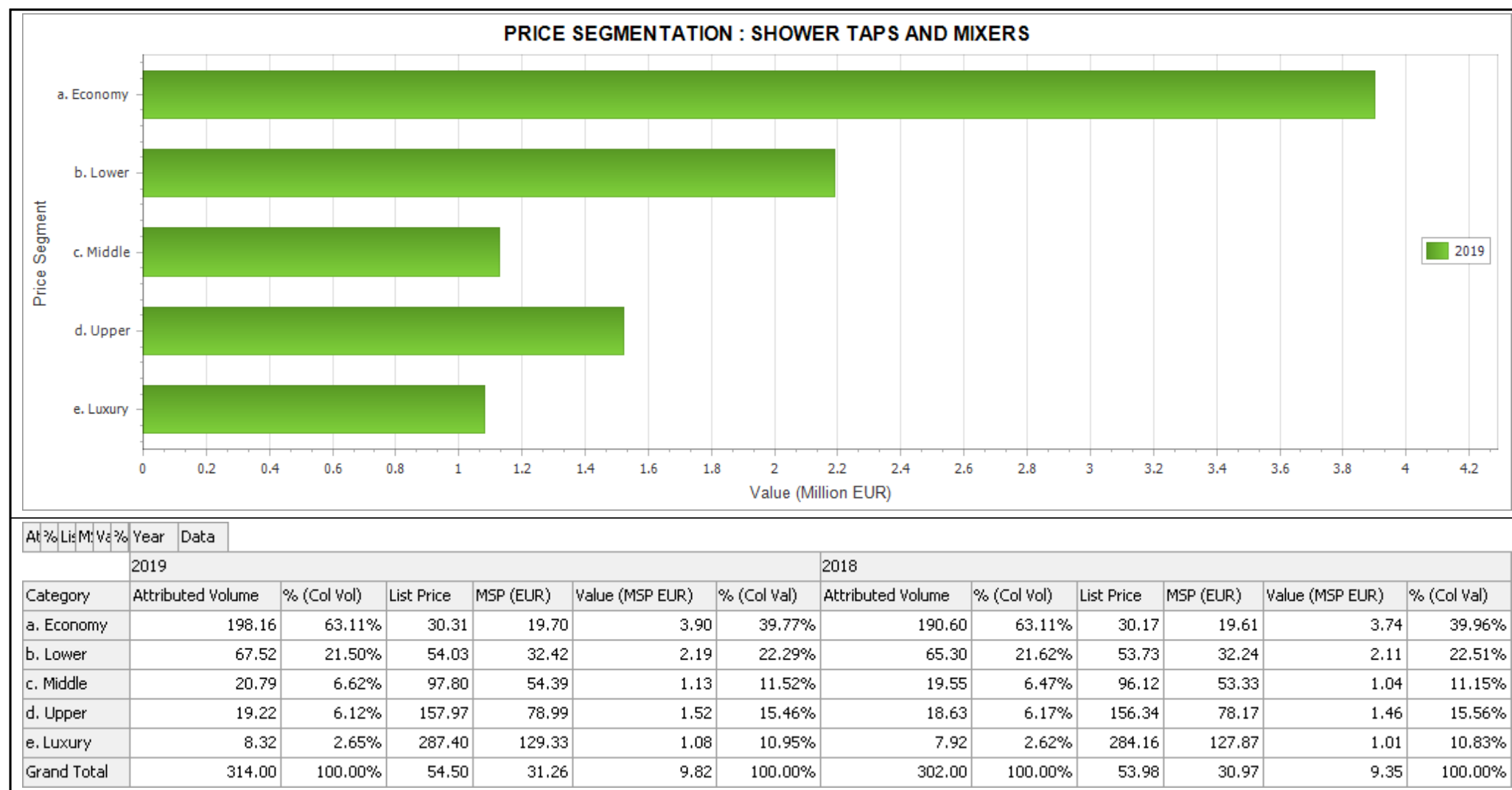
HU - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.6 Price Segmentation : Shower Taps and Mixers

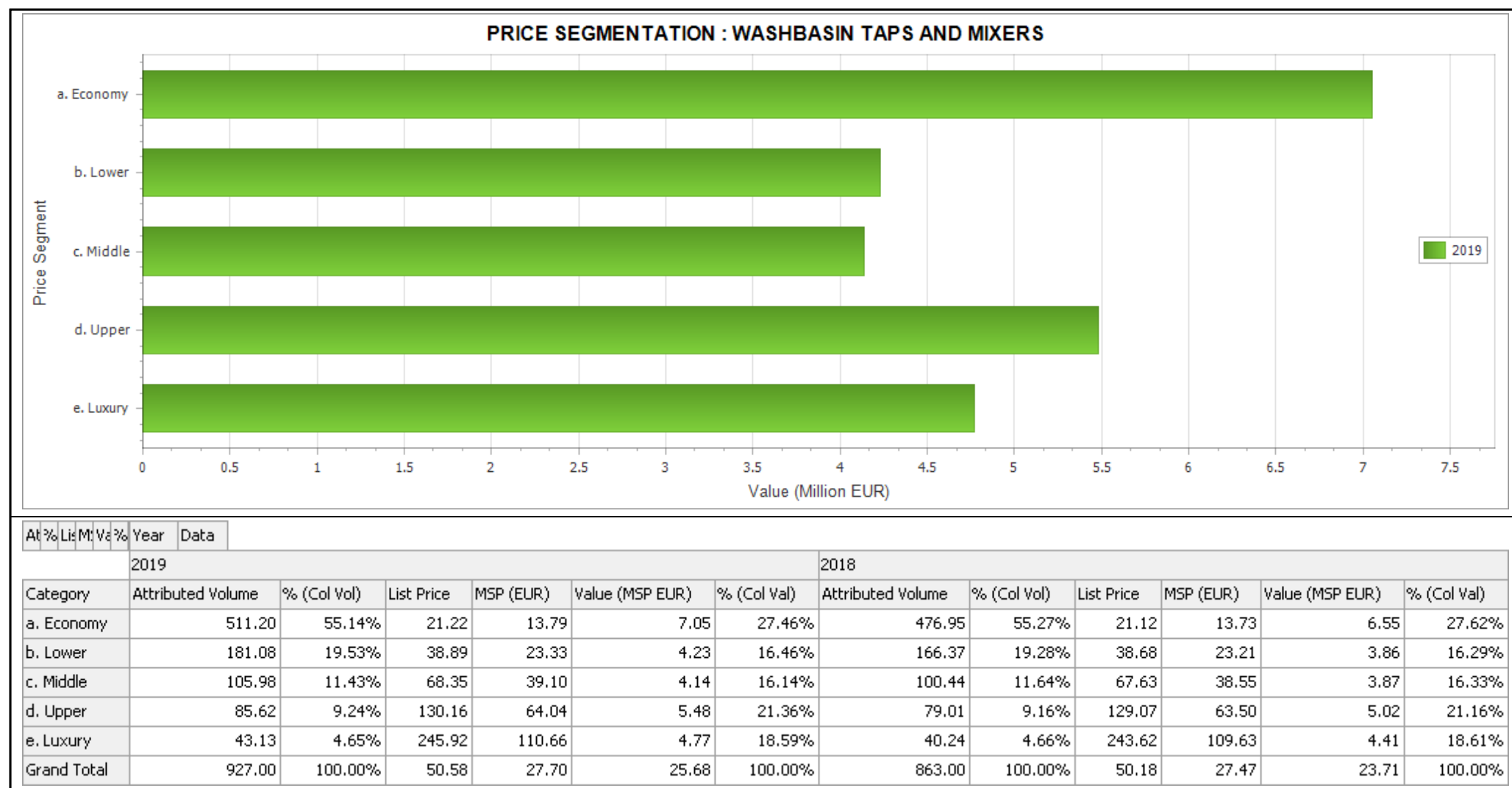
HU - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€20, Lower €20-€40, Middle €40-€60, Upper €60-€80 and Luxury >€80

3.3.7 Price Segmentation : Washbasin Taps and Mixers

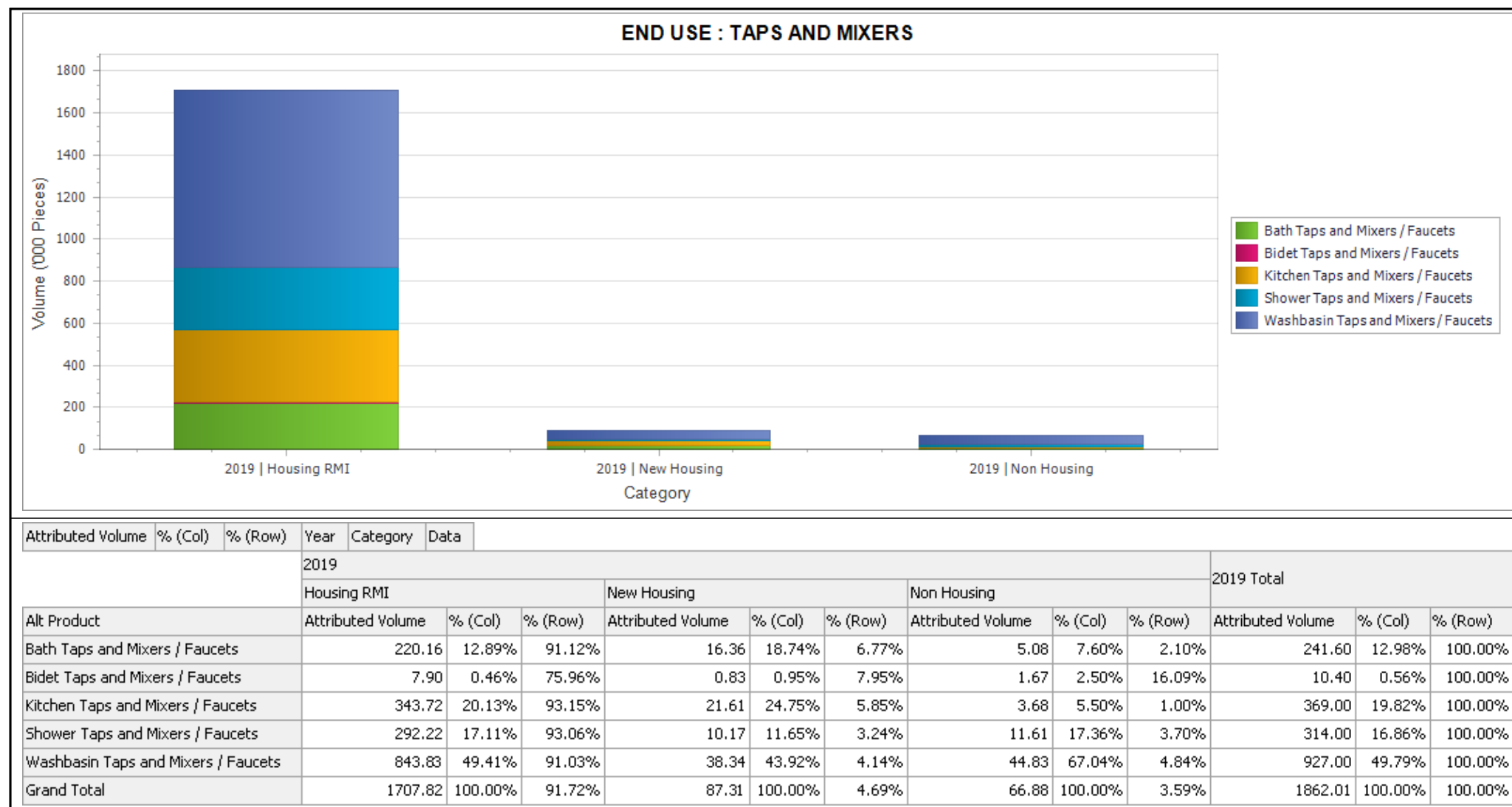
HU - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€40, Upper €40-€60 and Luxury >€60

3.4.1 End Use : Base Year

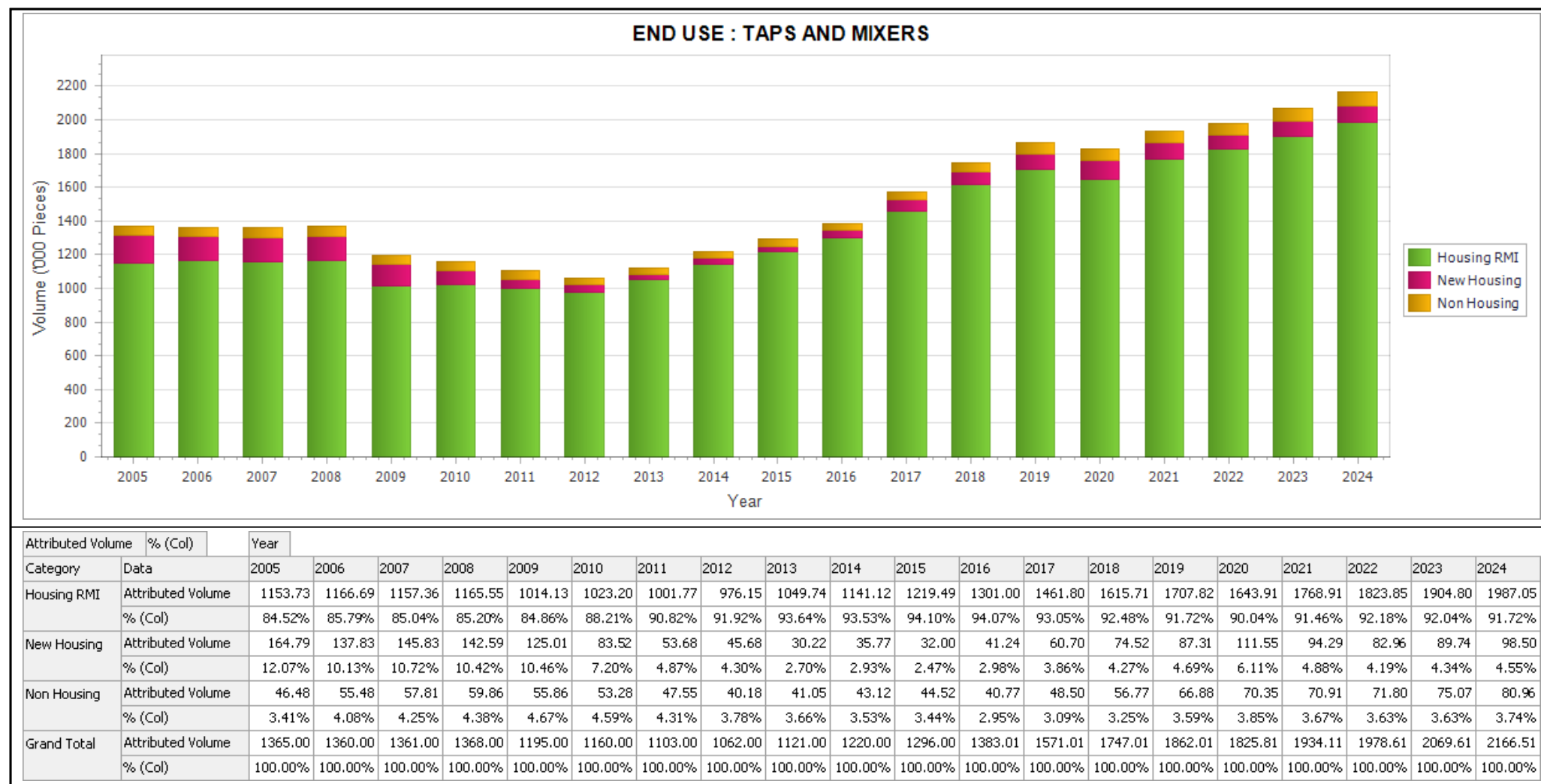
HU - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

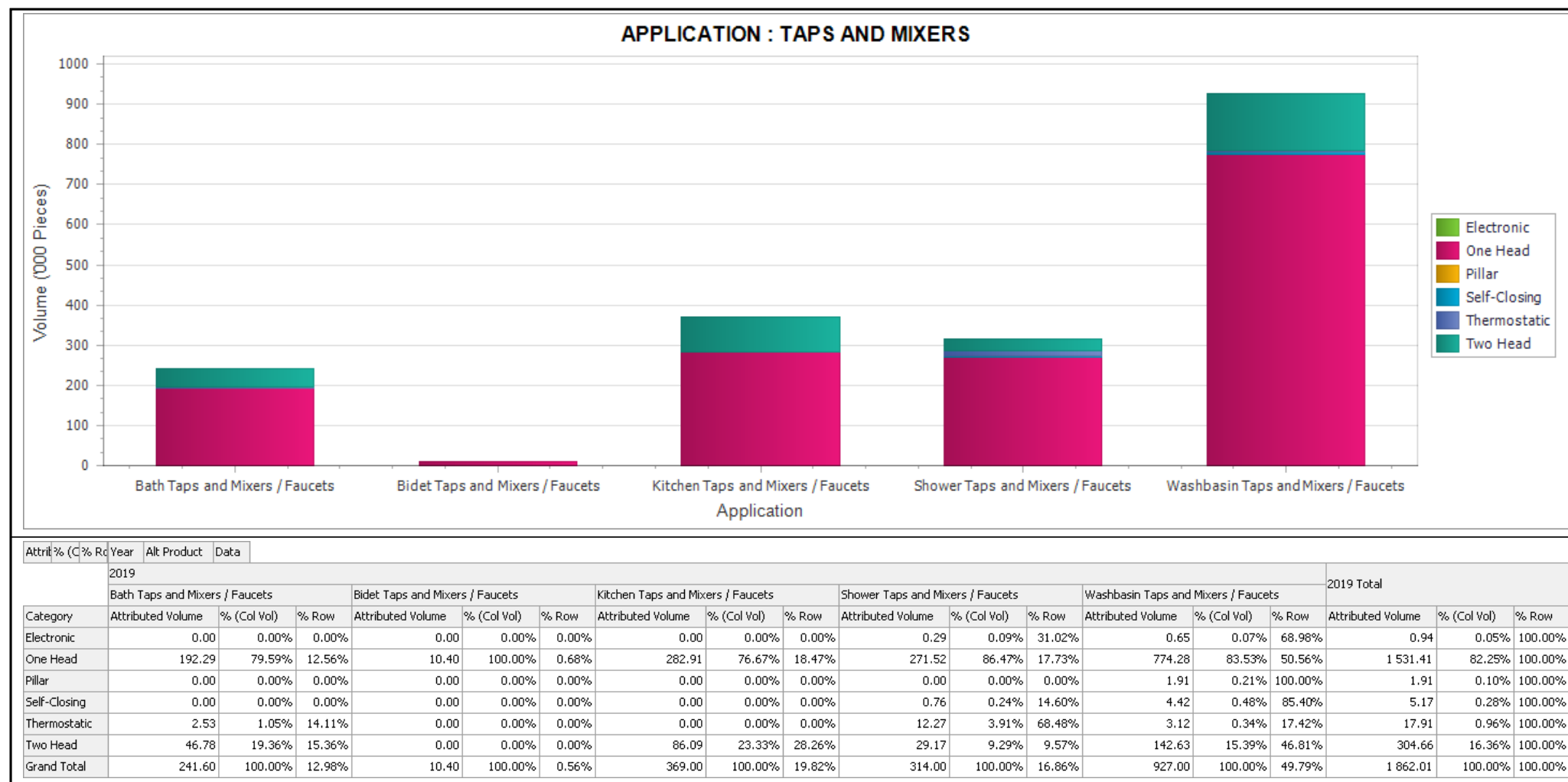
HU - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

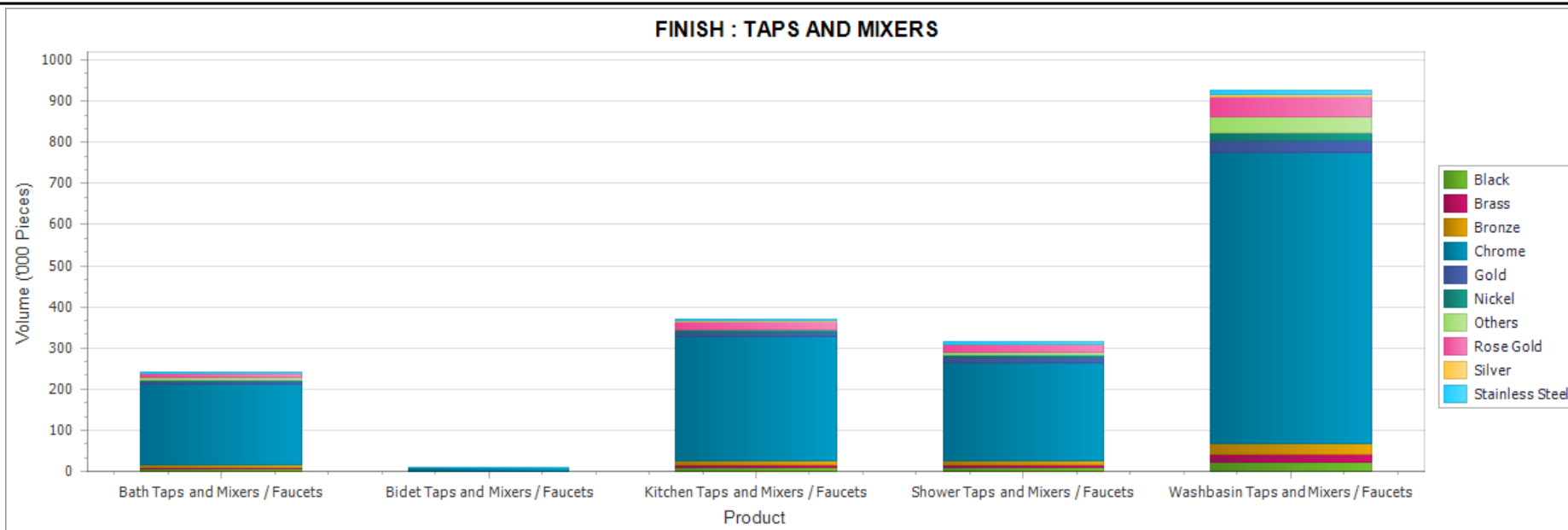
HU - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

HU - TAP AND MIXER SALES BY TYPE OF FINISH ('000 PIECES)

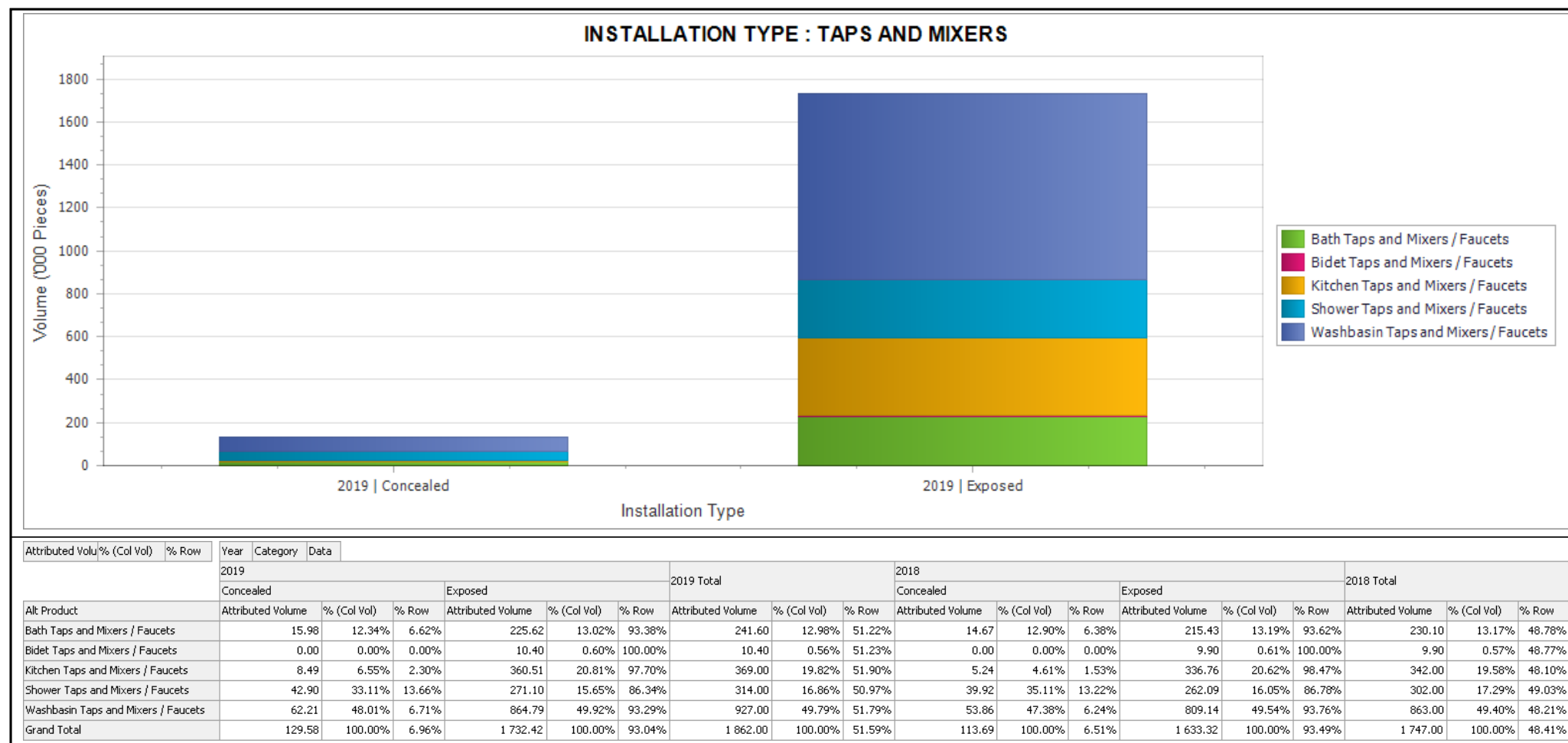


Attrib	% (C	% Ro	Year	Alt Product	Data															
2019																				
Bath Taps and Mixers / Faucets						Bidet Taps and Mixers / Faucets			Kitchen Taps and Mixers / Faucets			Shower Taps and Mixers / Faucets			Washbasin Taps and Mixers / Faucets			2019 Total		
Category	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row		
Black	5.32	2.20%	11.20%	0.10	1.00%	0.22%	8.86	2.40%	18.65%	9.11	2.90%	19.18%	24.10	2.60%	50.76%	47.49	2.55%	100.00%		
Brass	3.57	1.48%	10.46%	0.10	0.98%	0.30%	6.18	1.68%	18.15%	6.83	2.18%	20.05%	17.39	1.88%	51.03%	34.07	1.83%	100.00%		
Bronze	6.04	2.50%	11.47%	0.10	1.00%	0.20%	9.59	2.60%	18.22%	10.05	3.20%	19.08%	26.88	2.90%	51.04%	52.67	2.83%	100.00%		
Chrome	196.85	81.48%	13.53%	9.76	93.78%	0.67%	303.24	82.18%	20.84%	238.26	75.88%	16.37%	707.10	76.28%	48.59%	1 455.21	78.15%	100.00%		
Gold	6.73	2.79%	11.53%	0.14	1.31%	0.23%	11.02	2.99%	18.88%	10.95	3.49%	18.75%	29.54	3.19%	50.60%	58.38	3.14%	100.00%		
Nickel	3.96	1.64%	10.68%	0.07	0.70%	0.20%	6.79	1.84%	18.31%	7.35	2.34%	19.81%	18.91	2.04%	50.99%	37.07	1.99%	100.00%		
Others	4.83	2.00%	9.24%	0.05	0.50%	0.10%	0.00	0.00%	0.00%	8.48	2.70%	16.21%	38.93	4.20%	74.45%	52.30	2.81%	100.00%		
Rose Gold	11.11	4.60%	12.10%	0.04	0.40%	0.05%	17.71	4.80%	19.28%	16.64	5.30%	18.12%	46.35	5.00%	50.46%	91.86	4.93%	100.00%		
Silver	1.21	0.50%	10.87%	0.00	0.00%	0.00%	1.85	0.50%	16.60%	1.57	0.50%	14.13%	6.49	0.70%	58.40%	11.11	0.60%	100.00%		
Stainless Steel	1.98	0.82%	9.06%	0.03	0.33%	0.16%	3.76	1.02%	17.22%	4.77	1.52%	21.83%	11.31	1.22%	51.73%	21.86	1.17%	100.00%		
Grand Total	241.60	100.00%	12.98%	10.40	100.00%	0.56%	369.00	100.00%	19.82%	314.00	100.00%	16.86%	927.00	100.00%	49.78%	1 862.02	100.00%	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

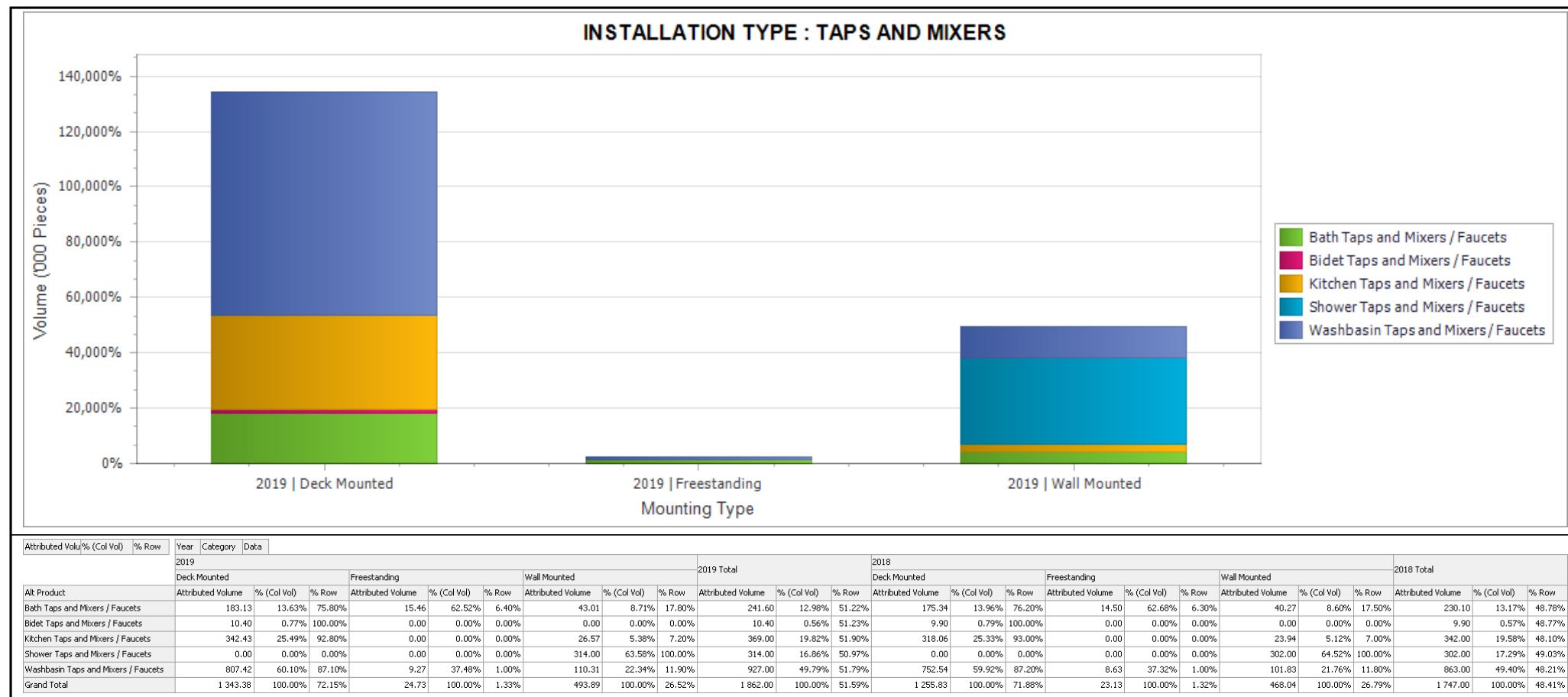
HU - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.6 Sales by Type of Mounting : Taps and Mixers

HU - TAP AND MIXER SALES BY TYPE OF MOUNTING ('000 PIECES)

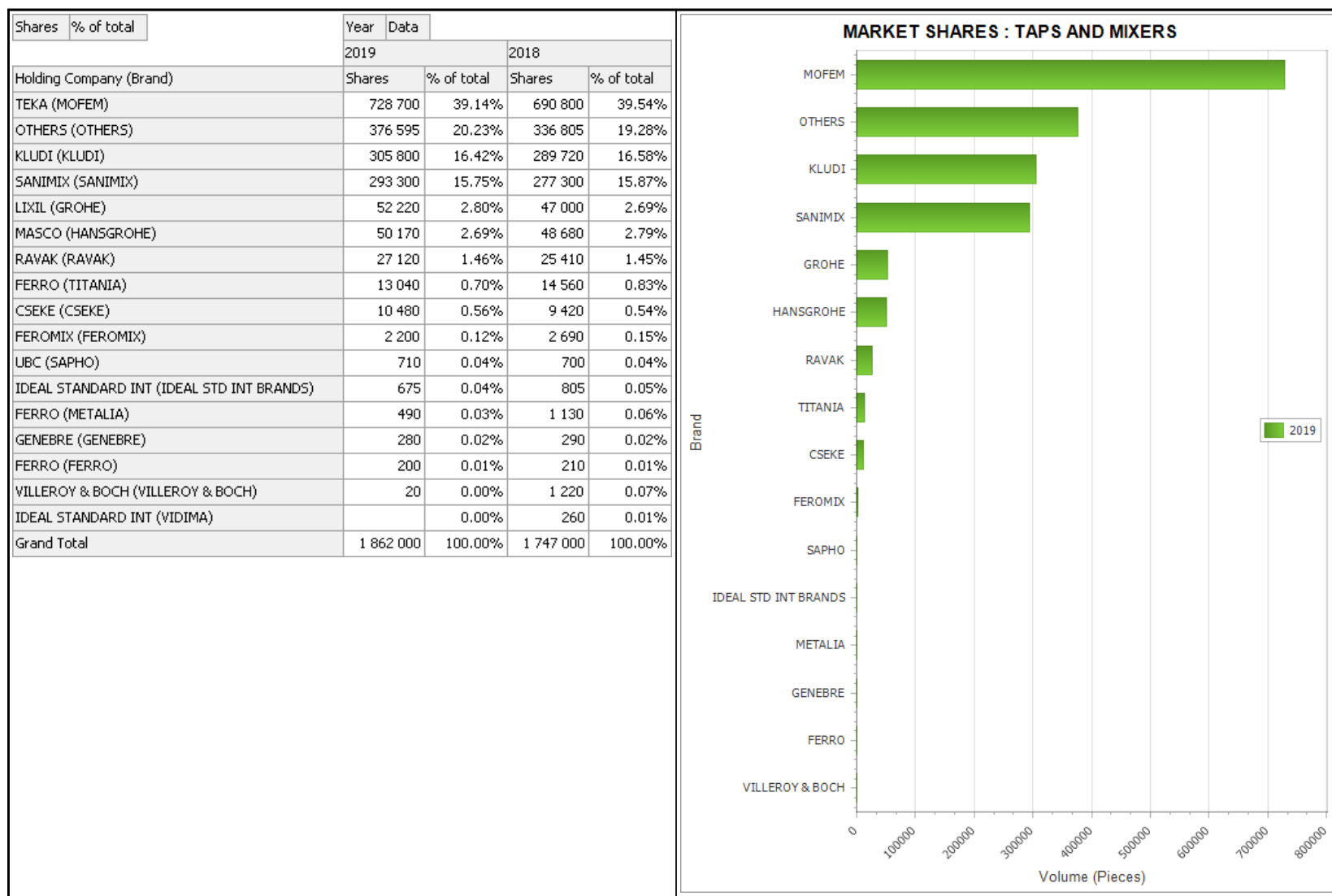


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.5

Market Shares : Taps and Mixers

HU - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 HU - IMPORTS OF TAPS & MIXERS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	1 379	36.7%	10 044	23.2%	953	29.9%	6 582	17.3%
Germany	955	25.4%	18 834	43.5%	814	25.5%	16 782	44.2%
Poland	409	10.9%	3 191	7.4%	296	9.3%	2 402	6.3%
Slovenia	203	5.4%	1 326	3.1%	192	6.0%	1 278	3.4%
Austria	200	5.3%	2 114	4.9%	219	6.9%	2 354	6.2%
Romania	167	4.4%	1 097	2.5%	269	8.4%	2 963	7.8%
Czech Republic	142	3.8%	2 408	5.6%	160	5.0%	2 296	6.0%
Spain	127	3.4%	1 701	3.9%	122	3.8%	1 188	3.1%
Italy	121	3.2%	1 619	3.7%	110	3.4%	1 267	3.3%
OTHERS	53	1.4%	970	2.2%	53	1.7%	890	2.3%
Total	3 756	100.0%	43 304	100.0%	3 188	100.0%	38 002	100.0%

Source : Trademap

3.6.2 HU - EXPORTS OF TAPS & MIXERS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Spain	126	25.6%	2 181	25.7%	51	12.1%	662	8.4%
Russian Federation	77	15.8%	1 366	16.1%	117	27.8%	2 056	26.2%
Netherlands	33	6.8%	476	5.6%	11	2.6%	259	3.3%
Bulgaria	33	6.6%	603	7.1%	24	5.7%	448	5.7%
Croatia	31	6.3%	537	6.3%	29	7.0%	522	6.6%
Romania	30	6.0%	351	4.1%	41	9.8%	494	6.3%
Germany	29	5.9%	945	11.1%	14	3.4%	304	3.9%
United Kingdom	24	4.8%	515	6.1%	10	2.5%	229	2.9%
Poland	23	4.7%	198	2.3%	19	4.6%	120	1.5%
Austria	17	3.4%	169	2.0%	9	2.1%	110	1.4%
Slovenia	15	3.0%	48	0.6%	2	0.4%	25	0.3%
OTHERS	54	11.1%	1 099	12.9%	92	21.9%	2 629	33.5%
Total	491	100.0%	8 488	100.0%	421	100.0%	7 858	100.0%

Source : Trademap

3.7.1 Route to Market: Taps & Mixers / Faucets
HU - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	56.6%
	Wholesalers / Merchants
	56.6%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.4%	5.8%	34.2%	18.0%	5.5%	9.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	6.2%		52.2%		15.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.6%	11.9%	2.8%	12.5%	10.8%
Installers				
39.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.8%	10.2%	3.4%	39.2%	4.0%	38.8%	0.8%	1.2%	0.0%	0.5%	0.2%	0.9%
	Residential						Non-Residential					
	96.4%						3.6%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	4.7%			91.7%			1.2%			2.4%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	3.3%		1.4%	13.7%		78.0%	1.0%		0.2%	1.4%		1.0%

3.7.2 Route to Market: Taps & Mixers / Faucets
HU - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	55.1%
	Wholesalers / Merchants
	55.1%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.8%	6.8%	34.3%	18.5%	5.4%	9.5%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.6%		52.8%		14.9%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.5%	10.2%	3.5%	15.5%	10.6%
Installers				
41.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.6%	8.9%	4.1%	36.9%	4.0%	40.8%	1.3%	1.2%	0.0%	0.4%	0.3%	0.5%
	Residential						Non-Residential					
	96.3%						3.7%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	4.5%			91.7%			1.4%			2.3%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	3.8%		0.7%	12.3%		79.4%	1.4%		0.0%	1.6%		0.7%

Source: BRG Based on Industry Interviews. N.B. Include both Kitchen and Sanitary Taps & Mixers / Faucets - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Taps and Mixers / Faucets

HU - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2019

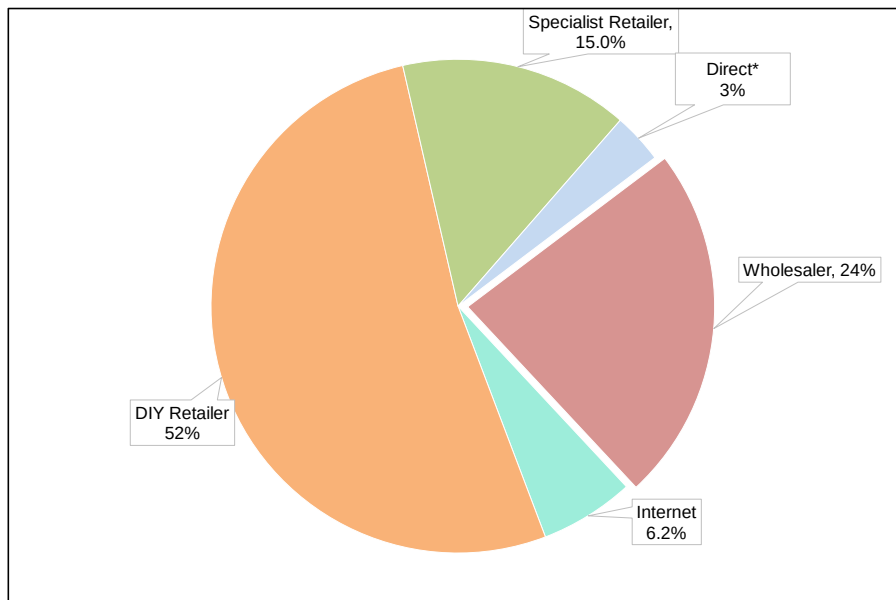
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
23.3%	6.2%	52.2%	15.0%	3.3%	17.0%	2.4%	79.4%	1.2%
100%					19.4%		80.6%	

3.7.4 Route to Market - Consolidated View : Taps and Mixers / Faucets

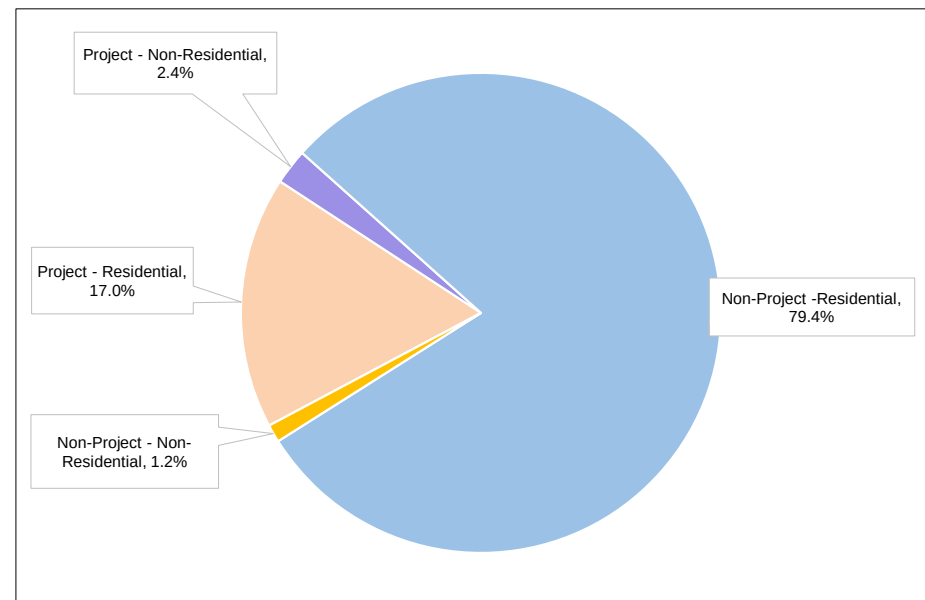
HU - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
20.3%	7.6%	52.8%	14.9%	4.4%	16.1%	3.0%	80.2%	0.7%
100%					19.1%		80.9%	

HU - SALES OF TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



HU - SALES OF TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



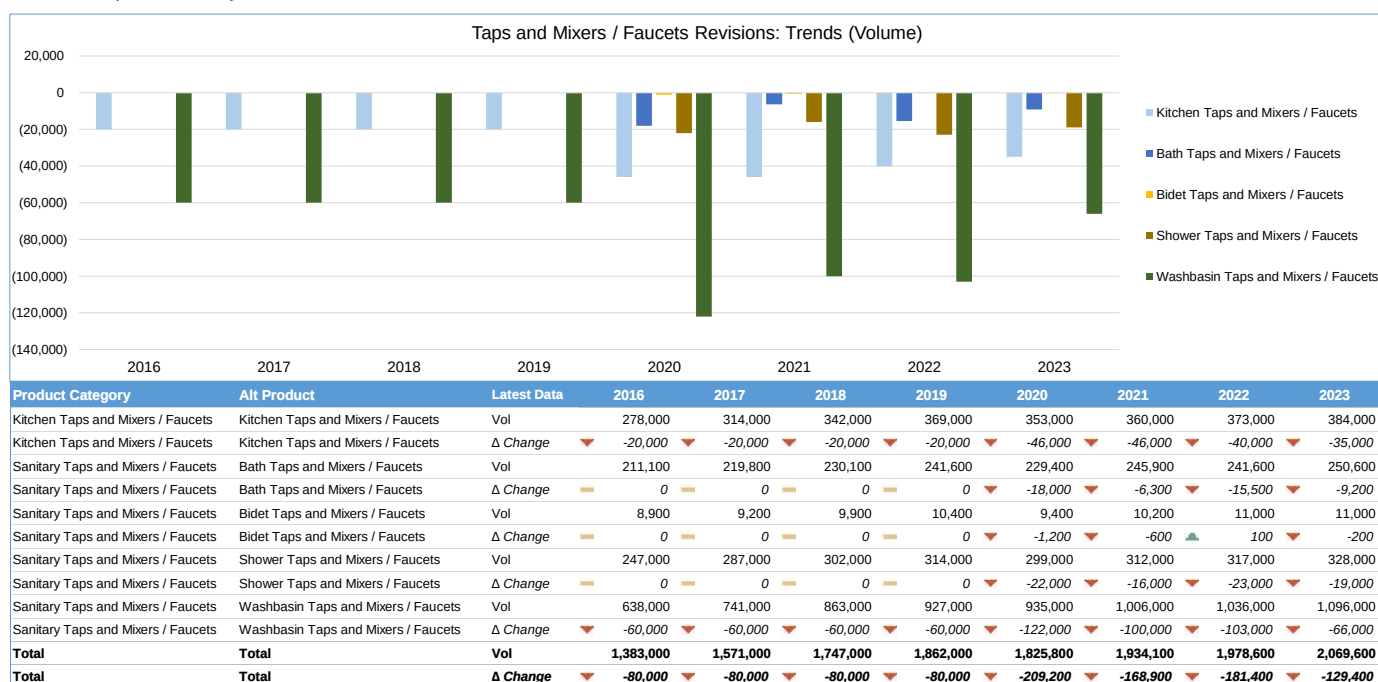
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Hungarian Taps and Mixers / Faucets Market (July 2020)

HU - REVISIONS IN THE HUNGARIAN TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: July 2019



Some minor downward revisions were made to the market sizes for kitchen and washbasins tap and mixers, in turn due to revised manufacturer sales data.

HUNGARY

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Hungarian shower wall market developed later than those in most other European countries, and was virtually non-existent before the start of the 1990s. This explains the low volumes of shower wall sales recorded, when compared to the number of baths in the country. The slow development of the shower wall product market, until the middle of the 1990s, was rooted in the nature of the product. During the periods of decreased purchasing power in the early and mid-1990s, consumers concentrated their spending on essential bathroom products such as taps and mixers and ceramic sanitary ware, as shower wall products were not a priority compared to the other bathroom products. Also, the relatively late development of the Hungarian shower tray market hampered the demand for shower wall products. In the past, Hungary was never an important shower tray market, and most (social) houses used to have standard equipment which included a cast iron bath – often in combination with a shower curtain.

Shower enclosures account for most sales, whereas sales of bath screens and conventional shower cubicles have never been considered as viable alternatives. Glass products dominate the market, although a large number of plastic shower enclosures are still sold per annum, often through DIY chains. The share of economy segment plastic products is decreasing fast, as Hungarians prefer to buy higher quality glass products.

Recent Market Trends

Sales of shower walls continued to depend heavily on several factors in 2019, including new housing activity, private consumption, consumer preferences, non-housing activity and housing renovations. The overall Hungarian market for shower walls performed well in 2019. The housing RMI segment accounted for the largest part of sales, however, most growth came from the new housing sector. In fact, overall dwelling completions rose strongly in 2019, which boosted sales of shower walls, especially shower enclosures. Moreover, sales of shower wall products benefited from strengthened RMI demand as a result of improved consumer confidence and the overall good economic momentum. Due to increasing consumer confidence and job security, new couples and families tend to apply more often for mortgage deals they were not able to attain over the crisis years. This, in turn, has positively affected RMI sales.

Sales of bath screens, conventional shower cubicles and shower enclosures/doors continued to increase at a significant rate, being spurred by growing demand for showering products and a shift away from plastic shower curtains, in line with the improving purchasing power in Hungary. Only hydrotherapy shower cubicles remained stable. This is primarily explained by the weakening demand from the RMI segment – also noticed in the conventional shower cubicle market. Sales of conventional shower cubicles in 2019 increased slightly, primarily driven by the positive development of the domestic market for residential construction. A further

development was threatened by the negative non-housing performance.

Overall sales of shower enclosures/doors in 2019 remained dominant in the product mix, being followed by sales of bath screens despite a significant number of baths installed in the existing dwellings (the proportion of bath screens installed per bath is residual in comparison to the same ratio for shower trays with shower enclosure). Increased demand for shower enclosures was due to strong demand for shower trays as well as the gradually growing popularity of wet rooms. It is worth mentioning that shower enclosure sales are faring better in large cities than in small towns, which suggests that the demand for the product in question has accelerated mostly in urban areas. Sales of shower enclosures/doors in 2019 continued to be driven by the ongoing shift from baths towards shower tray installations. BRG believes the wide availability of low-cost shower curtains still hinders a more vigorous boost in bath screens sales.

As previously mentioned, sales of bath screens also grew in 2019. In fact, the Hungarian market is still characterised by a high number of baths sold per annum, whereas in most other European countries the numbers of baths sold per year has fallen dramatically. However, the equipment rate of shower walls has remained at a low level considering the size of the bath market, either new or existing, in the country. Consumers sometimes prefer to simply opt for the replacement of a broken or old bath screen with a cheap curtain that can be installed easily.

Prices and Market Values

Overall manufacturers' selling prices (MSPs) for shower enclosures, bath screens and conventional shower cubicles rose in 2019 whereas hydrotherapy showers saw a slight decline in EUR. Bath screens switched slightly towards the economy/lower price segment with most of the volume being accounted for by the DIY and internet channels. Nonetheless, apart from hydrotherapy cubicles and shower cubicles, the value for the other markets saw growth, courtesy of stronger volume sales and increased MSPs.

New Housing

Overall sales of shower wall products to the new housing segment increased considerably in 2019, which mirrors the significant growth of the residential construction sector in Hungary.

The ongoing increase in the number of dwelling completions has continued to positively affect sales of shower enclosures, as the new housing segment has always comprised a large part of shower wall sales. In fact, steel and synthetic shower trays rely on new housing sales for a relatively important part of their sales, which automatically increases sales of shower enclosures in this segment. In line with the growing popularity of showering products and a very good growth rate recorded in new residential output, sales of shower enclosures/doors continued increasing in 2019. However, it is worth mentioning that the penetration of shower enclosures in new housing is still relatively low, as the number of shower wet

rooms and shower trays going to new housing is presently limited, due to the national preference for baths.

Sales of bath screens to new housing remained relatively low, as the largest portion of baths installed in new apartments and houses continued to be either without screens or equipped with curtains. Like the whole bathroom market, the bath screen segment benefitted from fast growth recorded in new dwellings output and is expected to grow in line with the new residential segment.

The installation of conventional shower cubicles in new residential dwellings remained constrained by the fact that the average size of apartment bathrooms is becoming consistently smaller. In some apartments it is much more convenient to install a shower cubicle than a bath or a larger-sized shower tray.

In 2019, sales of hydrotherapy shower cubicles showed the smallest growth among shower wall markets in the new housing segment. This proves again the decreasing popularity of the hydrotherapy products. The hydrotherapy cubicles remain a niche product, accounting for a very tiny portion of the market. Consumers are nowadays much more attracted by shower panels, which are considerably cheaper and easier to install.

Housing RMI

In 2019, the proportion of sales to housing RMI increased when compared to 2018. The good performance of the shower enclosure market offset the slight decrease noted in other shower wall products. Sales of shower enclosures/doors, conventional shower cubicles and bath screens continued to be positively driven by shifting consumer preferences in 2019. A large number of consumers opted increasingly to substitute their bath curtains with bath screens due to aesthetic reasons. Nonetheless, bath screens continued to account for a relatively small portion of the segment. The increasing popularity of shower trays, over baths, is likely to remain the main sales driver of shower enclosures/doors. Hungary's heightened consumer confidence and solid spending throughout the year boosted growth in this segment, with consumer preference still firmly towards design-oriented products at affordable prices. Moreover, the CSOK incentive scheme favouring a dynamic renovation market is expected to end in 2023.

Replacement demand accounts for the vast majority of sales in the shower wall market in Hungary. This is the key end-use sector across all shower wall products, with most of the volume being made up of sales of shower enclosures. In fact, sales to the housing RMI end-use segment have long driven the shower wall market, with bath screens and shower enclosures often used to replace the traditional plastic curtains. Housing RMI is also the main end-use segment for conventional shower cubicles.

Hydrotherapy shower cubicles recorded another decline in 2019 as consumers nowadays are more tempted to replace them with shower panels, due to their lower price and much easier installation.

Non-Housing

The non-housing sector continued to record a positive performance in 2019, sustained mainly by bath screen and shower enclosure markets. Although total non-residential output slightly declined, these segments recorded good growth rates. Hydrotherapy shower cubicles increased in 2019, but represent a very small portion of the market. On the other hand, sales of conventional shower cubicles continued to decline.

The non-residential sector has remained a relatively important sector for the Hungarian shower wall market, with most of the demand coming from the hotel industry. Sales to non-residential buildings had already started to recover in 2013, and sales have continued to increase since then.

Supply Structure

Since ROLLA TECH left the market in 2005, there is no longer any domestic production of shower wall products in Hungary, and all products are imported. Both markets for bath screens and shower enclosures in 2019 remained in the hands of the Czech manufacturer RAVAK. On the shower enclosure side, RAVAK was followed by SANIMIX and ROLTECHNIC.

Moreover, the Hungarian market for shower enclosures continues to have a high number of unbranded Chinese products, mainly channelled through DIY stores or as private labels by leading wholesalers.

Leading European bathroom manufacturers, including IDEAL STANDARD, HÜPPE and SANITEC, still hold a relatively small position as they often sell these products as a side item (supplementary to their ceramic sanitary ware range). Cheap unbranded Chinese products, often sold through DIY stores, mainly dominate the conventional shower cubicle market.

On the hydrotherapy side, the largest market for hydrotherapy shower cubicles remained in the hands of SANIMIX, followed by WELLIS and AQUALIFE. WELLIS, on the other hand, continued to dominate both the hydromassage bath and shower panel markets.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

The outbreak of the COVID-19 pandemic should severely hinder the development of the Hungarian economy in 2020, directly affecting internal demand and supply,

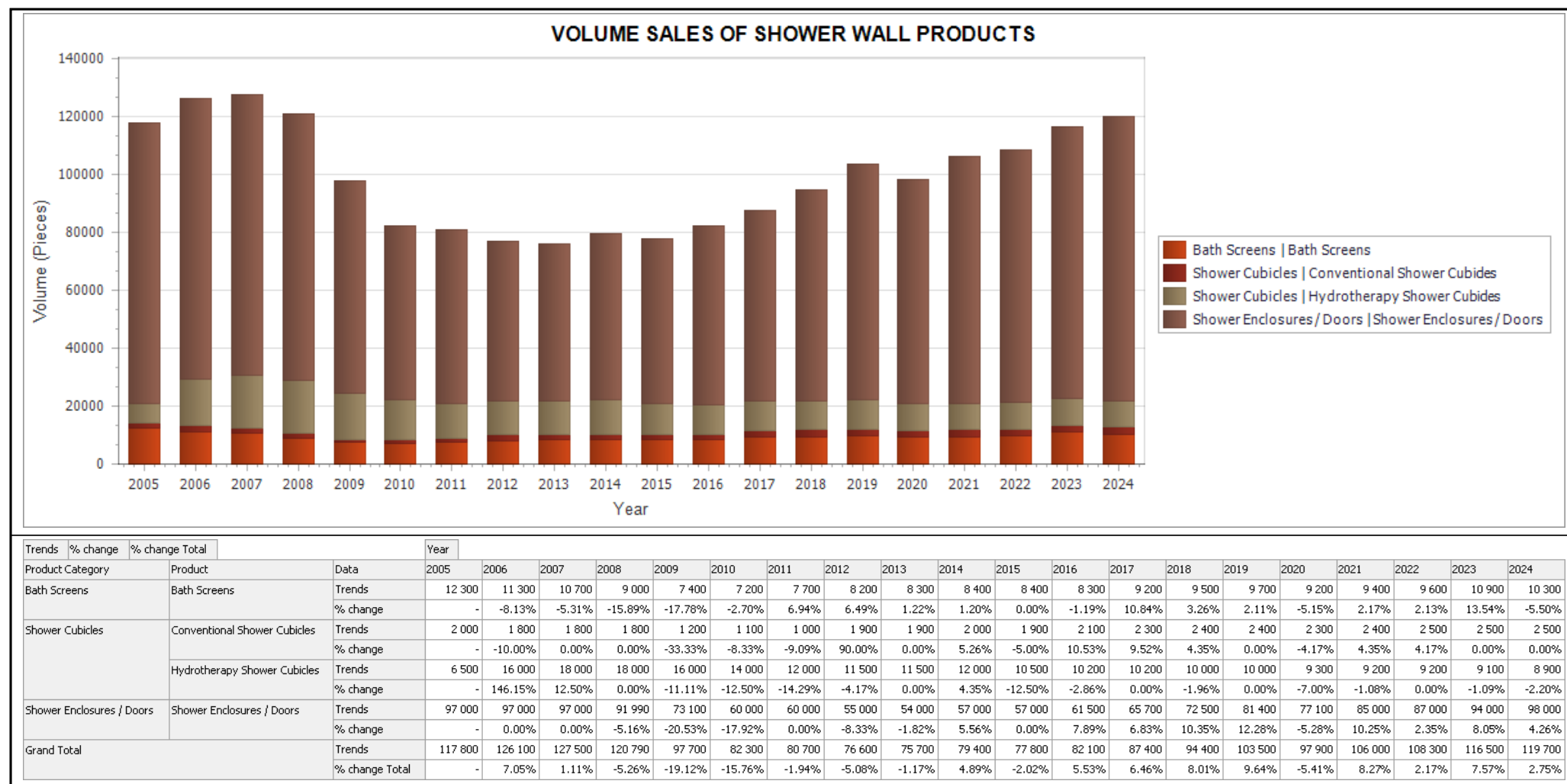
while also drastically worsening the conditions in other countries. Nonetheless, a moderate recession is expected in terms of GDP growth for 2020, with a substantial bounce back in 2021 following a relaunch of the economy of the country. The consumer confidence should be considerably affected as there is strong uncertainty on the evolution of the events and economic impact of the COVID-19 outbreak. However, the impact of the COVID-19 outbreak on the Hungarian construction completions should be noticed in 2021 and 2022. Both macroeconomic and construction indicators seem to hint a slowdown of the bathroom market up to 2023 in Hungary, compared to the 2019 prevision. In fact, the shower wall market is expected to decrease in 2020, driven by the decrease of the renovations market. In 2021 and 2022, the new housing market is anticipated to drop in the shower wall market but the strong RMI should offset this decline and allow the market to rebound with consumer confidence.

Hydrotherapy market is expected to rebound, driven exclusively by the hydromassage bath market - as it should rebound in 2021 but would be unlikely to come back to a pre-crisis level of sales. Hydrotherapy shower cubicles are not set to rebound in the future, hampered by the development of the shower panel market in Hungary and their high price.

The installation rate of conventional shower cubicles, after a decrease in 2020 due to the COVID-19 pandemic, is likely to grow in the medium- to long-term due to their relatively low price levels, ease of installation and wide availability in DIY stores.

4.2 Historical Trends and Forecasts : Shower Wall

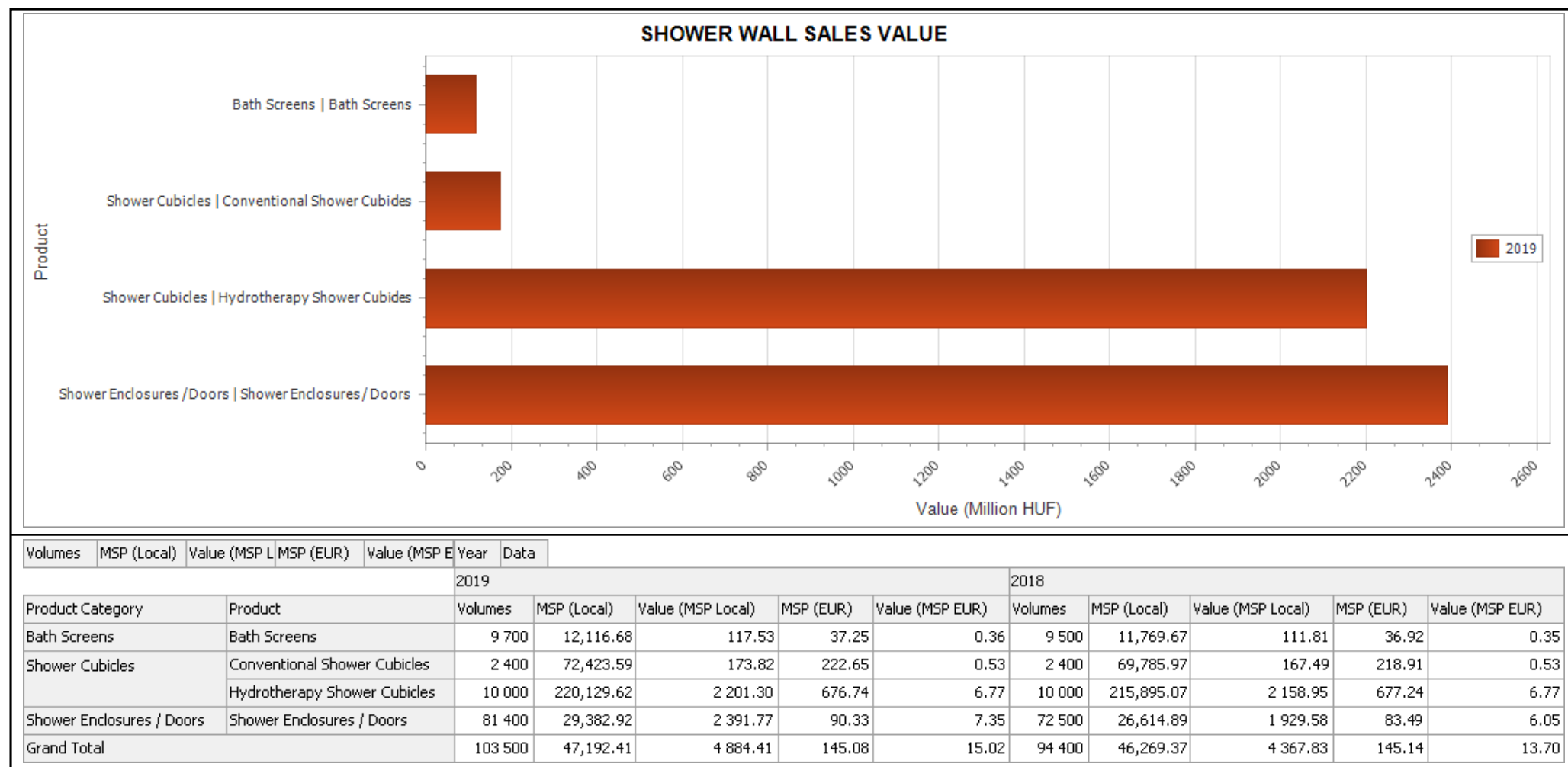
HU - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

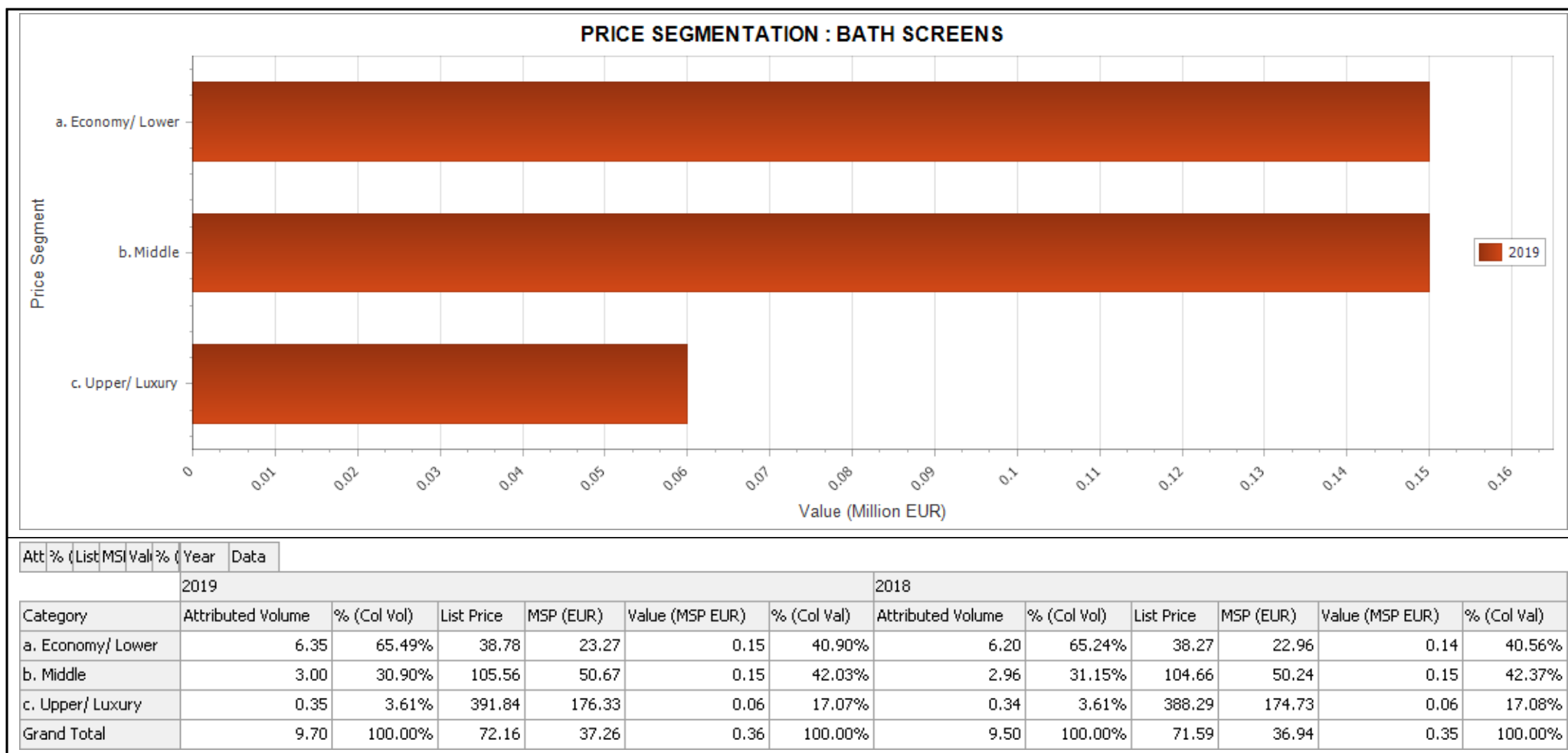
HU - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Local Prices Shown in HUF. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

4.3.2 Price Segmentation : Bath Screens

HU - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

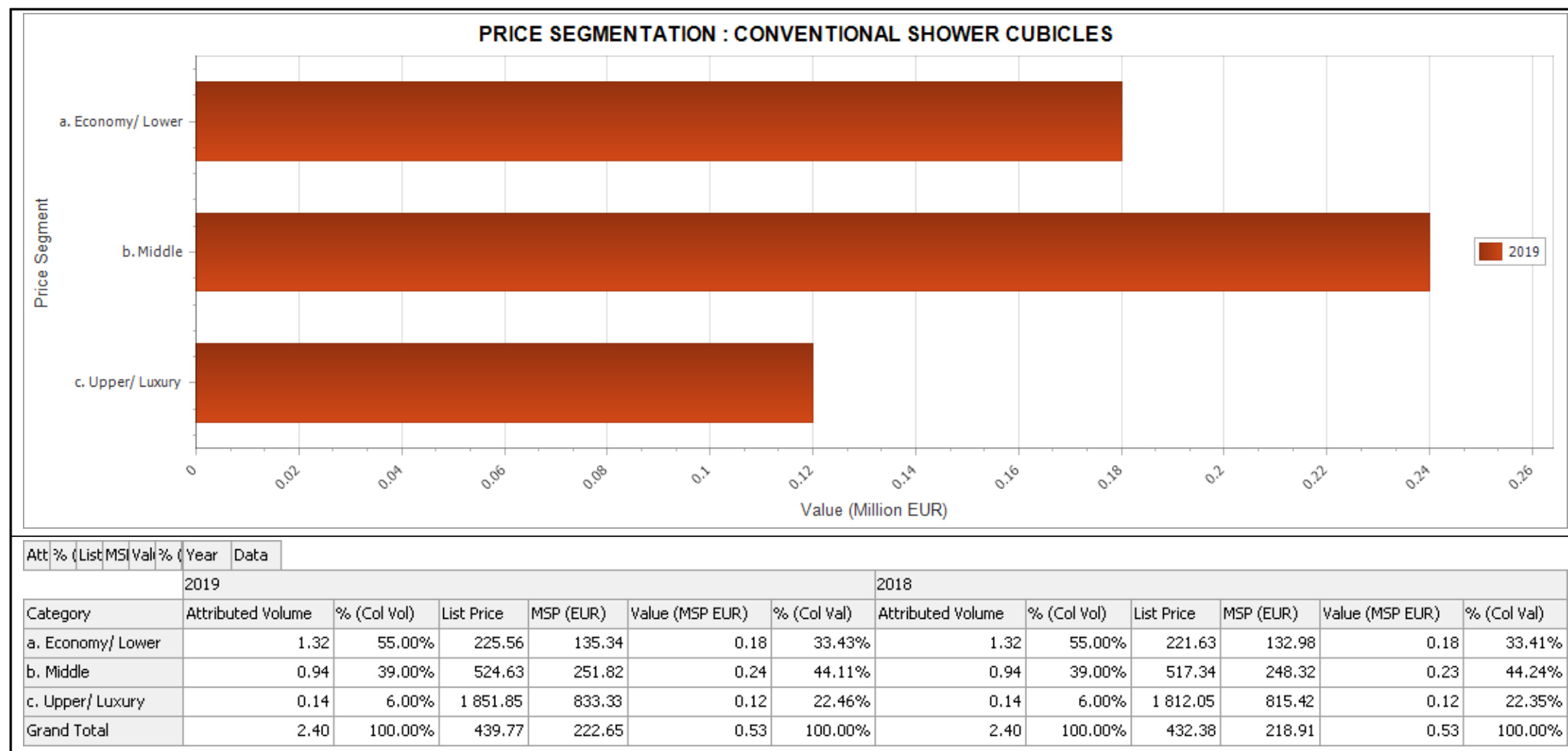


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€30, Middle €30-€60, Upper/ Luxury >€60

4.3.3 Price Segmentation : Conventional Shower Cubicles

HU - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

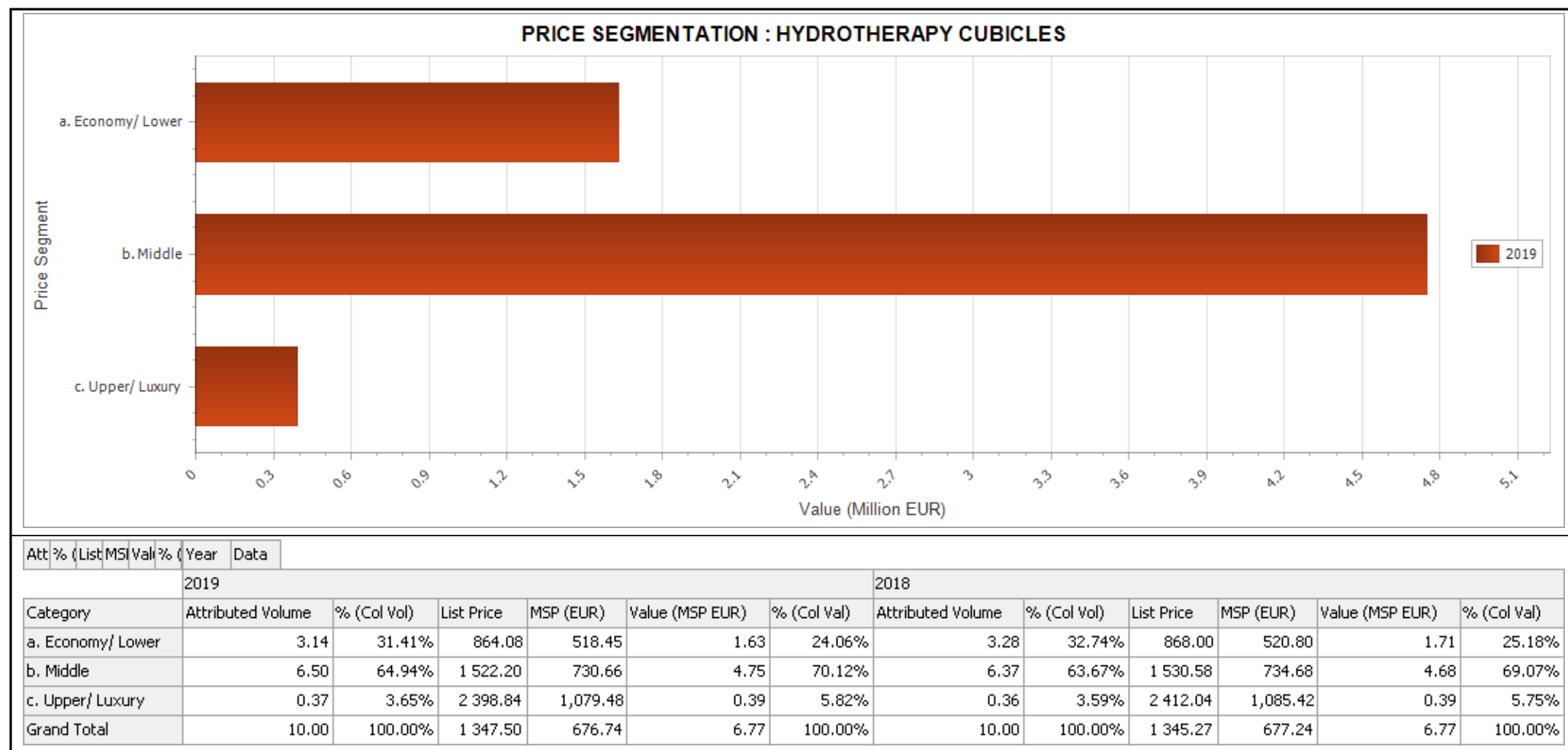


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€150, Middle €150-€300, Upper/ Luxury >€300

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

HU - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

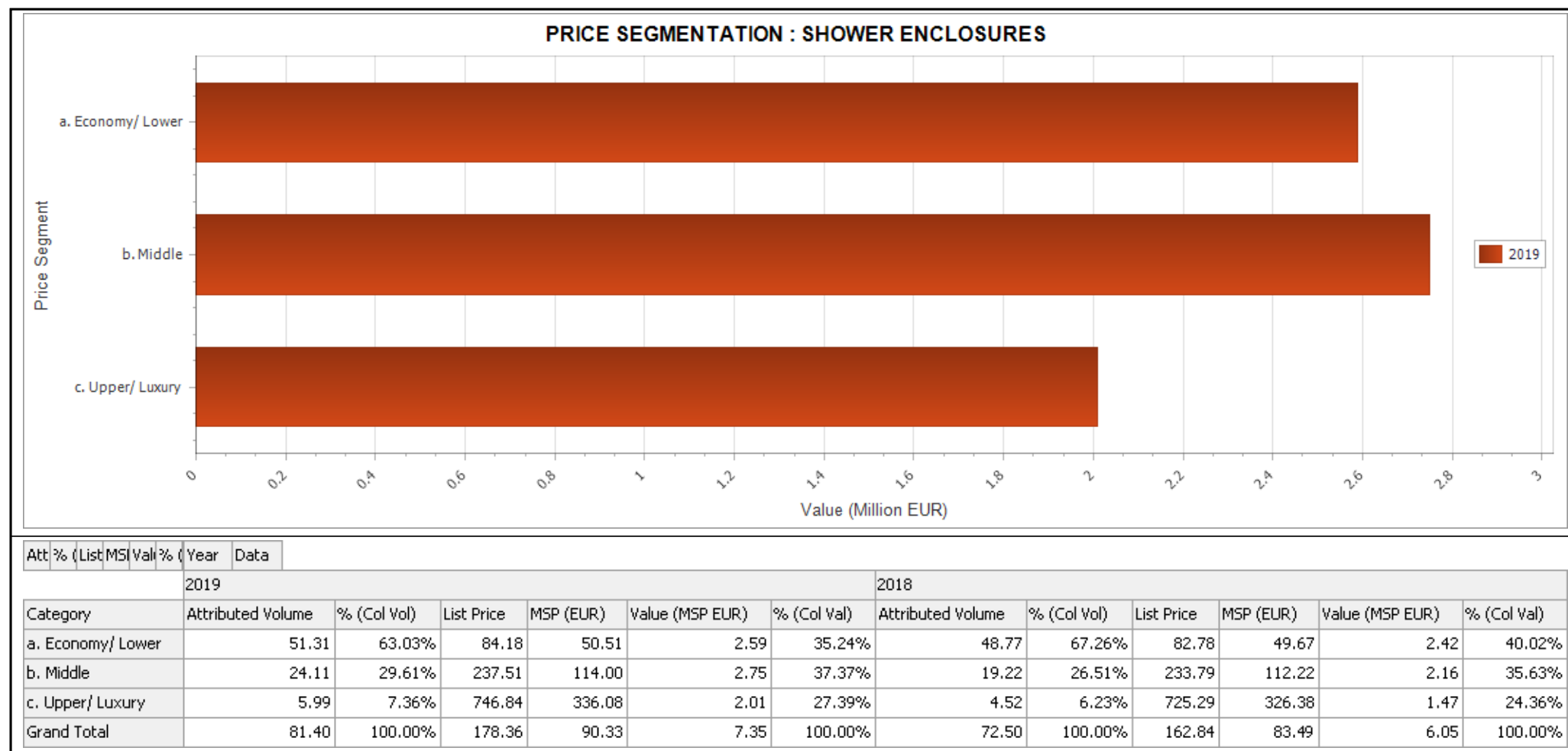


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€600, Middle €600-€1,000, Upper/ Luxury >€1,000

4.3.5 Price Segmentation : Shower Enclosures

HU - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

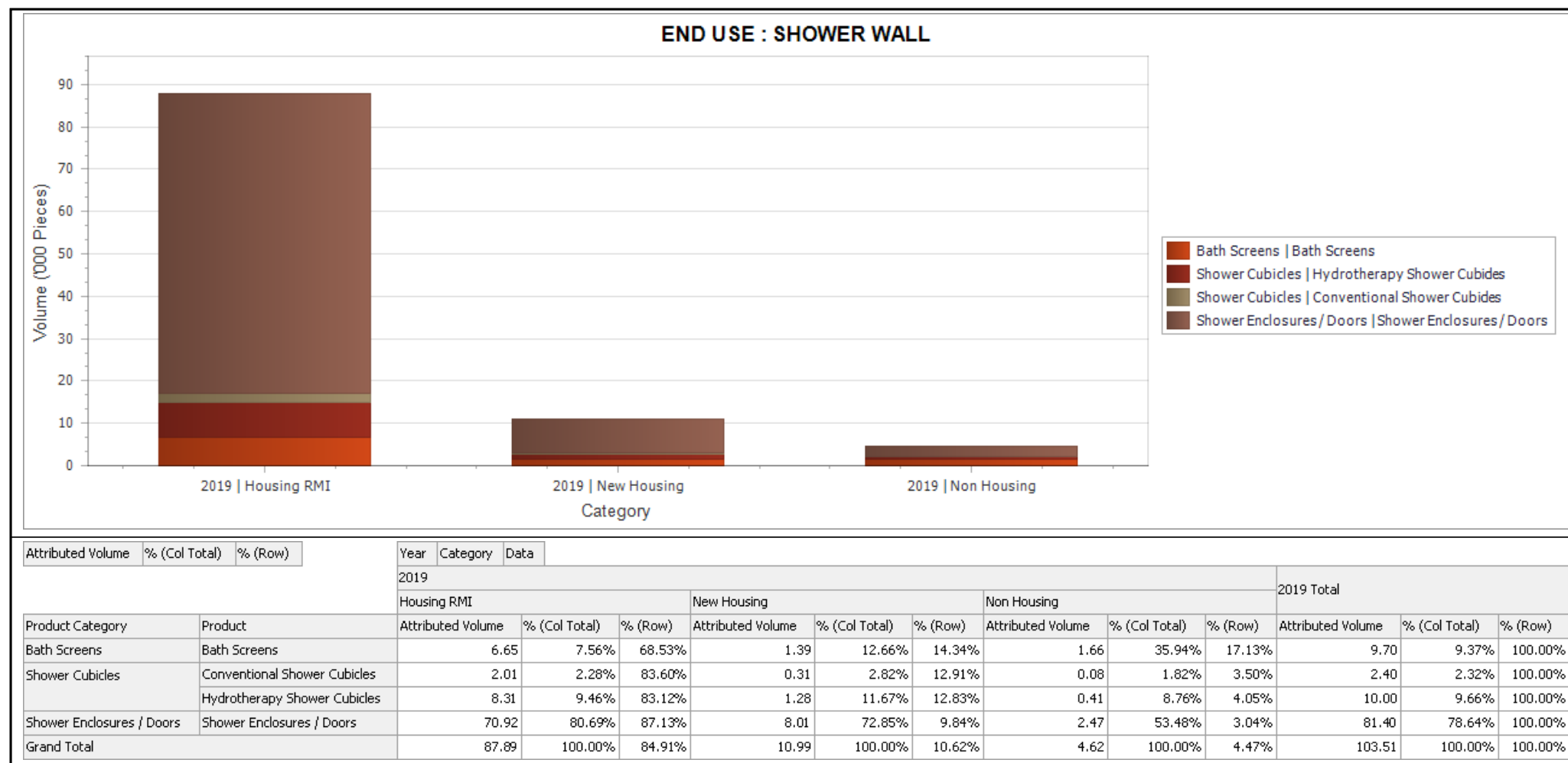


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

4.4.1 End Use : Base Year

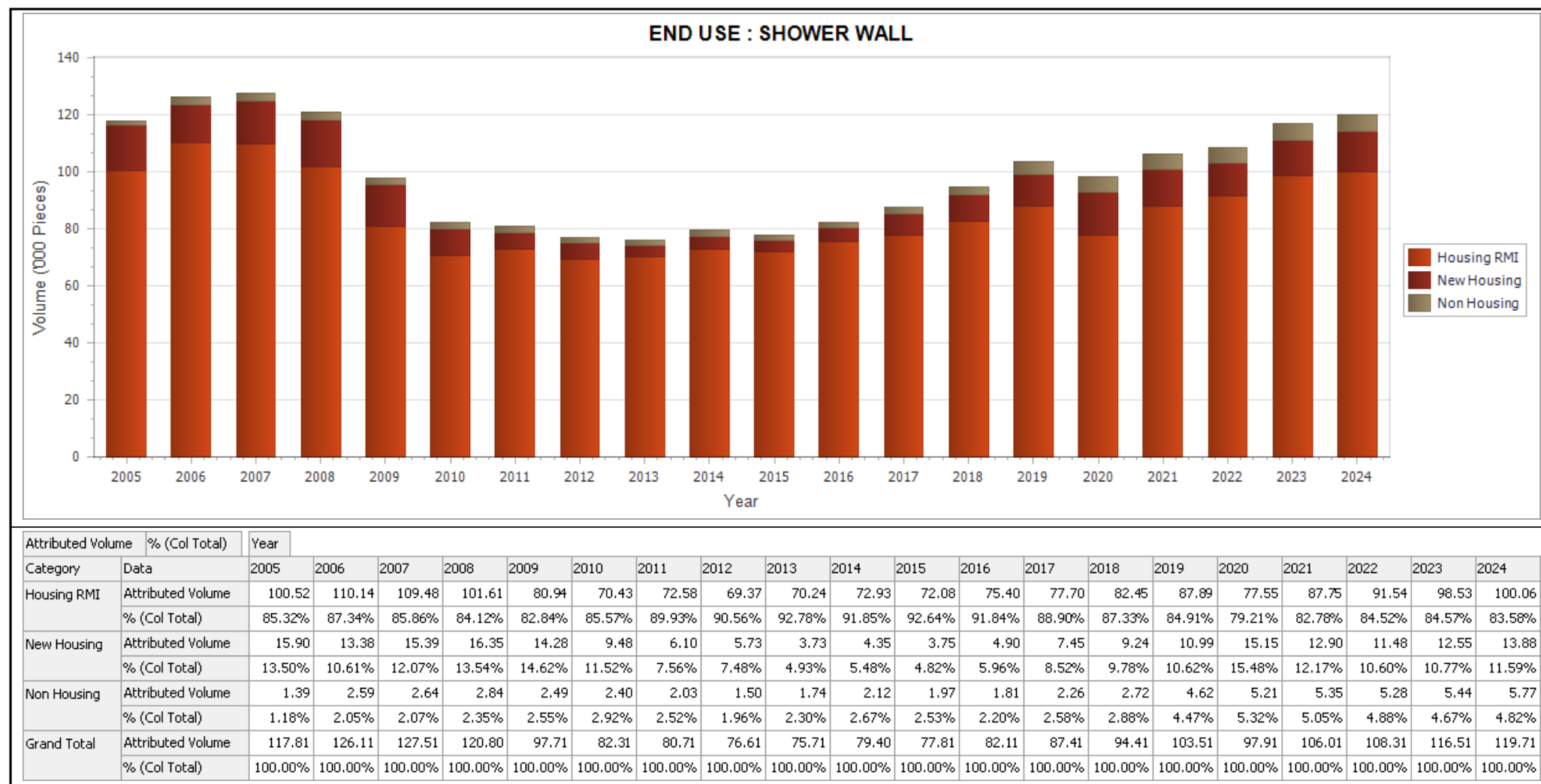
HU - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

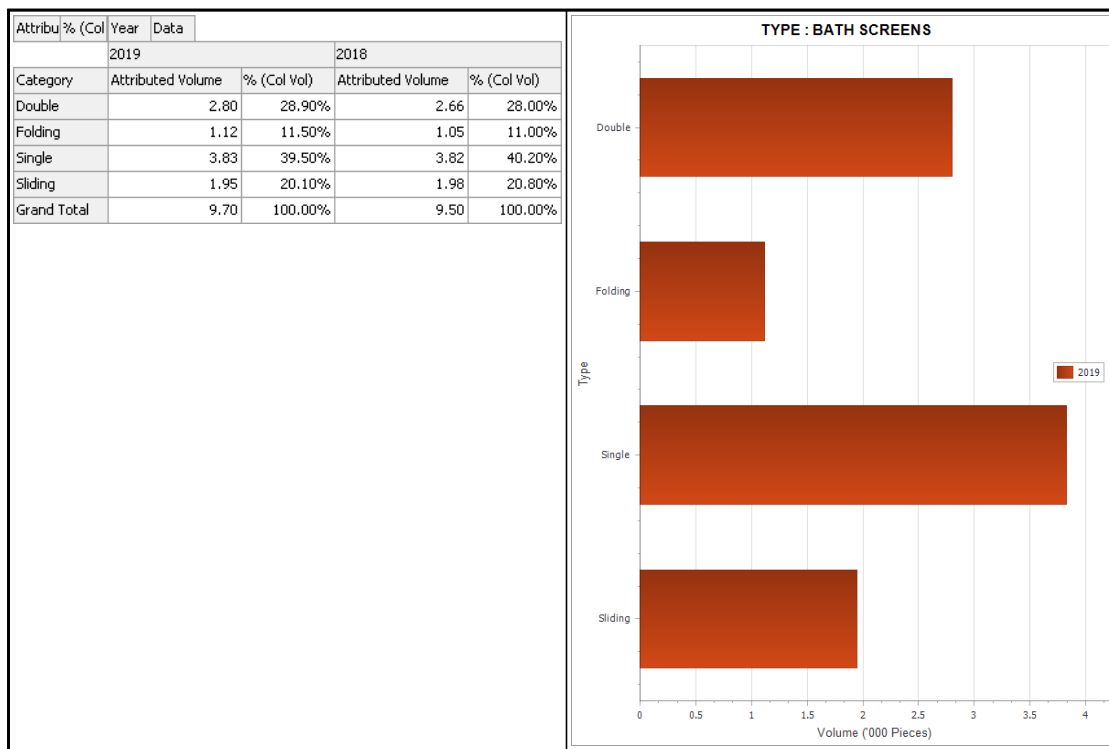
HU - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

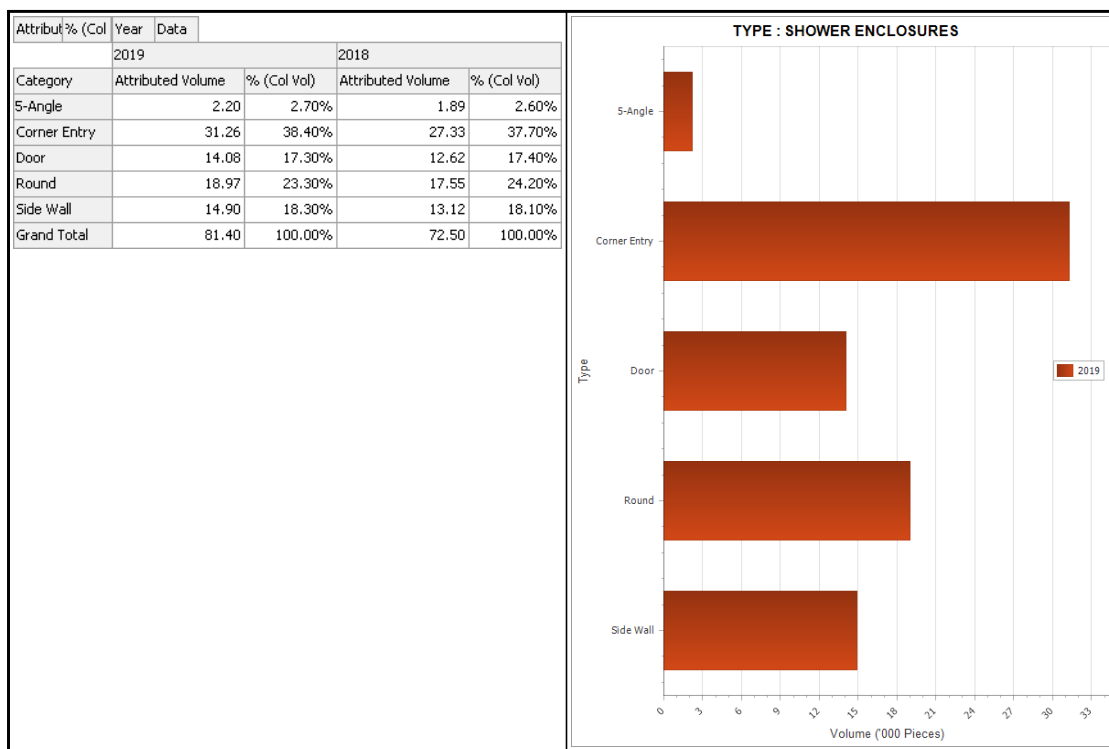
HU - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

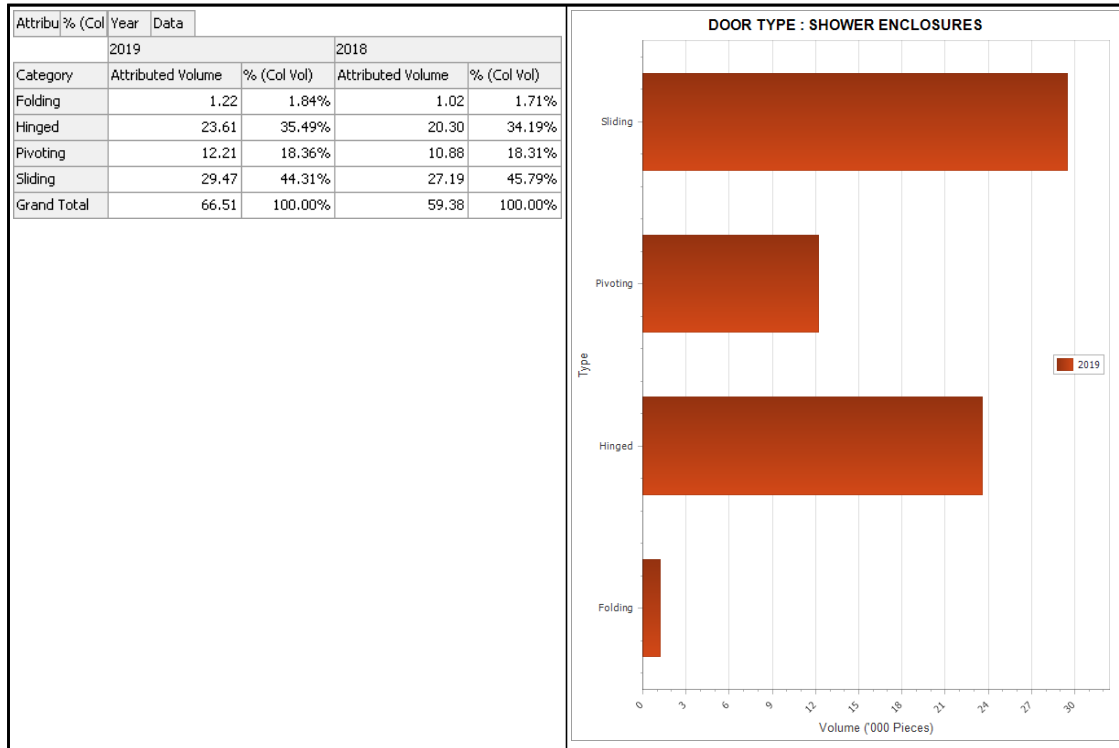
HU - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

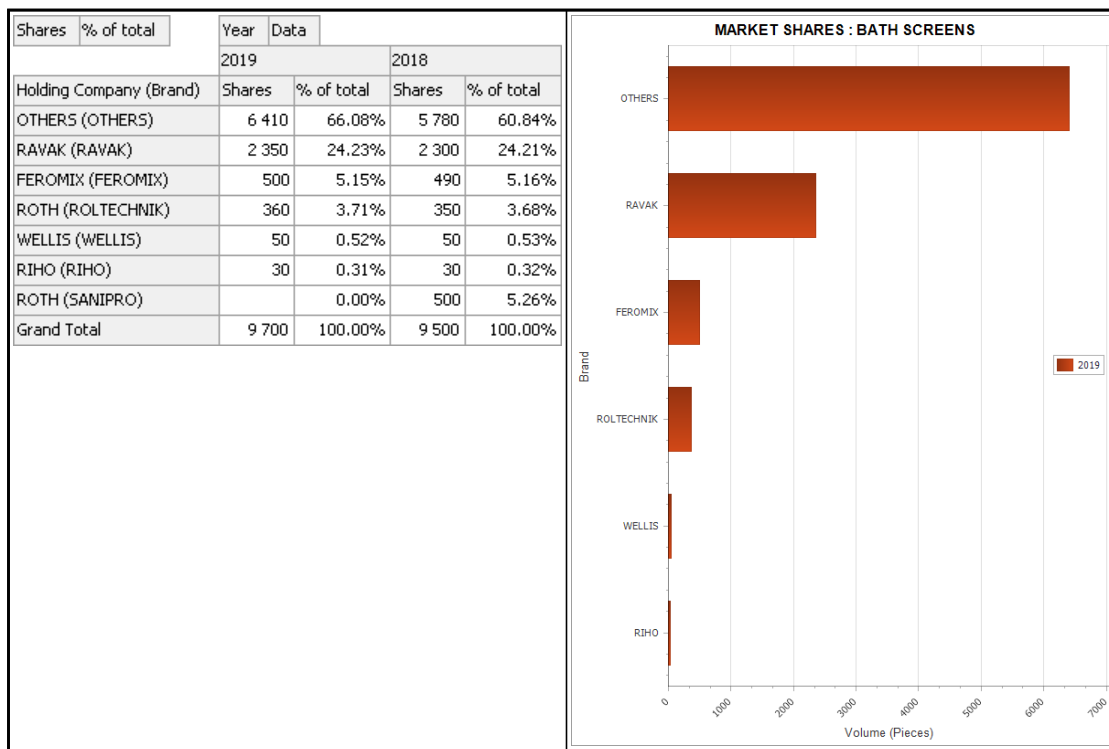
HU - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

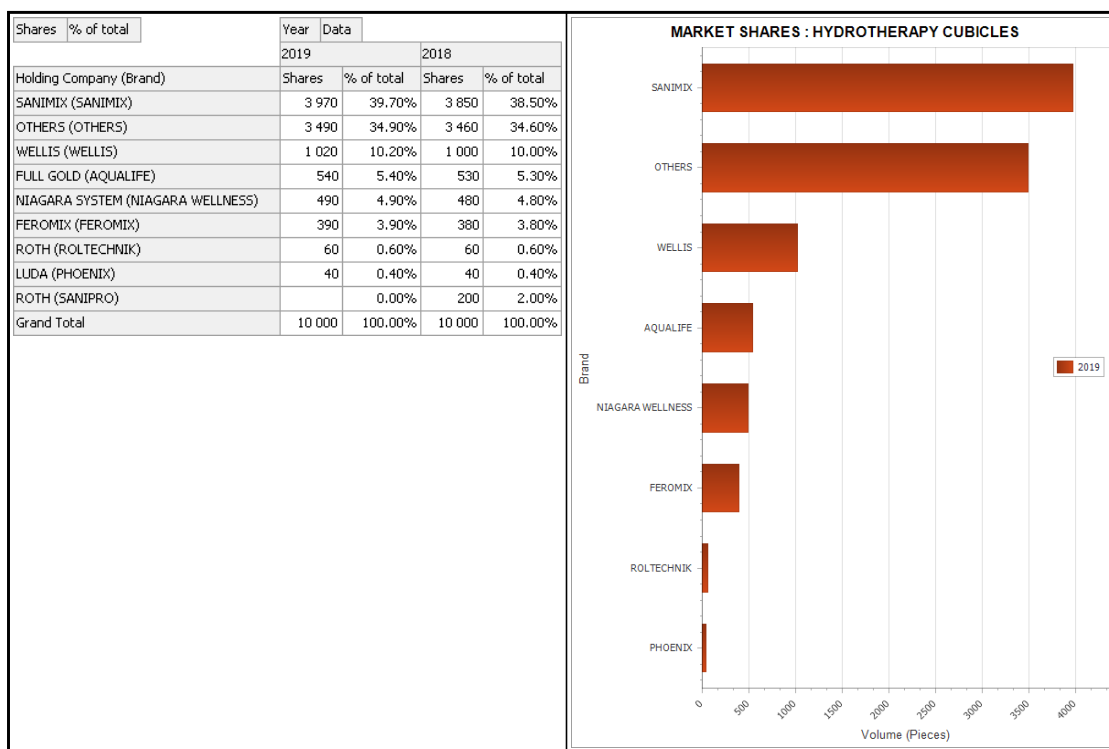
HU - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Hydrotherapy Shower Cubicles

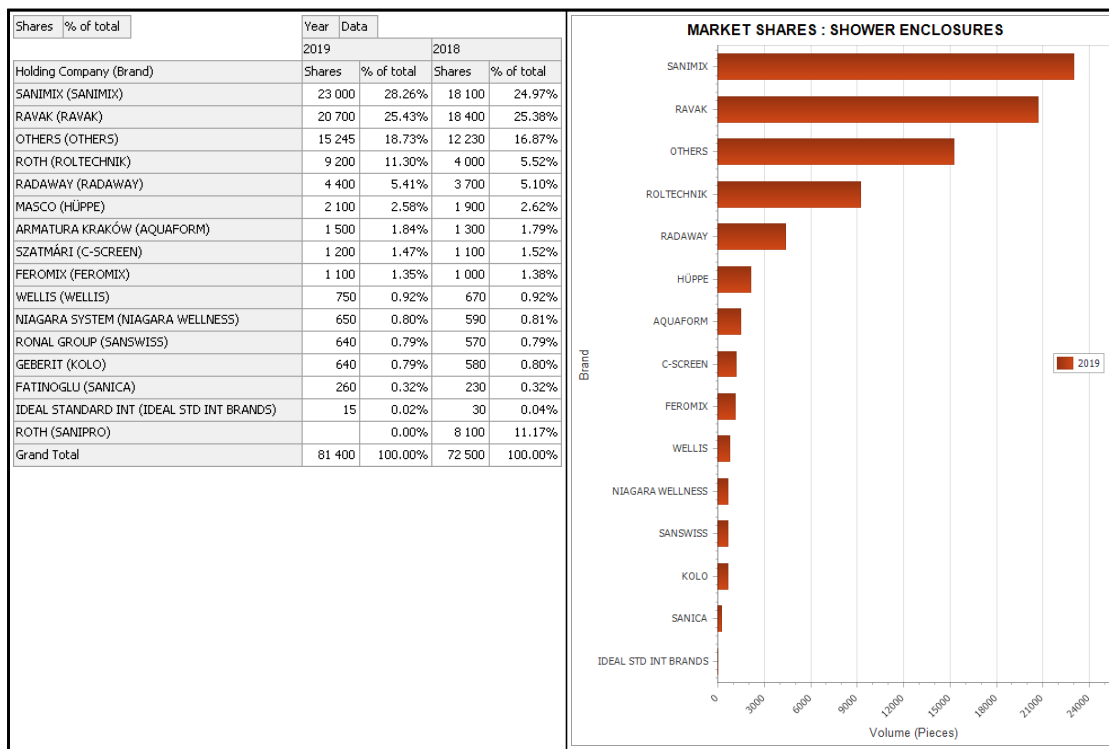
HU - ESTIMATED MARKET SHARES FOR HYDROTHERAPY CUBICLES



Source: BRG based on industry interviews.

4.5.3 Market Shares : Shower Enclosures

HU - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1 Route to Market: Shower Wall
HU - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	52.5%
	Wholesalers / Merchants
	52.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	3.6%	26.3%	18.1%	16.5%	12.7%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.6%		44.4%		29.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
2.6%	9.6%	0.0%	1.4%	11.0%
Installers				
24.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.6%	7.4%	3.6%	42.0%	18.2%	23.6%	1.4%	1.1%	0.0%	1.0%	0.0%	1.0%
	Residential						Non-Residential					
	95.5%						4.5%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	10.6%			84.9%			1.7%			2.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	7.4%		3.2%	12.7%		72.2%	1.5%		0.2%	1.6%		1.2%

4.6.2 Route to Market: Shower Wall
HU - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	51.3%
	Wholesalers / Merchants
	51.3%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.0%	3.9%	27.8%	18.7%	15.9%	12.3%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.9%		46.5%		28.2%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
3.0%	8.1%	0.0%	1.3%	9.8%
Installers				
22.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.3%	7.4%	3.9%	44.2%	18.4%	21.0%	1.7%	0.9%	0.0%	1.0%	0.0%	1.2%
	Residential						Non-Residential					
	95.2%						4.8%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	11.6%			83.6%			1.7%			3.1%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	9.8%		1.8%	11.0%		72.6%	1.4%		0.3%	2.2%		0.9%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

HU - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

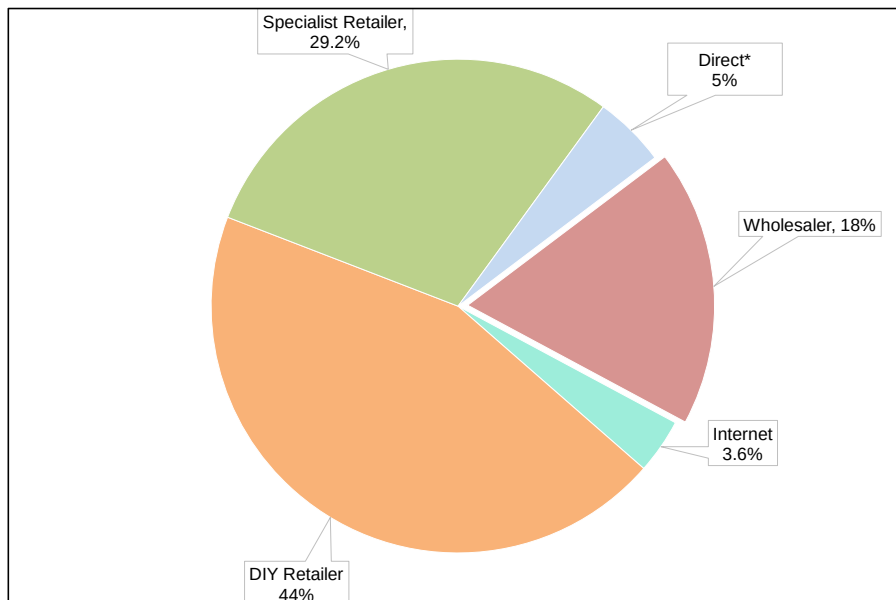
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
18.1%	3.6%	44.4%	29.2%	4.7%	20.1%	3.1%	75.4%	1.4%
100%					23.2%		76.8%	

4.6.4 Route to Market - Consolidated View : Shower Wall

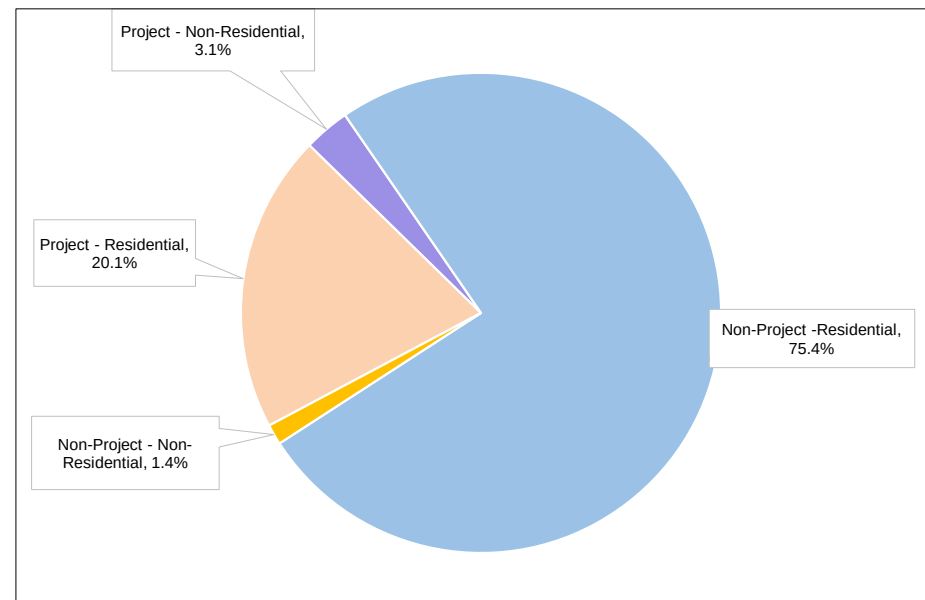
HU - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
16.4%	3.9%	46.5%	28.2%	5.0%	20.8%	3.6%	74.4%	1.2%
100%					24.4%		75.6%	

HU - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



HU - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



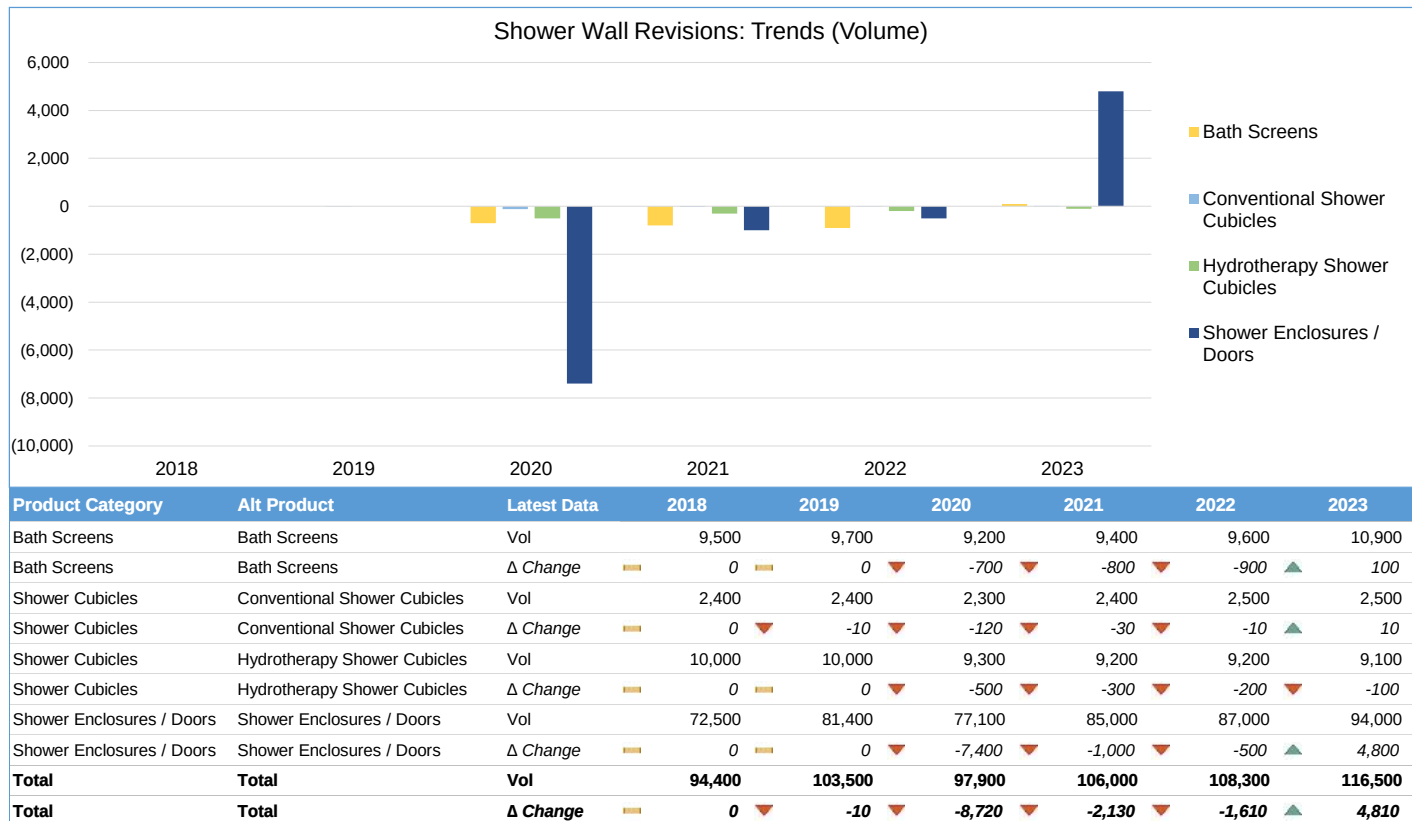
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Hungarian Shower Wall Market (July 2020)

HU - REVISIONS IN THE HUNGARIAN SHOWER WALL MARKET

Data Comparison: July 2019



Only minor or no changes were made to trends for shower wall products in historical years and base year.